Office of the Washington State Auditor
Pat McCarthy

Financial Statements and Federal Single Audit Report

City of Renton

For the period January 1, 2024 through December 31, 2024

Published August 4, 2025

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Office of the Washington State Auditor
Pat McCarthy

August 4, 2025

Mayor and City Council
City of Renton
Renton, Washington

Report on Financial Statements and Federal Single Audit

Please find attached our report on the City of Renton's financial statements and compliance with federal laws and regulations.

We are issuing this report in order to provide information on the City's financial activities and condition.

Sincerely,

Pat McCarthy, State Auditor

Olympia, WA

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TABLE OF CONTENTS

Schedule of Findings and Questioned Costs 4

Summary Schedule of Prior Audit Findings 6

Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards* 7

Independent Auditor's Report on Compliance for Each Major Federal Program and Report on Internal Control Over Compliance in Accordance With the Uniform Guidance 9

Independent Auditor's Report on the Financial Statements 12

Financial Section 16

About the State Auditor's Office 122

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

City of Renton
January 1, 2024 through December 31, 2024

SECTION I – SUMMARY OF AUDITOR'S RESULTS

The results of our audit of the City of Renton are summarized below in accordance with Title 2 *U.S. Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance).

Financial Statements

We issued an unmodified opinion on the fair presentation of the basic financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information in accordance with accounting principles generally accepted in the United States of America (GAAP).

Internal Control over Financial Reporting:

- *Significant Deficiencies:* We reported no deficiencies in the design or operation of internal control over financial reporting that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified no deficiencies that we consider to be material weaknesses.

We noted no instances of noncompliance that were material to the financial statements of the City.

Federal Awards

Internal Control over Major Programs:

- *Significant Deficiencies:* We reported no deficiencies in the design or operation of internal control over major federal programs that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified no deficiencies that we consider to be material weaknesses.

We issued an unmodified opinion on the City's compliance with requirements applicable to each of its major federal programs.

We reported no findings that are required to be disclosed in accordance with 2 CFR 200.516(a).

Identification of Major Federal Programs

The following programs were selected as major programs in our audit of compliance in accordance with the Uniform Guidance.

ALN	Program or Cluster Title
20.205	Highway Planning and Construction
21.027	COVID-19 – Coronavirus State and Local Fiscal Recovery Funds

The dollar threshold used to distinguish between Type A and Type B programs, as prescribed by the Uniform Guidance, was $750,000.

The City did not qualify as a low-risk auditee under the Uniform Guidance.

SECTION II – FINANCIAL STATEMENT FINDINGS

None reported.

SECTION III – FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

None reported.

SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS

City of Renton
January 1, 2024 through December 31, 2024

Audit Period: 2022	**Report Reference No.:** 1033882	**Finding Ref. No.:** 2022-001	**ALN(s):** 20.205
Federal Program Name and Granting Agency: General Highway Administration U.S. Department of Transportation		**Pass-Through Agency Name:** Washington State Department of Transportation	

Finding Caption:

The City's internal controls were inadequate for ensuring compliance with procurement and suspension and debarment requirements.

Background:

The fiscal year 2022 audit found the City failed to follow the most restrictive procurement thresholds and procedures per 2 CFR 200.318-327 standards. Additionally, it was determined internal controls ineffective for ensuring compliance with Federal procurement requirements for personal services. The City's internal controls were also inadequate for ensuring staff verified the suspension and debarment status for all covered transactions. These control deficiencies were determined to be material weaknesses.

Status of Corrective Action: (check one)

☒ Fully Corrected	☐ Partially Corrected	☐ Not Corrected	☐ Finding is considered no longer valid

Corrective Action Taken:

The City strengthened its policy and procedures that govern the use of federal funds to ensure they reflect local, state and federal procurement requirements; compliance with these guidelines shall be organization wide and will seek to ensure that there is a uniform understanding across multiple departments who may have federal funding resources.

INDEPENDENT AUDITOR'S REPORT

Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

City of Renton
January 1, 2024 through December 31, 2024

Mayor and City Council
City of Renton
Renton, Washington

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards,* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Renton, as of and for the year ended December 31, 2024, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated June 26, 2025.

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the City's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described above and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified.

Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses.

REPORT ON COMPLIANCE AND OTHER MATTERS

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion.

The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

PURPOSE OF THIS REPORT

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control and compliance. Accordingly, this communication is not suitable for any other purpose. However, this report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

Pat McCarthy, State Auditor

Olympia, WA

June 26, 2025

INDEPENDENT AUDITOR'S REPORT

Report on Compliance for Each Major Federal Program and Report on Internal Control over Compliance in Accordance with the Uniform Guidance

City of Renton
January 1, 2024 through December 31, 2024

Mayor and City Council
City of Renton
Renton, Washington

REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM

Opinion on Each Major Federal Program

We have audited the compliance of the City of Renton, with the types of compliance requirements identified as subject to audit in the U.S. *Office of Management and Budget (OMB) Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended December 31, 2024. The City's major federal programs are identified in the auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, the City complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended December 31, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance)* are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination on the City's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the City's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards* and the Uniform Guidance will always detect a material noncompliance when it exists. The risk of not detecting a material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgement made by a reasonable user of the report on compliance about the City's compliance with the requirements of each major federal program as a whole.

Performing an audit in accordance with GAAS, *Government Auditing Standards* and the Uniform Guidance includes the following responsibilities:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances;
- Obtain an understanding of the City's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over compliance. Accordingly, no such opinion is expressed; and
- We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

REPORT ON INTERNAL CONTROL OVER COMPLIANCE

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed. Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance and therefore, material weaknesses or significant deficiencies may exist that were not identified.

Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above.

Purpose of this Report

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose. However, this report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

Pat McCarthy, State Auditor

Olympia, WA

July 28, 2025

INDEPENDENT AUDITOR'S REPORT

Report on the Audit of the Financial Statements

City of Renton
January 1, 2024 through December 31, 2024

Mayor and City Council
City of Renton
Renton, Washington

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Renton, as of and for the year ended December 31, 2024, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the financial section of our report.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Renton, as of December 31, 2024, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Matters of Emphasis

As discussed in Note 1 to the financial statements, in 2024, the City adopted new accounting guidance, Governmental Accounting Standards Board *Statement No. 101, Compensated Absences*. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

Performing an audit in accordance with GAAS and *Government Auditing Standards* includes the following responsibilities:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements;
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed;

- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements;
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time; and
- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and required supplementary information listed in the financial section of our report be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The accompanying Schedule of Expenditures of Federal Awards is presented for purposes of additional analysis as required by Title 2 *U.S. Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). This supplementary information is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such

information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

OTHER REPORTING REQUIRED BY GOVERNMENT AUDITING STANDARDS

In accordance with *Government Auditing Standards*, we have also issued our report dated June 26, 2025 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

Pat McCarthy, State Auditor

Olympia, WA

June 26, 2025

FINANCIAL SECTION

City of Renton
January 1, 2024 through December 31, 2024

REQUIRED SUPPLEMENTARY INFORMATION

Management's Discussion and Analysis – 2024

BASIC FINANCIAL STATEMENTS

Statement of Net Position – 2024
Statement of Activities – 2024
Balance Sheet – Governmental Funds – 2024
Reconciliation of the Balance Sheet to the Statement of Net Position – 2024
Statement of Revenues, Expenditures and Changes in Fund Balance – Governmental Funds – 2024
Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balance of the Governmental Funds to the Statement of Activities – Governmental Activities – 2024
Statement of Net Position – Proprietary Funds – 2024
Statement of Revenues, Expenses and Changes in Fund Net Position – Proprietary Funds – 2024
Statement of Cash Flows – Proprietary Funds – 2024
Statement of Fiduciary Net Position – 2024
Statement of Changes in Fiduciary Net Position – 2024
Notes to Financial Statements – 2024

REQUIRED SUPPLEMENTARY INFORMATION

Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual – General Fund – 2024
Notes to Schedule of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual – General Fund – 2024
Schedule of the City's Proportionate Share of the Net Pension Liability/(Asset) – PERS 1, PERS 2/3, PSERS 2, LEOFF 1, LEOFF 2 – 2024
Schedule of Employer Contributions – PERS 1, PERS 2/3, PSERS 2, LEOFF 2 – 2024
Schedule of Changes in Net Pension Liability and Related Ratios – Firefighters' Pension Fund – 2024
Schedule of Employer Contributions – Firefighters' Pension Fund – 2024
Schedule of Investment Returns – Firefighters' Pension Fund – 2024
Schedule of Changes in Total OPEB Liability and Related Ratios – LEOFF 1 Retiree Medical Benefits – 2024

SUPPLEMENTARY AND OTHER INFORMATION

Schedule of Expenditures of Federal Awards – 2024
Notes to the Schedule of Expenditures of Federal Awards – 2024

MANAGEMENT'S DISCUSSION AND ANALYSIS

The City of Renton's management offers this Management's Discussion and Analysis (MD&A), which is an overview and analysis of the City of Renton's financial activities for the year ended December 31, 2024. To best understand the city's financial activities, we encourage readers to consider the information in this discussion and analysis in conjunction with information provided in the letter of transmittal and the basic financial statements.

FINANCIAL HIGHLIGHTS

- As of December 31, 2024, the City of Renton's total assets and deferred outflows of resources exceed liabilities and deferred inflows of resources by $1.4 billion. Of this amount, $415.7 million represents unrestricted net position, which may be used to meet the government's ongoing obligations to citizens and creditors.
- The City of Renton's total net position, including prior year adjustments, increased $99.3 million. This increase was primarily due to investments at fair market value, receivables, capital asset acquisitions and deferred outflows related to pensions, offset by an increase in current long-term liabilities in both the governmental and business-type activities.
- At the close of the current fiscal year, the City of Renton's governmental funds reported combined fund balances of $215.3 million, an increase of $30.8 million from 2023. This increase is attributed to revenues exceeding expenditures in the general fund by $31.7 million and in the nonmajor funds by $10.5 million. The city experienced a marginal decrease in retail sales tax due to an anticipated cooling of the economy; however, overall tax revenues increased because of several contributing factors. The newly formed Transportation Benefit District (TBD) brought in $3.3 million of additional sales tax designated specifically for transportation improvement projects. Real estate excise tax (REET) also increased due to the sale of several large commercial and apartment complexes throughout the year. Additionally, the city increased the business and occupation (B&O) tax cap in 2024 by $2 million contributing to a rise in B&O tax revenues. In addition to tax revenues, the city saw a significant increase in investment earnings, resulting from strong market rates closely tied to the federal funds rate and economic forecast indicators. These increases in revenue were offset by a decrease in contributions and intergovernmental revenues. Contributions were down because of a one-time collection of capital contributions related to the Family First Community Center in prior year. Intergovernmental revenues decreased due to several large transportation and parks capital projects that were largely funded by grants and substantially completed in prior year.
- Approximately 52 percent ($112.6 million) of the total governmental fund balance is available for spending at the city's discretion (*unassigned fund balance*).
- Total unrestricted fund balance (the total of *committed*, *assigned* and *unassigned fund balance* components) for the general fund was $125.3 million, which is approximately 105 percent of general fund 2024 expenditures.
- The City of Renton's total outstanding long-term debt decreased by $6.2 million during the current fiscal year because current resources and grants are being used to finance current

operations and capital projects. The city has continued to pay down its current debt obligations without issuance of new debt.

OVERVIEW OF THE FINANCIAL STATEMENTS

The discussion and analysis provided here within are intended to serve as an introduction to the city's basic financial statements. The basic financial statements consist of three components: (1) government-wide financial statements, (2) fund financial statements, and (3) notes to the basic financial statements.

Government-wide Financial Statements

The government-wide financial statements provide both long-term and short-term information about the city's overall financial status, in a manner similar to a private-sector business.

Statement of Net Position – The first of these government-wide statements is the statement of net position. The statement of net position presents the city's assets, liabilities, and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the city is improving or deteriorating.

Statement of Activities – The second government-wide statement is the statement of activities, which reports how the city's net position changed during the current fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change, regardless of the timing of related cash flows. Thus, revenues and expenses are reported for some items that will only result in cash flows in future fiscal periods (e.g. uncollected taxes and compensated absences). An important purpose of the design of the statement of activities is to show the financial reliance of the city's distinct activities or functions on revenues provided by the city's taxpayers. Another indicator to consider when evaluating the financial position of the city includes changes to the property tax base, general economic conditions as demonstrated through business license fees or sales tax revenue, and the condition of the city's infrastructure (roads, drainage systems, bridges, and water infrastructure).

Both of the government-wide financial statements distinguish governmental activities of the city (activities principally supported by taxes and intergovernmental revenue), and business-type activities of the city (activities that are intended to recover all, or a significant portion, of their costs through user fees and charges). Governmental activities include general government, judicial, public safety, utilities, transportation, economic environment, health and human services, and culture and recreation. The equipment rental and insurance internal service funds are also reported as governmental activities. The business-type activities include the waterworks utility, solid waste, airport, and golf course funds.

Fund Financial Statements

The city uses fund structure to ensure and demonstrate fiscal integrity and compliance with finance-related legal requirements. A fund is a group of related accounts used to maintain control over resources that have been segregated for specific activities and objectives. There are

three types of funds: governmental, proprietary, and fiduciary. The fund financial statements focus on major funds separately while all others are combined into a single aggregated presentation. Individual data for non-major funds is presented in a following section, Combining Statements.

Governmental Funds – The governmental funds are used to account for the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide statements, the focus of governmental fund financial statements is on *near-term* inflows and outflows of available financial resources and on balances of resources available at the end of the fiscal year. Such information is useful in evaluating whether there are more or less financial resources that can used in the near future to finance city services.

Because the focus of governmental fund financial statements is a narrower view than that of the government-wide financial statements, it is useful to compare similar information in order to gain a better understanding of the long-term impact of the government's near-term financing decisions. The Reconciliation of the Balance Sheet and Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of the Governmental Funds reconciles to the differences between the governmental fund statements and the governmental activities column in the government-wide statements.

The city maintains seventeen individual governmental funds. Information for the city's major governmental funds (general, municipal capital facilities and capital improvement) are presented separately in the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balance. Data from the other fourteen funds are combined into a single aggregated presentation. Individual fund data for each of these non-major governmental funds is presented in the combining statements section of this report.

The city maintains budgetary controls over its governmental funds. Budgetary controls ensure compliance with legal provisions embodied in the annual appropriated budget. Governmental fund budgets are established in accordance with state law and are adopted on a fund level. A budgetary comparison statement has been provided for the general fund to demonstrate compliance with this budget.

Proprietary Funds – The proprietary fund statements present information for two types of funds. Enterprise funds operate as business-type activities in the government-wide statements and include the waterworks utility, solid waste, golf course, and airport funds. The other proprietary fund types are internal service funds. Internal service funds are used to report activities that provide supplies and services to various city departments and to allocate the associated costs of providing these services to the various governmental and enterprise functions. The revenues and expenses of internal service funds that support governmental activities are eliminated in the government-wide statements and the remaining activity is combined within the governmental activities in the government-wide statements.

The proprietary fund statements provide the same information as the government-wide financial statements, only in more detail. The city reports the activity of its two major enterprise funds,

waterworks utility (water, wastewater, and storm water) and solid waste separately. Information from the remaining non-major enterprise funds is combined and presented in a single, aggregated column in the fund statements. Internal service funds are also aggregated and reported separately in this section.

Fiduciary Funds – Fiduciary Funds are used to account for resources held for the benefit of parties outside the government. Fiduciary funds are not reported in the government-wide financial statements because the resources of those funds are not available to support the city's own operations. The accounting used for fiduciary funds is much like that used for proprietary funds.

Notes to the Financial Statements

The notes provide additional information that is essential to a full understanding of the information provided and are an integral part of the government-wide and fund financial statements.

Other information

In addition to the basic finance statements and accompanying notes, this report also presents:

1. *Required Supplemental Information (RSI)*: RSI provides budgetary comparisons for the general fund budget to actual, as well as the city's funding progress for the Firefighters' Pension Trust Fund and Other Post-Employment Benefits (LEOFF 1 Retiree Medical).

2. *Combining Statements*: The combining statements provide additional detail for other government funds, internal service funds, and fiduciary funds.

3. *Statistical Information*: The statistical information section includes unaudited trends and demographic information.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Statement of Net Position

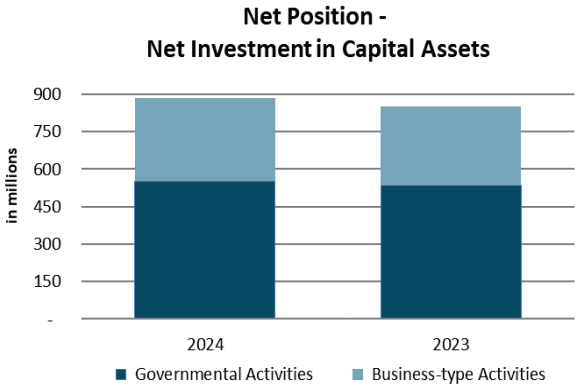
The following is a summary of the city's net position as of December 31, 2024, with comparison to 2023:

CONDENSED STATEMENT OF NET POSITION

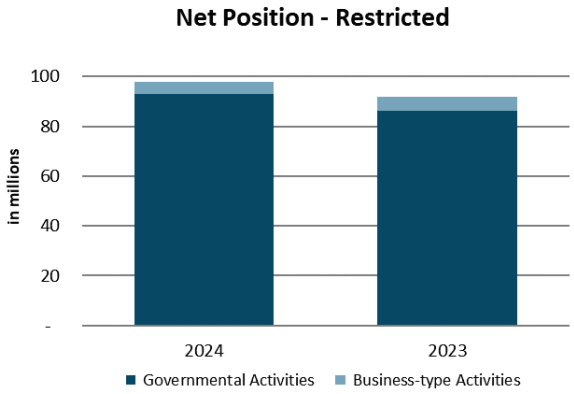
	Governmental Activities		Business-type Activities		Total	
	2024	2023	2024	2023	2024	2023
Current assets	$ 344,992,823	$ 298,350,869	$ 154,347,644	$ 142,472,666	$ 499,340,467	$ 440,823,535
Capital assets	580,987,576	565,173,195	345,201,225	325,052,511	926,188,801	890,225,706
Other non-current assets	75,052,414	79,957,437	5,002,672	5,643,576	80,055,086	85,601,013
TOTAL ASSETS	1,001,032,813	943,481,501	504,551,541	473,168,753	1,505,584,354	1,416,650,254
Deferred Outflows of Resources	23,507,738	18,009,202	3,352,197	2,675,741	26,859,935	20,684,943
Long-term liabilities	74,661,382	78,468,729	7,548,354	9,761,212	82,209,736	88,229,941
Other liabilities	31,991,244	26,458,357	9,475,252	7,978,230	41,466,496	34,436,587
TOTAL LIABILITIES	106,652,626	104,927,086	17,023,606	17,739,442	123,676,232	122,666,528
Deferred Inflows of Resources	8,191,725	12,706,586	1,065,660	1,775,771	9,257,385	14,482,357
NET POSITION:						
Net Investment in Capital Assets	551,984,271	536,120,344	334,434,587	313,952,567	886,418,858	850,072,911
Restricted	92,426,285	86,174,613	4,996,359	5,633,456	97,422,644	91,808,069
Unrestricted	265,285,644	221,562,074	150,383,526	136,743,258	415,669,170	358,305,332
TOTAL NET POSITION	$ 909,696,200	$ 843,857,031	$ 489,814,472	$ 456,329,281	$ 1,399,510,672	$ 1,300,186,312

At the close of the most recent fiscal year, assets and deferred outflows of resources exceeded liabilities and deferred inflows of resources by $1.4 billion, a $99.3 million increase over 2023.

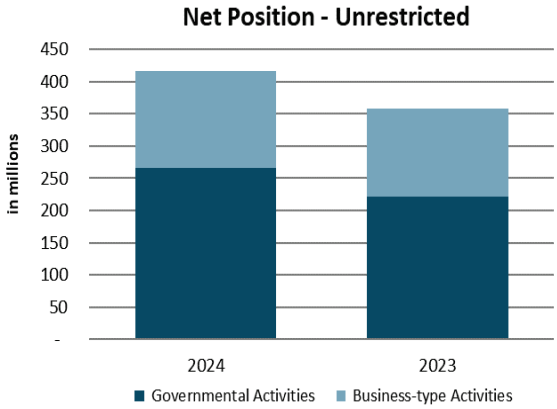
Net Position - Net Investment in Capital Assets. $886.4 million (63%) of total net position reflects the city's investment in capital, net of related debt that was used to acquire those assets. The city uses these assets to provide a variety of services to the public. Accordingly, these assets are not available for future spending. Although investment in capital assets is reported net of related debt, resources used to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.



Net Position – Restricted. Total restricted net position accounts for $97.4 million of the city's net position, which is a $5.6 million increase (6.1%) from 2023. This change is primarily attributed to an increase in special purpose taxes and assessments, most notably for real estate excise taxes (REET), local sales and use tax restricted for affordable housing (HB1590) and local sales and use tax added from the formation of a Transportation Benefit District (TBD). These increases were partially offset by a decrease to the amounts restricted for net pension assets.



Net Position – Unrestricted. The remaining $415.7 million of net position is unrestricted and may be used to meet the government's ongoing obligations for governmental and business type activities ($265.3 million and $150.4 million, respectively).



At the end of the current fiscal year, the city reports a positive net position in all net position categories, for both governmental activities and business-type activities. The same held true for the prior fiscal year.

Statement of Activities and Change in Net Position

The following is a condensed summary statement of activities and change in net position as of

December 31, 2024, with comparison to 2023.

CONDENSED STATEMENT OF ACTIVITIES

	Governmental Activities		Business-type Activities		Total	
	2024	2023	2024	2023	2024	2023
Revenues:						
Program revenues:						
Charges for services	$ 21,995,245	$ 20,272,950	$ 101,943,122	$ 98,160,057	$ 123,938,367	$ 118,433,007
Operating grants and contributions	9,682,841	7,301,395	793,968	386,362	10,476,809	7,687,757
Capital grants and contributions	19,825,988	19,491,497	17,470,633	5,187,720	37,296,621	24,679,217
Taxes and other general revenues:						
Property taxes	25,515,900	25,201,735			25,515,900	25,201,735
Sales taxes	51,004,245	48,173,923			51,004,245	48,173,923
Other Taxes	55,033,220	50,873,968			55,033,220	50,873,968
Other general revenue	15,814,602	15,246,779	6,680,959	5,686,639	22,495,561	20,933,418
Total revenues	198,872,041	186,562,247	126,888,682	109,420,778	325,760,723	295,983,025
Expenses:						
General government	15,306,366	18,831,400			15,306,366	18,831,400
Judicial	4,285,228	3,924,144			4,285,228	3,924,144
Public safety	51,425,149	45,821,151			51,425,149	45,821,151
Utilities	58,148	43,193			58,148	43,193
Transportation	21,753,086	20,222,129			21,753,086	20,222,129
Economic and natural environment	12,861,619	13,681,351			12,861,619	13,681,351
Health and human services	4,443,088	3,578,875			4,443,088	3,578,875
Culture and recreation	19,907,249	14,510,956			19,907,249	14,510,956
Interest on long-term debt	832,975	910,047			832,975	910,047
Airport			3,445,628	3,263,367	3,445,628	3,263,367
Golf Course			3,281,855	3,096,659	3,281,855	3,096,659
Solid Waste			27,009,823	24,946,989	27,009,823	24,946,989
Waterworks Utility			58,700,608	55,957,729	58,700,608	55,957,729
Total expenses	130,872,908	121,523,246	92,437,914	87,264,744	223,310,822	208,787,990
Increase in net position before transfers	67,999,133	65,039,001	34,450,768	22,156,034	102,449,901	87,195,035
Transfers	110,599	580,392	(110,599)	(580,392)	-	-
Special Items	-	-	-	-	-	-
Increase (decrease) in net position	68,109,732	65,619,393	34,340,169	21,575,642	102,449,901	87,195,035
Net position - beginning	843,857,031	778,237,638	456,329,281	434,753,639	1,300,186,312	1,212,991,277
Error Correction	2,373,761	-	-	-	2,373,761	-
Change in Accounting Principle	(4,644,324)	-	(854,978)	-	(5,499,302)	-
Net position - ending	$ 909,696,200	$ 843,857,031	$ 489,814,472	$ 456,329,281	$ 1,399,510,672	$ 1,300,186,312

Citywide revenue. Total revenue (governmental and business-type) increased by $29.8 million, or 10.1 percent. This change in revenue is attributed to a $5.5 million increase in charges for services, a $15.4 million increase in grants and contributions, and an $8.9 million increase in interest income, property, retail sales, and business and excise taxes.

Governmental Activities had a $1.7 million increase in charges for services primarily due to an increase in permitting and licenses. Business-type Activities had an increase of $3.8 million in charges for services primarily related to utility rate increases. Governmental activities operating grants and contributions increased $2.4 million due the recognition of grant revenue for the American Rescue Plan Act (ARPA). In addition, business-type activities reflected an increased in capital grants and contribution revenue by $12.3 million due to the recognition of grant revenue related to ongoing capital projects, primarily the Monroe Ave NE project.

The increase in property tax, local retail and business and operation (B&O) tax revenues are primarily attributed to the formation of a Transportation Benefit District (TBD) which brought in an additional $3.3 million for use on transportation improvement projects. Additionally, increases in real estate excise tax (REET) due to several large commercial and apartment complexes and a B&O tax cap increase from $9 million to $11 million in 2024 both contributed to overall increased tax revenues. Lastly, there was a significant increase in investment earnings from strong market rates closely tied to the federal funds rate resulting from favorable economic indicators.

Citywide expenses. Expenses totaled $223.3 million in 2024, a $14.5 million increase from 2023. Governmental activities expenses increased $9.3 million primarily due to personnel costs and contracted services. The city has actively strived to fill vacant positions that remained vacant due to turnover, in addition to the issuance of cost-of-living increases citywide. Contracted services increased due to inflationary factors and additional professional services for security and city-wide cleanup.

Business-type expenses increased by $5.2 million due to increases in personnel services and contracted services expenses. As noted above, filling previously vacant positions coupled with cost-of-living increases has driven personnel costs up from prior year. Increased utility costs, CPI increases from garbage provider and increased internal service charges contributed to the overall rise in contracted services.

Change in net position. The resulting change in net position was an increase in 2024 by $99.3 million attributed to a $33.5 million increase from governmental activities and a $65.8 million increase from business-type activities. The increase in governmental activities and business-type activities is related to revenue and expenditure variances explained above.

Governmental Activities Analysis

Governmental activities cost a total of $130 million in 2024 against program generated revenue (excluding taxes and other general revenue) of $51.5 million. Charges for services support 16.8 percent of the governmental program costs, while the remaining 83.2 percent of governmental program costs are supported by grants, contributions, taxes and other general revenue. Compared to 2023, governmental activities cost increased $9.3 million and program revenues increased $12.7 million.

Chart 1: Expenses and Program Revenues - Governmental Activities

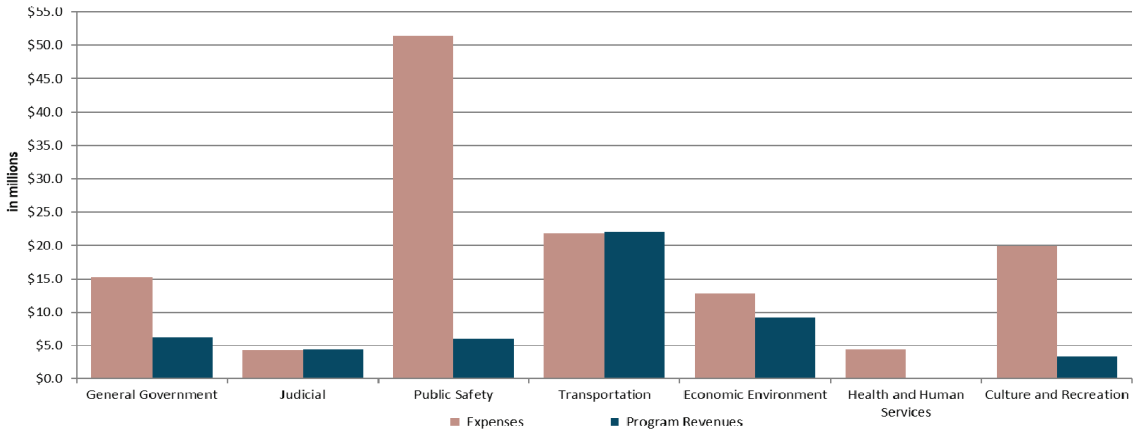
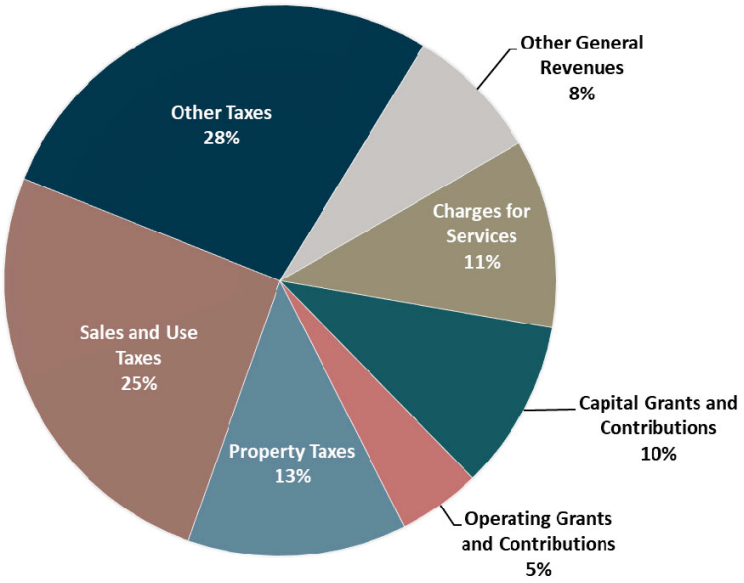


Chart 1 portrays the extent that the cost of each of the city's governmental programs is supported by its own program generated revenue (fees, intergovernmental revenues, and contributions specifically related to that program). Public safety accounts for 39.3 percent of the total governmental activity costs but generates the lowest percentage of program revenues compared to its program costs (11.8 percent). Conversely, judicial and transportation both recovered all their costs in 2024 through program revenues. Judicial program revenues consist of traffic citations, parking citations, criminal charges, miscellaneous court fees, and red-light camera fees. Transportation program revenues primarily consist of operating and capital grants and contributions.

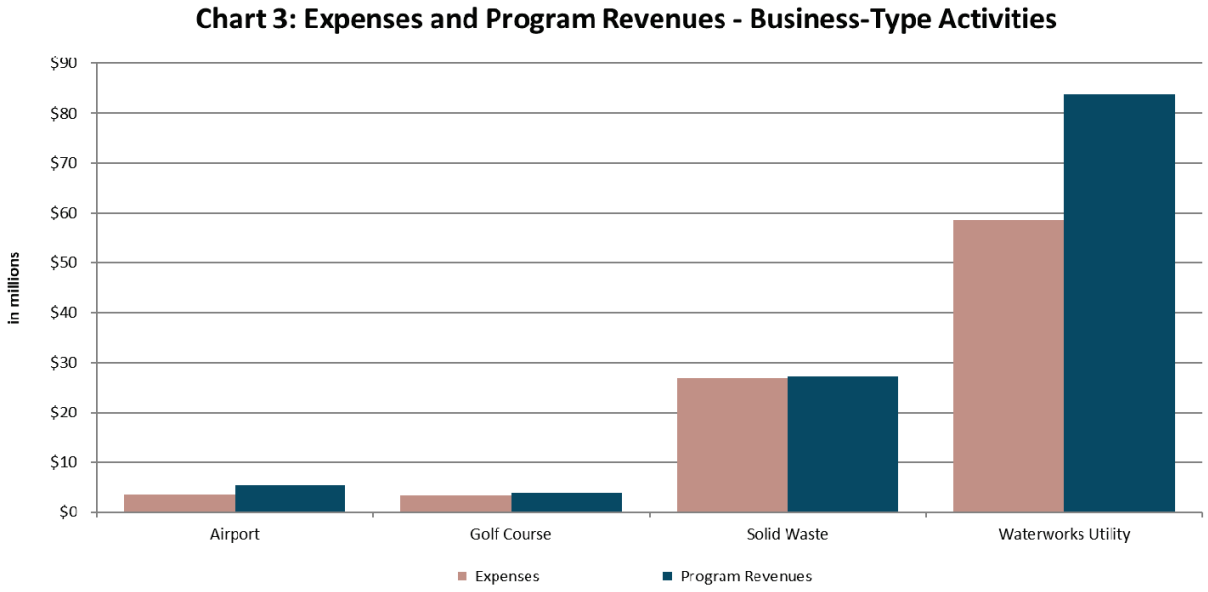
Chart 2 depicts the source breakdown for all revenues that fund governmental activities. Approximately 66 percent of the total governmental activity revenues come from taxes. The city's two largest governmental revenue sources are sales and use taxes (25 percent) and other taxing sources (28 percent), which consists of business and occupation tax and excise tax. The next largest revenue source is property tax which accounts for 13 percent of the city's general governmental revenue. While program specific charges for services, grants and contributions generate 26 percent of total revenue for general governmental activities, the city is largely dependent on tax revenue and as a result, the general economy has a major impact on the city's revenue streams. Other general revenue accounts for 8 percent of revenue sources and includes interest and miscellaneous revenue.

Chart 2:
Revenues by Source - Governmental Activities



Business-Type Activities Analysis

Since the primary source of revenue for business-type activities is user fees and charges, there is much less disparity between program costs and related program revenue. Chart 3 shows the expense of each of the city's business-type program along with each program's revenue (fees and intergovernmental revenues specifically related to that program).



The Waterworks Utility generated $66.7 million in fees for services, and the operating and debt service costs were $58.7 million. In addition, the waterworks utility received $17 million in grants, contributions, and capital contributions from developers, for a combined increase in net position of $25 million. The operating balance is necessary for future planned system infrastructure replacements, repairs, and enhancements. Compared to 2023, the waterworks utility had a $1.7 million increase in operating revenue collections and a $2.7 million increase in operating expenses. The waterworks utility had increased personnel costs primarily attributed to providing cost-of living increases that aligned with CPI and a competitive job market. Contracted services also contributed to the increase in costs, primarily related to increased utility costs and sewer service charges for wastewater treatment services provided by King County.

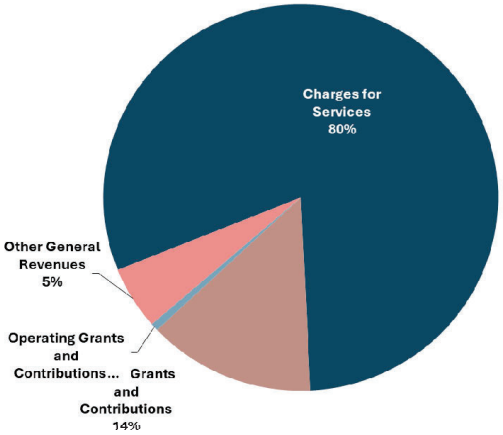
The Solid Waste Utility generated $26.9 million in fees for services and incurred $27 million in program expenses, resulting in an increase in net position of $248 thousand.

The Airport generated a total of $4.6 million in revenue from charges for services and incurred $3.4 million in overall expenses. The Airport received $831 thousand in grants and contributions in 2024, resulting in an $2 million increase in net position.

The Golf Course generated a total of $3.8 million in green fees, driving range charges, and other user fees. The total expenses for the Golf Course were $3.3 million, resulting in a $541 thousand increase in net position for the year.

Chart 4 illustrates the source of revenue for business-type activities, which are supported primarily from charges for services. Charges for services generated $101.9 million, or 80 percent, of the total revenue sources, while grant revenue and contributions generated $18.3 million, or 15 percent, of the total revenue sources. This is a $3.8 million increase in charges for services from 2023 primarily due to rate increases and a $12.7 million increase in grants and contributions from 2023.

Chart 4: Business-Type Activities



FUND FINANCIAL ANALYSIS

Governmental Funds

The governmental fund statements provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the city's ability to meet financing requirements in the near term. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year.

General Fund – At the end of the fiscal year, the city had a fund balance of $127.9 million, which is an increase of $17.8 million from 2023. Overall, the city's general fund revenues increased $7.8 million over 2023, and general fund expenditures have increased by $4.6 million. As economic growth began to slow in 2024, the city saw a marginal growth in tax revenue of $2.8 million or 2.4% primarily attributed to the addition of new key retail businesses and an increase in business and occupation tax thresholds. Intergovernmental and miscellaneous revenues increased $3.6 million due to the remaining recognition of ARPA-related revenue and the receipt of opioid settlements. Investment earnings increased $1.6 million as a result of strategic investments aligned with favorable market conditions. The increase in expenditures over prior year is attributed to inflation, which resulted in providing cost-of-living increases more closely aligned with higher-than-average CPI, as well as increases for external services and supplies.

Municipal Facilities CIP Fund – This fund accounts for all the City's parks and facilities related capital projects (new construction, major maintenance, and improvements). The overall revenue decreased $5.4 million over 2023 attributed to grants, contributions and intergovernmental funding on Gene Coulon North Water Walk and Family First Community Center projects closed out in prior year. Expenditures decreased $11.3 million, primarily due to the completion of Gene Coulon North Water Walk, Kiwanis Park and Philip Arnold Park in prior year.

Capital Improvement Fund – This fund accounts for all street, roadway and transportation related capital projects and programs. Overall revenue increased $1.4 million over 2023 primarily due to the formation of the Transportation Benefit District which brought in additional sales tax of $3.3 million designated for transportation improvement projects. Additionally, Rainier Ave Phase 4

project had increased contributions of $1.7 million for joint utility construction. These increases were offset by a reduction in intergovernmental revenues of $3.4 million due to the receipt of large capital grants in prior year for Rainier Ave Phase 4, Duvall Ave and Bronson Bridge. Overall expenditures stayed moderately flat with a slight increase of $300 thousand over prior year as large construction projects continue, most notably Rainier Ave Phase 4.

Proprietary Funds

The proprietary fund financial statements provide the same type of information found in the government-wide financial statements, but in more detail. The analysis for the proprietary funds is found within the business-type activities analysis and discussion above. The proprietary fund statements also include a column for internal services fund activities in aggregate. These activities are consolidated with general governmental activities in the government-wide statements.

GENERAL FUND BUDGETARY HIGHLIGHTS

The city uses a biennial budget process that adopts two one-year budgets at one time; 2024 was the second year of the 2023-24 biennium. The following is a condensed summary of the 2024 general fund budget comparison.

GENERAL FUND BUDGET COMPARISON

	Budgeted Amounts			Variance with Final Budget Favorable
	Original	Final	Actual	(Unfavorable)
Taxes	$ 103,760,621	$ 108,207,534	$ 117,005,949	$ 8,798,415
Various charges	24,039,170	28,973,656	30,619,269	1,645,612
Other Revenues	559,822	6,334,644	9,220,775	2,886,131
TOTAL REVENUES	128,359,613	143,515,834	156,845,993	13,330,158
Current Operating	128,163,656	137,688,584	124,791,493	12,897,091
Capital Outlay	20,200	81,000	317,598	(236,598)
Debt Service	-	-	-	-
TOTAL EXPENDITURES	128,183,856	137,769,584	125,109,091	12,660,493
Transfers/insurance recoveries	(2,808,779)	(14,046,331)	(13,882,495)	163,836
Net Change in Fund Balance	(2,633,022)	(8,300,080)	17,854,407	26,154,487
FUND BALANCE, JANUARY 1	60,139,686	99,226,476	110,083,128	10,856,652
Prior Period Adjustment	-	-	-	-
FUND BALANCE - DECEMBER 31	$ 57,506,664	$ 90,926,396	$ 127,937,535	$ 37,011,139

Original budget for tax revenues, including property taxes, business and occupation taxes and other miscellaneous taxes, is budgeted based on the previous four to five years' collection rates

and economic projections. The final budget was adjusted to reflect the projected effects of the economic condition and anticipated increases from rate increases. The overall economic impact was better than expected. Business and occupation taxes, criminal justice tax, utility taxes, admission taxes, and gambling taxes came in higher than projected for an overall variance of $8.8 million. Various charges and other revenues came in higher than final budget by a combined total of $4.5 million, primarily driven by increased permitting fees for large projects with the city, an increase in intergovernmental revenues related to special funding for retirement contributions, and a strong investment market that provided a significant increase in investment earnings.

Original budget for expenditures had an initial net increase of $9.6 million primarily driven by budget increases in in Culture and Recreation, General Government, Health and Human Services, Judicial and Public Safety. Personnel costs were one of the main drivers of increase over original budget in these service areas. Position reclassifications and cost-of-living increases closely aligned with higher-than-average CPI indices better positioned the city within the competing job market to retain qualified staff and attract new talent. Additional budget increases included contracted services for citywide cleanup efforts; downtown cleaning services, professional services for legal fees and merchant services; and funding to non-profit human service agencies to support community needs. Actual expenditures came in $12.7 million less than final budget due to ongoing personnel vacancies, and timing of executed contract services and grant expenditures.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

The City of Renton's investment in capital assets, including construction in progress and net of accumulated depreciation, for governmental and business-type activities amounts to $926.2 million as of December 31, 2024, compared to $890.2 million in 2023.

CAPITAL ASSETS
(Net of Depreciation/Amortization)

	Governmental Activities		Business-Type Activities		Total	
	2024	2023	2024	2023	2024	2023
Land and Land Improvements	$ 221,378,496	$ 219,624,628	$ 6,143,690	$ 6,143,690	$ 227,522,186	$ 225,768,318
Capital Assets	315,606,351	304,782,724	317,620,273	296,334,751	633,226,624	601,117,475
Intangible Assets	2,076,963	2,339,170	834,283	836,400	2,911,246	3,175,570
Construction in Progress	41,925,765	38,426,673	20,602,979	21,737,670	62,528,744	60,164,343
Total	$ 580,987,575	$ 565,173,195	$ 345,201,225	$ 325,052,511	$ 926,188,800	$ 890,225,706

Governmental activities showed an increase of $15.8 million which is attributed to several large transportation capital projects. These largest projects include construction and completion of Park Avenue Extension and Bronson Bridge, and ongoing construction of Rainier Avenue. Businesses-type activities showed a net increase of $20.1 million attributed to a few large surface water and sewer capital projects. The largest project was the construction of the Monroe Avenue NE storm water retention basin.

As of December 31, 2024, depreciable capital assets for governmental activities were 43 percent depreciated, equal to the 2023 rate. This comparison indicates the city is replacing its assets at

the same rate that are depreciating, which is a positive indicator. More detailed capital asset information is provided in Note 4 of the Notes to Financial Statements.

Debt Administration

The city's total outstanding debt at December 31, 2024, was $50.5 million, a $6.2 million (12.3 percent) decrease from the prior year which is attributed to the city's continued commitment to paying down debt. More detailed debt information is provided in Note 10 of the Notes to Financial Statements.

LONG-TERM DEBT

	Governmental Activities		Business-Type Activities		Total	
	2024	2023	2024	2023	2024	2023
General Obligation Bonds	$ 22,400,000	$ 24,395,000	$ -	$ -	$ 22,400,000	$ 24,395,000
Revenue Bonds	-	-	8,020,000	10,565,000	8,020,000	10,565,000
Other Long-Term Debt	17,629,468	18,775,194	23,503	298,021	17,652,971	19,073,214
Unamortized Premium (Discount)	2,244,073	2,452,965	151,858	202,477	2,395,931	2,655,442
Total	$ 42,273,541	$ 45,623,159	$ 8,195,361	$ 11,065,497	$ 50,468,902	$ 56,688,656

The City's general obligation debt rating was upgraded to AAA by Standard and Poor in March 2019.

Washington State law limits the amount of general obligation debt a governmental entity may issue to 7.5 percent of its total assessed value. Of the 7.5 percent limit, 2.5 percent is for general purposes, 2.5 percent is for open spaces/parks, and 2.5 percent is for utilities. Of the general obligation bonds, non-voted (limited tax) general obligation indebtedness is limited to 1.5 percent of assessed valuation.

REQUESTS FOR FINANCIAL INFORMATION

This financial report is designed to provide our citizens, creditors, investors, and others interested in the city's finances with a general overview of the city's finances and to show the city's accountability for financial resources it receives. If you have any questions about this report or need additional information, please contact Kari Roller, Finance Administrator, 1055 South Grady Way, Renton, WA 98057 or visit our web site at www.rentonwa.gov.

City of Renton
Statement of Net Position
December 31, 2024

	Primary Government		
	Governmental Activities	Business-type Activities	Total
ASSETS			
Current assets:			
Cash and cash equivalents	$ 173,632,156	$ 79,089,763	$ 252,721,919
Restricted cash and cash equivalents	1,094,734	-	1,094,734
Cash with fiscal agent	777,526	-	777,526
Investments at fair value	127,681,995	60,214,756	187,896,751
Receivables (net of allowance for uncollectibles)	40,238,488	14,458,364	54,696,852
Internal balances	(158,260)	158,260	-
Inventories	450,715	391,016	841,731
Prepayments	1,275,469	-	1,275,469
Notes and assessments receivable	-	35,485	35,485
Total current assets	344,992,823	154,347,644	499,340,467
Noncurrent assets:			
Restricted cash and cash equivalents	-	2,810,145	2,810,145
Notes and assessments receivable	-	6,313	6,313
Restricted receivable	2,822,651	-	2,822,651
Net pension asset	32,013,392	2,186,214	34,199,606
Investment in joint ventures (net)	40,216,371	-	40,216,371
Capital assets:			
Land	221,378,496	6,143,690	227,522,186
Construction in progress	41,925,765	20,602,979	62,528,744
Capital assets (net)	315,606,351	317,620,273	633,226,624
Intangible assets (net)	2,076,963	834,283	2,911,246
Total noncurrent assets	656,039,990	350,203,897	1,006,243,887
Total assets	1,001,032,813	504,551,541	1,505,584,354
DEFERRED OUTFLOWS OF RESOURCES			
Deferred outflows related to pensions	23,313,899	3,091,239	26,405,138
Deferred amount on refunding	193,839	260,958	454,797
Total deferred outflows of resources	23,507,738	3,352,197	26,859,935
Total assets and deferred outflows of resources	1,024,540,551	507,903,738	1,532,444,289
LIABILITIES			
Current liabilities:			
Accounts payable and other current liabilities	15,959,808	5,433,507	21,393,315
Interest payable	144,349	17,397	161,746
Unearned revenue	6,143,136	541,989	6,685,125
Current portion of long-term liabilities	9,743,951	3,482,359	13,226,310
Total current liabilities	31,991,244	9,475,252	41,466,496
Noncurrent liabilities:			
Noncurrent portion of long-term liabilities	74,661,382	7,548,354	82,209,736
Total noncurrent liabilities	74,661,382	7,548,354	82,209,736
Total liabilities	106,652,626	17,023,606	123,676,232
DEFERRED INFLOWS OF RESOURCES			
Deferred inflows related to pensions	7,294,234	958,878	8,253,112
Deferred Inflows related to leases	897,491	106,782	1,004,273
Total deferred inflows of resources	8,191,725	1,065,660	9,257,385
Total liabilities and deferred inflows of resources	114,844,351	18,089,266	132,933,617
NET POSITION			
Net investment in capital assets	551,984,271	334,434,587	886,418,858
Restricted for:			
Debt Service	252,900	2,810,145	3,063,045
Grants and contributions	1,852,553	-	1,852,553
Pensions	32,013,392	2,186,214	34,199,606
Special purpose taxes & assessments	58,307,440	-	58,307,440
Unrestricted	265,285,644	150,383,526	415,669,170
Total net position	$ 909,696,200	$ 489,814,472	$ 1,399,510,672

The notes to the financial statements are an integral part of this statement.

City of Renton
Statement of Activities
For the Year Ended December 31, 2024

		Program Revenues			Net (Expense) Revenue and Changes in Net Position		
					Primary Government		
Functions/Programs	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-type Activities	Total
Primary government:							
Governmental activities:							
Culture and recreation	$ 19,907,249	$ 2,730,254	$ 218,161	$ 474,590	$ (16,484,244)	$ -	$ (16,484,244)
Economic environment	12,861,619	8,113,426	178,717	872,058	(3,697,418)	-	(3,697,418)
General government	15,306,366	4,228,470	1,952,258	-	(9,125,638)	-	(9,125,638)
Health and human services	4,443,088	132,393	46,057	-	(4,264,638)	-	(4,264,638)
Judicial	4,285,228	4,127,285	225,695	-	67,752	-	67,752
Public safety	51,425,149	1,108,052	4,947,270	-	(45,369,827)	-	(45,369,827)
Transportation	21,753,086	1,555,365	2,082,325	18,479,340	363,944	-	363,944
Utilities	58,148	-	-	-	(58,148)	-	(58,148)
Interest on long-term debt	832,975	-	32,358	-	(800,617)	-	(800,617)
Total governmental activities	130,872,908	21,995,245	9,682,841	19,825,988	(79,368,834)	-	(79,368,834)
Business-type activities:							
Airport	3,445,628	4,570,941	72,855	757,831	-	1,955,999	1,955,999
Golf Course	3,281,855	3,822,959	-	-	-	541,104	541,104
Solid Waste	27,009,823	26,865,747	392,405	-	-	248,329	248,329
Waterworks Utility	58,700,608	66,683,475	328,708	16,712,802	-	25,024,377	25,024,377
Total business-type activities	92,437,914	101,943,122	793,968	17,470,633	-	27,769,809	27,769,809
Total primary government	$ 223,310,822	$ 123,938,367	$ 10,476,809	$ 37,296,621	(79,368,834)	27,769,809	(51,599,025)
General revenues:							
Property taxes					25,515,900	-	25,515,900
Retail sales taxes					51,004,245	-	51,004,245
Business taxes					47,202,669	-	47,202,669
Excise taxes					7,830,551	-	7,830,551
Interest and investment earnings					13,273,061	6,428,578	19,701,639
Miscellaneous					2,475,457	252,381	2,727,838
Gain on disposal of capital assets					66,084	-	66,084
Transfers					110,599	(110,599)	-
Total general revenues, special items, and transfers					147,478,566	6,570,360	154,048,926
Change in net position					68,109,732	34,340,169	102,449,901
Net position - January 1, as previously presented					843,857,031	456,329,281	1,300,186,312
Change in accounting principle					(4,644,324)	(854,978)	(5,499,302)
Error correction					2,373,761		2,373,761
Total net position - January 1, restated					841,586,468	455,474,303	1,297,060,771
Net position - December 31					$ 909,696,200	$ 489,814,472	$ 1,399,510,672

The notes to the financial statements are an integral part of this statement.

City of Renton
Balance Sheet
Governmental Funds
December 31, 2024

	General	Municipal Facilities CIP	Capital Improvement	Total Nonmajor Funds	Total Governmental Funds
ASSETS					
Cash & cash equivalents	$ 71,643,712	$ 18,914,006	$ 10,170,212	$ 21,004,463	$ 121,732,393
Restricted cash, cash equivalents	1,094,734	-	-	-	1,094,734
Cash with fiscal agent	777,526	-	-	-	777,526
Investments at fair value	52,709,482	13,906,061	7,477,399	15,431,021	89,523,963
Receivables (net of allowance for uncollectible):					
Taxes	14,490,162	-	740,640	803,919	16,034,721
Customer accounts	12,882,042	87,678	3,488,159	62,242	16,520,121
Interest & penalties	505,294	91,961	53,800	144,121	795,176
Due from other funds	49	-	-	-	49
Due from other governments	1,041,498	101,745	4,524,915	4,256	5,672,414
Interfund loans	45,434	-	-	-	45,434
Advances due from other funds	53,584	-	-	-	53,584
Restricted receivable	2,822,651	-	-	-	2,822,651
Total assets	158,066,168	33,101,451	26,455,125	37,450,022	255,072,766
LIABILITIES					
Accrued wages and benefits payable	3,217,120	-	-	-	3,217,120
Accounts payable	2,179,693	871,117	3,449,923	302,711	6,803,444
Retainage payable	23,110	56,881	34,005	-	113,996
Due to other funds	266,565	49	-	-	266,614
Customer deposits	1,246,024	-	-	-	1,246,024
Unearned revenue	7,040,625	-	-	-	7,040,625
Total liabilities	13,973,137	928,047	3,483,928	302,711	18,687,823
DEFERRED INFLOWS OF RESOURCES					
Unavailable revenues	15,258,005	189,423	4,683,183	29,892	20,160,503
Deferred inflows related to leases	897,491	-	-	-	897,491
Total deferred inflows of resources	16,155,496	189,423	4,683,183	29,892	21,057,994
Total liabilities and deferred inflows of resources	30,128,633	1,117,470	8,167,111	332,603	39,745,817
FUND BALANCES (DEFICITS)					
Restricted	2,597,900	7,229,062	16,965,923	30,797,358	57,590,243
Committed	2,644,773	13,664,730	4,906,875	730,923	21,947,301
Assigned	6,549,391	11,090,189	-	5,589,138	23,228,718
Unassigned	116,145,471	-	(3,584,784)	-	112,560,687
Total fund balances (deficits)	127,937,535	31,983,981	18,288,014	37,117,419	215,326,949
Total liabilities, deferred inflows of resources, and fund balances (deficits	$ 158,066,168	$ 33,101,451	$ 26,455,125	$ 37,450,022	$ 255,072,766

The notes to the financial statements are an integral part of this statement.

City of Renton
Reconciliation of the Balance Sheet
To the Statement of Net Position
December 31, 2024

FUND BALANCES - TOTAL GOVERNMENTAL FUNDS		$ 215,326,949
Amounts reported for governmental activities in the statement of net position are different because:		
Other non-current assets and deferred outflows of resources used in governmental activities are not financial resources and, therefore, are not reported in the governmental funds.		
Investment in Joint Venture-SCORE	29,553,738	
Investment in Joint Venture-Valley Communications	10,614,479	
Investment in Joint Venture-File Local	48,154	
Net pension assets	30,450,120	
Deferred outflows related to pensions	21,103,483	
Deferred outflows related to refundings	193,839	91,963,813
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the governmental funds.		
Land	221,378,496	
Construction in progress	41,564,638	
Capital assets (net of accumulated depreciation)	302,659,211	
Intangible assets (net of accumulated amortization)	789,151	566,391,496
Other long-term assets are not available to pay for current period expenditures and, therefore, are reported as unavailable revenue in the funds.		
Property and business tax revenue	1,030,925	
Photo enforcement revenue	9,652,211	
Municipal court revenue	345,500	
Intergovernmental revenue	5,111,178	
Other	4,918,185	21,057,999
Certain liabilities are not due and payable in the current period and, therefore, are not reported in the governmental funds.		
Interest payable	(144,349)	
Bonds payable	(41,607,663)	
Leases payable	(64,230)	
Compensated absences	(9,413,871)	
Net pension liability	(2,944,021)	
Deferred inflows related to pensions	(6,608,578)	(60,782,712)
Accrued pension expense reported in the governmental funds is not included in the calculation of the net pension liability.		175,609
Internal service funds are used by management to charge the costs of certain activities, such as equipment rental, self-insurance, information technology and facility services to individual funds. The assets and liabilities of the internal service funds are included in the governmental activities in the statement of net position.		75,563,046
NET POSITION OF GOVERNMENTAL ACTIVITIES		$ 909,696,200

The notes to the financial statements are an integral part of this statement.

City of Renton
Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
For the Year Ended December 31, 2024

	General	Municipal Facilities CIP	Capital Improvement	Total Nonmajor Funds	Total Governmental Funds
REVENUES					
Taxes	$ 117,005,949	$ -	$ 3,325,701	$ 10,790,447	$ 131,122,097
Licenses and permits	6,565,580	-	-	45,005	6,610,585
Intergovernmental revenues	8,933,631	1,400,789	5,955,519	51,575	16,341,514
Charges for services	5,987,063	9,000	9,880	2,188,178	8,194,121
Fines and forfeits	3,899,080	-	-	1,670	3,900,750
Contributions	233,686	-	4,806,648	441,851	5,482,185
Investment earnings	5,890,911	1,187,887	707,656	1,536,364	9,322,818
Miscellaneous revenue	3,096,178	-	-	2,596	3,098,774
Total revenues	151,612,078	2,597,676	14,805,404	15,057,686	184,072,844
EXPENDITURES					
Current:					
Culture and recreation	16,334,563	780,598	-	49,862	17,165,023
Economic environment	12,461,905	-	-	730,321	13,192,226
General government	15,499,295	2,456,288	-	412,724	18,368,307
Health and human services	3,952,799	-	-	3,499	3,956,298
Judicial	4,493,094	-	-	-	4,493,094
Public safety	53,773,660	-	-	274,337	54,047,997
Transportation	13,042,262	-	1,721,120	-	14,763,382
Debt service:					
Principal payment	-	-	-	1,995,000	1,995,000
Interest payment	-	-	-	960,590	960,590
Capital outlay:					
Culture and recreation	142,846	961,841	-	-	1,104,687
Economic environment	11,149	-	-	-	11,149
General government	-	1,542,369	-	-	1,542,369
Health and human services	-	527,205	-	-	527,205
Public safety	57,349	-	-	115,291	172,640
Transportation	106,254	-	17,936,159	-	18,042,413
Total expenditures	119,875,176	6,268,301	19,657,279	4,541,624	150,342,380
Excess (deficiency) of revenues over expenditures	31,736,902	(3,670,625)	(4,851,875)	10,516,062	33,730,464
OTHER FINANCING SOURCES (USES)					
Transfer in	983,468	9,837,858	2,954,000	3,120,775	16,896,101
Transfers out	(15,029,799)	(220,423)	(18,000)	(4,718,425)	(19,986,647)
Proceeds from sale of capital assets	22,602	-	-	-	22,602
Insurance Recoveries	141,234	-	-	-	141,234
Total other financing sources (uses)	(13,882,495)	9,617,435	2,936,000	(1,597,650)	(2,926,710)
Net change in fund balances	17,854,407	5,946,810	(1,915,875)	8,918,412	30,803,754
Fund balances - January 1	110,083,128	$ 26,037,171	20,203,889	28,199,007	184,523,195
Fund balances - December 31	$ 127,937,535	$ 31,983,981	$ 18,288,014	$ 37,117,419	$ 215,326,949

The notes to the financial statements are an integral part of this statement.

City of Renton
Reconciliation of the Statement of Revenues, Expenditures
and Changes in Fund Balances of the Governmental Funds
To the Statement of Activities
Governmental Activities
For the Year Ended December 31, 2024

NET CHANGES IN FUND BALANCES - TOTAL GOVERNMENTAL FUNDS		$ 30,803,754
Amounts reported for governmental activities in the statement of activities are different because:		
Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which depreciation and amortization expenses and the loss on transfer of capital assets to other governments exceeded capital outlays.		
Capital expenditures	21,400,463	
Depreciation and amortization expense	(12,293,162)	
Book value of capital assets sold/abandoned	(173,444)	8,933,857
Governmental funds report pension expenditures when due and payable from current financial resources. However, in the statement of activities, pension expense is measured by the change in the net pension assets, net pension liabilities, and related deferred outflows and inflows. This is the net difference in pension expense.		5,080,156
Donations of property and infrastructure from developers are not reported in the governmental funds. However, in the statement of activities, the fair market value of those assets is recognized as revenue.		3,446,270
Revenues in the statement of activities that do not provide current financial resources are not reported as revenue in the funds. Unavailable revenue changed by this amount.		5,159,010
The issuance of long-term debt (e.g., bonds, leases) provides current financial resources to governmental funds, while the repayment of the principle of long-term debt consumes the current financial resources of governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of premiums, discounts, and refundings when debt is first issued, whereas these amounts are deferred and amortized in the statement of activities. This amount is the net effect of these differences in the treatment of long-term debt and related items.		1,569,601
Increase (decrease) in Investment in Joint Ventures which do not provide current financial resources and, therefore, are not reported in the funds.		
Equity interest-SCORE	705,931	
Equity interest-Valley Communications	954,168	
Equity interest-FileLocal	(27,472)	1,632,627
Internal service funds are used by management to charge the costs of certain activities to individual funds. The net revenue (expense) of the internal service funds are reported with governmental activities.		11,484,457
CHANGE IN NET POSITION OF GOVERNMENTAL ACTIVITIES		$ 68,109,732

The notes to the financial statements are an integral part of this statement.

City of Renton
Statement of Net Position
Proprietary Funds
December 31, 2024

	Business-type Activities				Governmental Activities
	Solid Waste	Waterworks Utility	Total Nonmajor Funds	Total Enterprise Funds	Internal Service Funds
ASSETS					
Current assets:					
Cash & cash equivalents	$ 2,752,569	$ 66,815,140	$ 9,522,054	$ 79,089,763	$ 51,899,763
Investments at fair value	2,023,759	51,190,287	7,000,710	60,214,756	38,158,032
Receivables (net of allowance for uncollectible):					
Customer accounts	1,816,246	6,668,587	167,811	8,652,644	889,040
Special assessments	-	35,485	-	35,485	-
Interest & penalties	16,407	524,142	60,571	601,120	327,017
Due from other funds	-	12,964	266,565	279,529	9,287
Due from other governments	337,605	4,794,097	72,898	5,204,600	-
Supplies inventory	-	355,163	35,853	391,016	450,715
Prepayments	-	-	-	-	1,275,469
Total current assets	6,946,586	130,395,865	17,126,462	154,468,913	93,009,323
Noncurrent assets:					
Restricted cash, cash equivalents	-	2,810,145	-	2,810,145	-
Special assessments deferred	-	6,313	-	6,313	-
Net Pension Asset	86,071	1,664,406	435,737	2,186,214	1,563,272
Capital assets:					
Land	-	2,676,410	3,467,280	6,143,690	-
Construction in progress	-	18,264,734	2,338,245	20,602,979	361,127
Capital assets (net)	-	299,541,788	18,078,485	317,620,273	12,947,140
Intangible assets (net)	-	811,000	23,283	834,283	1,287,812
Total noncurrent assets	86,071	325,774,796	24,343,030	350,203,897	16,159,351
Total assets	7,032,657	456,170,661	41,469,492	504,672,810	109,168,674
DEFERRED OUTFLOWS OF RESOURCES					
Deferred outflows related to pensions	121,703	2,353,418	616,118	3,091,239	2,210,416
Deferred amount on refunding	-	260,958	-	260,958	-
Total deferred outflows of resources	121,703	2,614,376	616,118	3,352,197	2,210,416
Total assets and deferred outflows of resources	7,154,360	458,785,037	42,085,610	508,025,007	111,379,090
LIABILITIES					
Current liabilities:					
Accrued wages and benefits payable	27,754	484,539	126,790	639,083	453,767
Accounts payable	880,467	3,126,935	243,396	4,250,798	1,221,613
Due to other funds	-	22,251	-	22,251	-
Retainage payable	-	102,302	2,721	105,023	16,822
Interest payable	-	17,397	-	17,397	-
Customer deposits	-	37,780	400,823	438,603	-
Unearned revenue	-	275,424	266,565	541,989	-
Claims incurred but not reported	-	-	-	-	3,062,633
Leases payable	-	-	1,911	1,911	528,677
Compensated absences	15,418	710,476	149,554	875,448	498,848
Revenue bonds payable	-	2,605,000	-	2,605,000	-
Total OPEB Liability	-	-	-	-	1,276,510
Interfund loans	-	-	45,434	45,434	-
Total current liabilities	923,639	7,382,104	1,237,194	9,542,937	7,058,870
Noncurrent liabilities:					
Leases payable	-	-	21,592	21,592	72,976
Compensated absences	12,366	842,032	187,278	1,041,676	551,760
Revenue bonds payable	-	5,566,858	-	5,566,858	-
Net pension liability	36,151	699,064	183,013	918,228	656,588
Total OPEB liability	-	-	-	-	26,790,194
Interfund loans	-	-	53,584	53,584	-
Total noncurrent liabilities	48,517	7,107,954	445,467	7,601,938	28,071,518
Total liabilities	972,156	14,490,058	1,682,661	17,144,875	35,130,388
DEFERRED INFLOWS OF RESOURCES					
Deferred inflows related to pensions	37,750	730,012	191,116	958,878	685,656
Deferred inflows related to leases	-	-	106,782	106,782	-
Total deferred inflows of resources	37,750	730,012	297,898	1,065,660	685,656
Total liabilities and deferred inflows of resources	1,009,906	15,220,070	1,980,559	18,210,535	35,816,044
NET POSITION					
Net investment in capital assets	-	310,619,653	23,814,934	334,434,587	13,603,574
Restricted for:					
Debt Service	-	2,810,145	-	2,810,145	-
Pensions	86,071	1,664,406	435,737	2,186,214	1,563,272
Unrestricted	6,058,383	128,470,763	15,854,380	150,383,526	60,396,200
Total net position	$ 6,144,454	$ 443,564,967	$ 40,105,051	$ 489,814,472	$ 75,563,046

The notes to the financial statements are an integral part of this statement.

City of Renton
Statement of Revenues, Expenses, and Changes in Net Position
Proprietary Funds
For the Year Ended December 31, 2024

	Business-type Activities				Governmental Activities
	Solid Waste	Waterworks Utility	Total Nonmajor Funds	Total Enterprise Funds	Internal Service Funds
OPERATING REVENUES					
Charges for services	$ 26,865,747	$ 66,576,346	$ 8,393,900	$ 101,835,993	$ 39,259,365
Licenses and permits	-	107,129	-	107,129	233,636
Total operating revenues	26,865,747	66,683,475	8,393,900	101,943,122	39,493,001
OPERATING EXPENSES					
Supplies	31,803	1,267,759	553,092	1,852,654	3,708,264
Personnel Services	827,140	12,632,148	3,277,507	16,736,795	10,320,647
Contracted Services	24,770,365	29,022,117	1,488,382	55,280,864	7,740,080
Insurance	-	-	-	-	14,708,139
Taxes	1,380,513	5,596,922	25,267	7,002,702	5,020
Depreciation and amortization	-	9,830,407	1,381,440	11,211,847	3,274,804
Total operating expenses	27,009,821	58,349,353	6,725,688	92,084,862	39,756,954
Operating income (loss)	(144,074)	8,334,122	1,668,212	9,858,260	(263,953)
NONOPERATING REVENUES (EXPENSES)					
Intergovernmental revenues	392,405	10,595,274	830,686	11,818,365	294,909
Miscellaneous revenue	-	228,349	24,032	252,381	749,677
Investment earnings	198,304	5,523,616	706,658	6,428,578	3,950,243
Interest expense	-	(296,585)	(1,793)	(298,378)	(45,648)
Insurance Recoveries	-	-	-	-	421,836
Gain (loss) on disposal of capital assets	-	(54,674)	-	(54,674)	119,660
Total nonoperating revenues (expenses)	590,709	15,995,980	1,559,583	18,146,272	5,490,677
Income (loss) before contributions and transfers	446,635	24,330,102	3,227,795	28,004,532	5,226,724
Transfer in	-	-	164,955	164,955	4,151,145
Transfers out	(9,185)	(204,469)	(61,900)	(275,554)	(950,000)
Capital contributions	-	6,446,236	-	6,446,236	3,056,588
Change in net position	437,450	30,571,869	3,330,850	34,340,169	11,484,457
Total net position - January 1, as previously presented	5,714,063	413,690,897	36,924,321	456,329,281	62,197,243
Change in accounting principle	(7,059)	(697,799)	(150,120)	(854,978)	(492,415)
Error correction	-	-	-	-	2,373,761
Total net position - January 1, restated	5,707,004	412,993,098	36,774,201	455,474,303	64,078,589
Total net position - December 31	$ 6,144,454	$ 443,564,967	$ 40,105,051	$ 489,814,472	$ 75,563,046

The notes to the financial statements are an integral part of this statement.

City of Renton
Statement of Cash Flows
Proprietary Funds
For the Year Ended December 31, 2024
Page 1 of 2

	BUSINESS-TYPE ACTIVITIES ENTERPRISE FUNDS				GOVERNMENTAL ACTIVITIES
	SOLID WASTE	WATERWORKS UTILITY	OTHER ENTERPRISE FUNDS	TOTAL ENTERPRISE FUNDS	INTERNAL SERVICE FUNDS
CASH FLOWS FROM OPERATING ACTIVITIES:					
Cash received for services	$ 26,751,041	$ 66,760,347	$ 8,417,641	$ 101,929,029	$ 39,404,692
Cash paid to suppliers for goods & services	(26,353,019)	(33,139,799)	(2,272,177)	(61,764,995)	(29,395,890)
Cash paid to employees	(873,272)	(13,232,597)	(3,460,898)	(17,566,767)	(11,048,178)
Other non-operating receipts	-	228,349	24,032	252,381	1,170,622
NET CASH PROVIDED (USED) BY OPERATING ACTIVITIES	(475,250)	20,616,300	2,708,598	22,849,648	131,246
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES					
Transfers from other funds	-	-	164,955	164,955	4,151,145
Transfers to other funds	(9,185)	(204,469)	(61,900)	(275,554)	(950,000)
Operating grants and contributions	92,218	10,628,771	838,705	11,559,694	295,800
NET CASH PROVIDED (USED) BY NONCAPITAL FINANCING ACTIVITIES	83,033	10,424,302	941,760	11,449,095	3,496,945
CASH FLOWS FROM CAPITAL FINANCING ACTIVITIES:					
Proceeds from the sale of equipment	-	-	-	-	222,228
System development charges	-	1,651,782	-	1,651,782	-
Acquisition & construction of capital assets	-	(26,872,648)	(1,805,998)	(28,678,646)	(4,047,417)
Special assessments	-	77,748	-	77,748	-
Capital grants	-	(2,793,688)	191,090	(2,602,598)	-
Capital replacement reserves received	-	-	-	-	3,056,588
Principal payments on debt	-	(2,868,266)	(1,870)	(2,870,136)	(295,110)
Interest payments on debt	-	(214,825)	-	(214,825)	(45,648)
NET CASH PROVIDED (USED) BY CAPITAL FINANCING ACTIVITIES	-	(31,019,897)	(1,616,778)	(32,636,675)	(1,109,359)
CASH FLOWS FROM INVESTING ACTIVITIES:					
Payments for investments	(255,221)	(10,187,560)	(2,078,700)	(12,521,481)	(8,363,106)
Interest paid on investments and loans	152,244	4,590,322	556,916	5,299,482	3,119,686
NET CASH PROVIDED (USED) BY INVESTING ACTIVITIES	(102,977)	(5,597,238)	(1,521,784)	(7,221,999)	(5,243,420)
NET INCREASE (DECREASE) IN CASH & CASH EQUIVALENTS	(495,194)	(5,576,533)	511,796	(5,559,931)	(2,724,588)
CASH & CASH EQUIVALENTS, JANUARY 1	3,247,763	72,391,673	9,010,258	84,649,694	54,624,351
RESTRICTED CASH & CASH EQUIVALENTS, JANUARY 1	-	2,810,145	-	2,810,145	-
TOTAL CASH, RESTRICTED CASH, & CASH EQUIVALENTS, DECEMBER 31	$ 2,752,569	$ 69,625,285	$ 9,522,054	$ 81,899,908	$ 51,899,763

The notes to the financial statements are an integral part of this statement.

City of Renton
Statement of Cash Flows
Proprietary Funds
For the Year Ended December 31, 2024
Page 2 of 2

	BUSINESS-TYPE ACTIVITIES ENTERPRISE FUNDS				GOVERNMENTAL ACTIVITIES
	SOLID WASTE	WATERWORKS UTILITY	OTHER ENTERPRISE FUNDS	TOTAL ENTERPRISE FUNDS	INTERNAL SERVICE FUNDS
RECONCILIATION OF OPERATING INCOME (LOSS) TO NET CASH PROVIDED (USED) BY OPERATING ACTIVITIES:					
Operating income (loss)	$ (144,074)	$ 8,334,122	$ 1,668,212	$ 9,858,260	$ (263,953)
Adjustments to reconcile operating income (loss) to net cash provided (used) by operating activities:					
Depreciation & amortization	-	9,830,407	1,381,440	11,211,847	3,274,804
Other non-operating revenue	-	228,349	24,032	252,381	1,170,622
(Increase) decrease in accounts receivable and accrued interest and penalties	(114,706)	39,423	54,958	(20,325)	(88,309)
Increase (decrease) in due from other funds	20,909	194,030	(235,381)	(20,442)	(9,287)
(Increase) decrease in inventory & prepaid items	-	(30,274)	5,651	(24,623)	(496,866)
(Increase) decrease in net pension asset and deferred outflows related to pensions	(46,250)	2,614	(82,709)	(126,345)	(56,108)
Increase (decrease) in operating accounts payable	(191,247)	2,560,992	85,647	2,455,392	40,872
Increase (decrease) in operating retainage payable	-	-	-	-	(36,735)
Increase (decrease) in due to other funds	-	22,251	(46,775)	(24,524)	(42,365)
Increase (decrease) in other short-term liabilities	-	48,648	-	48,648	85,804
Increase (decrease) in customer deposits	-	(15,651)	19,002	3,351	-
Increase (decrease) in unearned revenues	-	53,100	(54,033)	(933)	-
Increase (decrease) in OPEB liability	-	-	-	-	(2,775,810)
Increase (decrease) in accrued employee wages and benefits	16,792	173,696	68,643	259,131	70,985
Increase (decrease) in net pension liability and deferred inflows related to pensions	(16,674)	(825,407)	(169,325)	(1,011,406)	(742,408)
Increase (decrease) in deferred inflows related to leases	-	-	(10,764)	(10,764)	-
Total adjustments	(331,176)	12,282,178	1,040,386	12,991,388	395,199
NET CASH PROVIDED (USED) BY OPERATING ACTIVITIES	$ (475,250)	$ 20,616,300	$ 2,708,598	$ 22,849,648	$ 131,246
NONCASH INVESTING, CAPITAL, AND FINANCING ACTIVITIES					
Contributions of capital assets	$ -	$ 3,874,102	$ -	$ 3,874,102	$ -
Depreciation & amortization	$ -	$ 9,830,407	$ 1,381,440	$ 11,211,847	$ 3,274,804
Increase (decrease) in fair value of investments	$ 38,048	$ 933,294	$ 122,288	$ 1,093,630	$ 689,690

The notes to the financial statements are an integral part of this statement.

City of Renton
Statement of Fiduciary Net Position
December 31, 2024

	Pension (and Other Employee Benefit) Trust Funds	Custodial Funds
ASSETS		
Cash & cash equivalents	$ 5,354,937	$ 925,656
Investments at fair value:		
Certificates of deposit	554,710	-
Federal Home Loan Mortgage Corporation	208,025	-
Federal Farm Credit Bank	418,473	-
Federal Home Loan Bank	751,591	-
Federal National Mortgage Association	506,873	-
US Treasury	1,497,414	-
US Treasury Strip	370,127	-
Receivables (net allowance for uncollectible):		
Interest & penalties	824,631	-
Customer accounts	-	45,835
Total assets	10,486,781	971,491
LIABILITIES		
Due to other governments	-	207,453
Total liabilities	-	207,453
NET POSITION		
Restricted for:		
Other governments, organizations, and individuals	-	764,038
Pensions	10,486,781	-
Total net position	$ 10,486,781	$ 764,038

The notes to the financial statements are an integral part of this statement.

City of Renton
Statement of Changes in Fiduciary Net Position
For the Year Ended December 31, 2024

	Pension (and Other Employee Benefit) Trust Funds	Custodial Funds
ADDITIONS		
Investment earnings	$ 488,206	$ -
Total investment earnings	488,206	-
Contributions:		
Custodial collections - courts	-	172,105
Custodial collections - other governments	-	2,614,458
Custodial collections - other individuals and organizations	-	269,343
Total contributions	-	3,055,906
Total additions	488,206	3,055,906
DEDUCTIONS		
Administrative and general	7,398	-
Benefit payments	261,512	-
Custodial distributions - courts	-	159,249
Custodial distributions - other governments	-	2,108,637
Custodial distributions - other individuals and organizations	-	240,757
Total deductions	268,910	2,508,643
Net increase (decrease) in fiduciary net position	219,296	547,263
Net Position - January 1	10,267,485	216,775
Net Position - December 31	$ 10,486,781	$ 764,038

The notes to the financial statements are an integral part of this statement.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The City of Renton's financial statements have been prepared in conformity with accounting principles generally accepted in the United States (GAAP), as applied to governments. The Governmental Accounting Standards Board (GASB) is the standard setting body for governmental accounting and financial reporting.

For the reporting year ended December 31, 2024, the city has implemented the following GASB Statements:

- GASB Statement No. 100, Accounting Changes and Error Corrections – the primary purpose of this Statement is to enhance accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent, and comparable information for making decision or assessing accountability. This is achieved by retroactively reporting accounting changes and error corrections by adjusting and restating the beginning balances of the current period, as applicable.
- GASB Statement No. 101, Compensated Absences – the implementation of this Statement requires that liabilities for compensated absences be recognized for leave that has not been used and leave that has been used but not yet paid in cash or settled through noncash means. The liability for compensated absences is to be reported with the use of a unified recognition and measurement model that more appropriately reflects when a government incurs an obligation.

A. REPORTING ENTITY

The City of Renton was incorporated on September 6, 1901 and operates under the laws of the State of Washington applicable to a Non-Charter code city with a mayor/council form of government. A full-time mayor and seven part-time council members serve the city, all elected at large to four-year terms. The city provides the full range of municipal services authorized by state statutes, together with a Municipal Airport, a Waterworks Utility, a Solid Waste Utility, and a Municipal Golf Course.

The City of Renton has no component units (either blended or discretely presented) included in these statements. The City of Renton's Mayor appoints the Governing Board for the Renton Housing Authority, which is not considered a component unit of the city. The city is under no obligation to subsidize, nor does it exercise any other prerequisite for inclusion.

B. BASIS OF PRESENTATION

The city's basic financial statements include both government-wide statements and fund financial statements. The government-wide statements report financial information for the city as a whole, while the fund statements present detailed financial information at the fund level. The city's fiduciary funds are presented in the fund financial statements. Since the assets are being held for the benefit of a third party and cannot be used for obligations of the city, they are not included in the government-wide statements.

Government-wide financial statements
In the government-wide statement of net position, governmental and business-type activities are reported. Governmental activities are mostly supported by taxes, intergovernmental revenue, and other non-exchange transactions. The governmental activities column includes the combined data from all governmental funds and internal service funds. Business-type activities mostly rely on fees and charges for services to external customers and include data from the city's enterprise funds.

The government-wide statement of activities presents a comparison between direct expenses and program revenues for each of the city's governmental activities (general government, judicial, public safety, utilities, transportation, economic environment, health and human services, and culture and recreation) and for each identifiable business-type activity (waterworks utility, airport, solid waste utility, and golf course). Direct expenses are those that are specifically associated with a function and therefore clearly identifiable to that particular function.

The statement of activities reports the expenses of a given function offset by a program revenue directly associated with the functional program. Program revenues include: 1) charges for services which reports fees and charges for users of the city's service, 2) operating grants and contributions which support annual operating activities, and 3) capital grants and contributions which finance the acquisition, construction, or rehabilitation of capital assets. For determining the function, charges for services are tied to the function that generates the revenue and grants and contributions are tied to the function in which functional use they are restricted towards.

Taxes and other sources that are not directly related to a program are reported as general revenue. The comparison of direct expenses with program revenues identifies the extent each governmental function and business activity are self-sustaining and requires a draw from the general revenues of the city.

Generally, the effect of interfund activity has been eliminated from the government-wide financial statements, apart from various charges for services among different functions within the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions involved.

Fund financial statements
The city's activities are tracked in individual funds to segregate the transactions to aid in financial management and, in some cases, demonstrate legal compliance. The fund financial statements are intended to present the city's financial activities at a more detailed level. Separate financial statements are provided for each fund category - governmental, proprietary, and fiduciary funds. Each of the city's major funds, within each fund category, are presented in a separate column. All non-major funds, within each fund category, are aggregated into one column; internal service funds are aggregated into one column and reported on the face of the proprietary fund statements; and fiduciary funds are reported by type.

The city reports the following major *governmental funds*:

General Fund is the primary operating fund of the city. It is used to account for the resources and disbursements of ordinary city operations that are not required to be accounted for in another fund. These include the costs of legislative and executive departments, court services, finance and legal departments, development services and police departments, human resources and technical services, community services, parks, economic development, streets, property management for city owned leased facilities, farmers market, and museum. The major sources of revenue are property taxes, utility taxes, and sales taxes. Licenses and permits, charges for services, and fines and forfeits provide additional support. Community development block grant activities are also accounted for within this fund, which is federally funded.

Municipal Facilities CIP accounts for all the City of Renton parks and facilities related capital projects (new construction, major maintenance, and improvements). Many of the projects are dependent on grants, levies, taxes, and mitigation revenue.

Capital Improvement Fund accounts for transportation capital projects, many of which are dependent on the acquisition of various state and federal grant programs and impact mitigation fees.

The city reports the following major *enterprise funds*:

Solid Waste Fund accounts for solid waste, recycling, and yard waste collection services for the city and is supported entirely by service fees. The expenses include payment to the city's garbage contractor and other service charges.

Waterworks Utility Fund accounts for all operating and capital investment programs for water, wastewater, and storm water services within the city. The operating activities are primarily supported by user fees and include administration, billings and collections, debt service, engineering and operation, maintenance and repairs. The primary resources for capital investment programs are revenue bond proceeds, grants (as available), and utility connection charges.

Additionally, the government reports the following fund types:

Internal Service Funds include 1) the equipment rental fund (equipment replacement, information technology, facilities, and communications) and 2) the insurance fund (including risk management, workers compensation, unemployment compensation, and employee health care program). The equipment rental fund factors all costs, including depreciation, into the rates charged to each user department. The insurance fund pays expense and rates are charged to departments based on use and/or coverage requirements.

The city reports the following *fiduciary funds*:

Pension Trust Fund accounts for the payment of administrative costs and benefits for retired firefighters and their beneficiaries, who were employed prior to March 1, 1970. Primary revenue source is investment income.

Custodial Funds accounts for Administrative Office of the Courts mandated fees, taxes, permit revenue, human services payments, and other fees collected on behalf of other agencies.

Additionally, the government reports the following funds in the combining statements:

Special Revenue Funds are used to account for specific revenues that are restricted by external parties or committed through enabling legislation for particular purposes.

Debt Service Funds account for the accumulation of resources for and the payment of general obligation and special assessment bonds.

During the course of operations, the city has activity between funds for various purposes. Any residual balances outstanding at year-end are reported as due to/from other funds and advances to/from other funds. While these balances are reported in the fund financial statements, certain eliminations are made in the preparation of the government-wide financial statements. Balances between funds included in the governmental activities (generally between governmental and internal service funds) are eliminated so that only the net amount is included as internal balances in the governmental activities column. Similarly, balances between the funds included in the business-type activities are eliminated so that only the net amount is included as internal balances in the business-type activities column.

Further, certain activity occurs during the year involving transfers of resources between funds. In fund financial statements these amounts are reported as gross amounts as transfers in/out. While reported in fund financial statements, certain eliminations are made in the preparation of government-wide financial statements. Transfers between the funds included in governmental activities are eliminated so that only the net amount is included as transfers in the governmental activities column. Similarly, balances between the funds included in business-type activities are eliminated so that only the net amount is included in transfers in the business-type activities column.

C. MEASUREMENT FOCUS AND BASIS OF ACCOUNTING

Basis of accounting refers to the point at which revenue or expenditure/expense transactions or events are recognized in the accounts and reported in the financial statements. Measurement focus is measured one of two ways: either the current financial resource or the economic resource method.

Government-wide financial statements are prepared using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned

and expenses are recorded when the liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenue in the year they are levied, and grants are recognized as revenue as soon as all eligibility requirements have been met.

Governmental fund financial statements use a different measurement focus from the proprietary fund statements and government-wide statements. The governmental fund financial statements use the current financial resources measurement and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current reporting period or soon enough thereafter to pay liabilities of the current period.

The city considers revenues available if they are collected within 60 days of the end of the current fiscal period. Expenditures are generally recorded when a liability is incurred, the same as accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences, and claims and judgements are recorded only when payment is due. General capital asset acquisitions are reported as current expenditures in governmental funds. Issuance of long-term debt and capital lease acquisitions are reported as other financing sources.

Property taxes, sales tax, franchise taxes, licenses, and interest associated with the current period are all considered susceptible to accrual and have been recognized as revenue in the current fiscal period. Expenditure-driven grants are recognized as revenue when the qualifying expenditure amount is received during the period or within the availability period for this revenue source. All other revenue is considered measurable and available only when the cash is received by the city.

Since the measurement focus between the governmental fund financial statements and the governmental activities in the government-wide statements vary, a detailed reconciliation is included in the fund statements to identify the relationship between the two statement types.

Proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and accrual basis of accounting, the same as the government-wide statements.

D. ASSETS, LIABILITIES, DEFERRED OUTFLOWS/INFLOWS OF RESOURCES, AND NET POSITION/FUND BALANCE

1. *Cash and Cash Equivalents*
   The city has defined cash and cash equivalents as cash on hand, demand deposits, and all highly liquid investments (including restricted assets) with maturity of three months or less when purchased. These amounts are classified on the balance sheet or in the statement of net position as cash and cash equivalents or investments in the various funds. Included in this category are all funds invested in the Local Government Investment Pool. Excluded from this category are cash balances held by Fiscal Agents since the city does not have discretionary use of these funds.

   Most of the city's cash balances are pooled and invested. Interest earned from investments

purchased with pooled cash is allocated monthly to each fund based on the fund's beginning equity balance in the pooled fund.

2. *Investments*
   Investments are recorded at amortized cost or at fair value in accordance with GASB Statement No. 72, *Fair Value Measurement and Application*. Accordingly, the change in fair value of investments is recognized as an increase or decrease to investment assets and investment income.

3. *Receivables*
   Receivables have been reported net of estimated uncollectible accounts. Because property taxes, special assessments, and utility billings are considered liens on property, no estimated uncollectible amounts are established.

   Taxes receivable consists of property taxes, utility taxes, gambling taxes, business & occupation taxes, sales & use taxes, and admission taxes. Property taxes are an enforceable lien on real property and are due the first day of the levy year and may be paid in two equal installments. The first half is due April 1, and the balance is due October 31. The city collects approximately 99% of the property tax due in the year it is levied, and delinquent taxes are collected within the following few years.

   Property tax due, but not collected within 60 days of year end, is recorded as a receivable and offset by deferred inflow of resources – unavailable revenue. There is no allowance for uncollectable property tax because historically all taxes are collected and/or enforceable via lien (refer to Note 3 for more information).

   Accrued interest receivable consists of amounts earned on investments, notes, and contracts.

   Customer accounts receivable consists of amounts owed from private individuals or organizations for goods and services. If the transactions are receivable from another governmental unit, it is accounted for within "due from other governments."

   Special assessments are recorded when levied and are liens against the property benefited. Special assessments receivable consists of current and delinquent assessments. Amounts not due within one year are reported as deferred inflows of resources in the governmental fund statements.

   Restricted receivable consists entirely of the city's anticipated future revenue from the national opioid settlement through the State of Washington. This revenue will be restricted upon receipt and the receivable will be drawn down each year with annual payments over the next 15 years. The number may vary as more settlements are reached in future years.

4. *Internal Balances, Interfund Loan Receivables/Payable and Due To/From Other Funds*
   Activities between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as interfund loans receivable/payable.

All other outstanding balances between funds are reported as due to/from other funds. These amounts are eliminated within the governmental activities and business-type activities in the government-wide statement, except for the residual balances outstanding between the governmental activities and business-type activities, which are reported as internal balances. Refer to Note 9 for a detailed summary of interfund activity.

5. *Inventories and Prepaid items*

All city inventories are maintained on a consumption basis of accounting where items are purchased for inventory and charged to the budgetary accounts as the items are consumed. Any material inventories at year-end are included in the balance sheet of the appropriate fund. All inventories are carried at cost on the first in, first out – FIFO basis, except for the Public Works Maintenance shops inventory. The value of this inventory is calculated using the average cost method. The cost of inventories are recorded as an expenditure/expense when consumed rather than when purchased.

Certain payments to vendors reflect costs applicable to future accounting periods and are reported as prepaid items in both the government-wide and fund statements.

6. *Capital Assets*

General capital assets are those assets not specifically related to activities reported by the proprietary funds. These assets generally result from expenditures in governmental funds or contributions. The city reports these assets in the governmental activities column of the government-wide statement of net position but does not report these assets in the governmental fund financial statements. Capital assets utilized by the propriety funds are reported both in the business-type activities of the government-wide statement of net position and in the proprietary fund statement of net position.

All capital assets are valued and capitalized at cost (or estimated historical cost when actual historical cost is unknown) and updated for additions and retirements during the year. Donated capital assets are recorded at their acquisition value as of the date received. The city maintains separate capitalization thresholds by asset category with an estimated useful life in excess of one year.

The threshold is $5,000 for all categories except for buildings and structures, which have a threshold of $25,000, and other improvements, which has a threshold of $50,000. Improvements to city assets and infrastructure are capitalized, but the cost of normal maintenance and repairs that do not extend the useful life, or increase capacity or efficiency, are expensed.

All capital assets, other than land, right-of-ways, water rights, and construction in progress, are depreciated using the straight-line method over the following estimated useful lives:

Capital Asset Class	Estimated Useful Life
Buildings and structures, excluding utilities	7-60 years
Other improvements	5-80 years
Utility plant	10-50 years
Machinery and equipment	3-40 years
Infrastructure	7-100 years

Amortization on all intangible assets is provided on the straight-line basis over the estimated useful life.

Lease assets are the result of implementing GASB 87. These are recorded based on the amount of the initial liability, plus any payments made to the lessor at or before the beginning of the lease term. Refer to Note 13 for more information on leases.

Subscription-based Information Technology Arrangement (SBITA) assets are the result of implementing GASB 96. These are recorded based on the amount of initial subscription liability, plus any payments made to the SBITA vendor at the beginning of the subscription term, as well as any capitalizable implementation costs. Refer to Note 12 for more information on SBITA's.

7. *Other non-current Assets*

A portion of notes and special assessments receivable are collectible in greater than one year. This long-term portion of the receivable is reported as another non-current asset.

Investment in joint ventures consists of the city's equity balances and investment in debt of Valley Communications Center, South Correctional Entity and Washington Multi-City Business License and Tax Portal Agency (see also Note 11).

8. *Leases and SBITAs*

Lessee/SBITA: The city recognizes a lease liability and an intangible right-to-use lease asset in the government-wide and proprietary fund financial statements. The city recognizes lease liabilities with an initial, individual value of $5,000 or more.

The lease asset is amortized using the straight-line basis method over its useful life.

Governmental funds recognize a capital outlay and other financing source at the commencement of a new lease. Lease payments in governmental funds are reported as debt service principal and debt service interest expenditures.

The city uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the city generally uses its incremental borrowing rate as the discount rate for leases.

The city monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lessor: The city recognizes a lease receivable and a deferred inflow of resources in the government-wide and fund financial statements.

The deferred inflow of resources is recognized as revenue over the life of the lease term using the straight-line basis method.

The city uses its estimated incremental borrowing rate as the discount rate for leases. This is the rate the lessee would be charged for borrowing the lease payment amounts during the lease term.

The city monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

9. *Deferred outflows/inflows of resources*

In addition to assets, the statement of financial position will report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflow of resources, represents a consumption of net assets that applies to a future period and will not be recognized as an outflow (expense/expenditure) until that reporting period. The city has two items that qualify for reporting in this category. Deferred amount on refunding is reported on the government-wide statement of net position and the proprietary fund statement of net position.

A deferred amount on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the life of the refunded or refunding debt, whichever is shorter. Deferred amounts related to pensions are differences between actual and projected experience, investment earnings and actuarial assumptions, changes in proportion, and the city's contributions to pensions subsequent to the measurement date, which was June 30, 2024, provided by the State of Washington. Refer to Note 5 for more information on pensions.

In addition to liabilities, the statement of financial position will report a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time (in prior years this inflow was recognized as "deferred revenue" within the liabilities). The city has four items that it reports as a deferred inflow of resources. Unavailable revenue arises only on the modified accrual basis, in the governmental fund balance sheet. The amount reported in unavailable revenue is comprised of multiple sources, including delinquent municipal court receivables, delinquent photo enforcement receivables, delinquent property tax receivables, and other like grants. These amounts are deferred and recognized as revenue in the period the amounts become available. On the government-wide statements (accrual basis of accounting) the amounts are considered available and recognized as inflow of resource in the current period. Deferred amount of special assessments is the long-term principal due to the city from special assessment connections. This amount is only reported in the governmental fund balance sheet. Deferred

amounts related to pensions are the differences between actual and projected experience, investment earnings and actuarial assumptions, and changes in proportion. Refer to Note 5 for more information on pensions. Deferred amounts related to leases is the liability the city takes on when entering into a lease agreement. Refer to Note 13 for more information on leases.

10. *Unearned Revenues*
    This account includes amounts collected in advance for services not yet rendered. The amounts are subject to return to the payor in the event the associated services are not performed.

11. *Customer Deposits*
    This amount reflects the net monetary liability of customer deposits for special deposit funds. This includes security deposits for lessees, gift certificates for the Maplewood Golf Course, and on account credits.

12. *Compensated Absences*
    The city's policy permits employees to accumulate earned but unused vacation leave benefits, which are eligible for payment upon separation from city service. The city accrues accumulated unpaid vacation and sick leave when earned by the employee. The total compensated absences liability is reported on the government-wide statements and in each proprietary fund.

13. *Fund Equity*
    Fund equity at the governmental fund level is classified as fund balance. Fund equity for all other reporting is classified as net position.

Fund balance represents the difference between the current assets and deferred outflows of resources and current liabilities and deferred inflows of resources in the governmental fund financial statements. Fund balance classifications comprise of a hierarchy based primarily on the extent to which the city is bound to honor constraints on the specific purpose for which amounts in those funds can be spent.

Fund balances are classified as follows:

a. *Nonspendable* – items that cannot be spent due to form; inventories, prepaid amounts, long-term loan receivables, or amounts that must be maintained intact legally.

b. *Restricted* – amounts constrained for specific purposes imposed through the judicial process and enabling legislation adopted by the city; or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments.

c. *Committed* – amounts constrained by the city council. Only the council can, by ordinance, establish, modify, or rescind constraints on committed fund balances.

d. *Assigned* – constraints imposed by the city council for amounts *intended* for specific purposes, but do not meet the criteria of restricted or committed. It is the city's policy that intent of

use can be assigned by the city council, or by a designated official, adopted through either the biennial budget ordinance or an amending budget ordinance. For governmental funds, other than the General Fund, the residual fund balance that is not restricted or committed is reported as assigned because the use of fund balance, at a minimum, should be used for the purpose of that fund. Additional action does not need to be taken to remove an assignment, whereas additional action is essential to remove a commitment.

e. *Unassigned* – any remaining fund balance in the General Fund that does not meet any of the above criteria. The General Fund is the only fund that reports a positive unassigned fund balance amount. In other governmental funds, not the General Fund, may report a negative unassigned fund balance if expenditures incurred for a specific purpose exceed the amounts of restricted, committed, or assigned amounts to those purposes.

The following shows the composition of the fund balance in governmental funds for the year ended December 31, 2024:

Governmental Fund Balances
December 31, 2024

	General	Municipal Facilities CIP	Capital Improvement	Other Governmental	Total
Restricted					
Police Seizure Funds	$ -	$ -	$ -	$ 794,518	$ 794,518
Police CSAM Funds	-	-	-	133,346	133,346
Shop with a Cop	6,764	-	-	-	6,764
Parks Memorial	1,034	-	-	-	1,034
Judicial Capital Improvements	95,562	-	-	-	95,562
Housing and Supportive Services	-	-	-	16,260,890	16,260,890
Opioid Settlement - Cash	1,094,734	-	-	-	1,094,734
Affordable Housing	278,852	-	-	-	278,852
Debt Service	-	-	-	252,900	252,900
Summer Lunch Program	3,439	-	-	-	3,439
Affordable Housing Development	-	-	-	294,428	294,428
WSCJTC One Time Legislative Funding	41,666	-	-	-	41,666
Sr Center Advisory Committee	9,174	-	-	-	9,174
CDBG Loans Outstanding	656,510	-	-	-	656,510
Tourism Promotion	-	-	-	1,208,534	1,208,534
Renton Community Marketing Campaign	-	-	-	36,220	36,220
Cable Communications	-	-	-	384,705	384,705
Facilities Capital Improvements	-	730	-	-	730
Park Capital Improvements	-	2,113,713	-	361,573.0	2,475,286
Fire Capital Improvements	-	-	-	2,489	2,489
Transportation Capital Improvements	-	-	16,965,923	3,631,824.0	20,597,747
REET 1 Capital Projects	-	3,249,892	-	5,086,839	8,336,731
REET 2 Captial Projects	-	1,683,958	-	2,324,441	4,008,399
Renton School District Impact Mitigation	-	-	-	19,386	19,386
Issaquah School District Impact Mitigation	-	-	-	420	420
Kent School District Impact Mitigation	-	-	-	4,845	4,845
Sunset Lane Latecomer Assessment	410,165	-	-	-	410,165
Community Garden Improvements	-	2,483	-	-	2,483
Urban Forestry Program	-	178,286	-	-	178,286
Total Restricted	2,597,900	7,229,062	16,965,923	30,797,358	57,590,243

	General	Municipal Facilities CIP	Capital Improvement	Other Governmental	Total
Committed					
Public Art	144,773	-	-	-	144,773
Facilities Capital Improvements	-	11,269,422	-	-	11,269,422
Economic Development Reserve	2,500,000	-	-	-	2,500,000
Park Capital Improvements	-	2,279,577	-	-	2,279,577
Springbrook Wetlands Impact Mitigation	-	-	-	730,923	730,923
Transportation Capital Improvements	-	-	4,906,875	-	4,906,875
Economic Development Projects	-	115,731	-	-	115,731
Total Committed	2,644,773	13,664,730	4,906,875	730,923	21,947,301
Assigned					
Farmer's Market	94,399	-	-	-	94,399
Community Services	3,813,842	-	-	-	3,813,842
Family First Center	-	3,957,719	-	-	3,957,719
Leased City Properties	602,482	-	-	-	602,482
Economic Development Reserve	317,518	-	-	-	317,518
Debt Service	-	-	-	5,589,138	5,589,138
Street Maintenance	1,714,400	-	-	-	1,714,400
Misc Capital Projects	-	7,132,470	-	-	7,132,470
AWC Project Be Free	6,750	-	-	-	6,750
Total Assigned	6,549,391	11,090,189	-	5,589,138	23,228,718
Unassigned					
Unassigned	116,145,471	-	(3,584,784)	-	112,560,687
Total Unassigned	116,145,471	-	(3,584,784)	-	112,560,687
Total fund balances	**$ 127,937,535**	**$ 31,983,981**	**$ 18,288,014**	**$ 37,117,419**	**$ 215,326,949**

Negative unassigned fund balance is allowable under GASB 54, paragraph 19, as there cannot be a negative assigned fund balance; any negative fund balance is to be reported as unassigned. The negative unassigned fund balance is the result of $4.6 million of unavailable revenue from contributions and grants. The Capital Improvement Fund reported a negative unassigned fund balance of ($3,584,784) as of December 31, 2024.

Fund balance flow assumptions are made when multiple categories of fund balance are available for incurred expenditures. It is the city's policy to consider restricted fund balance to have been depleted before using any of the components of unrestricted fund balance (the total of committed, assigned, and unassigned fund balance). Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

Net position reflects the difference between assets and liabilities, in the government-wide and proprietary fund statement of net position. The component net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by any outstanding balances of any borrowing (ex. bonds or loans and related deferred amounts on refunding) for the acquisition, construction, or improvement of those assets as well as any capital related debt (ex. vouchers payable, accounts payable, retainage payable). The net position is reported as restricted when there are limitations imposed on their use either through enabling legislation adopted by the city or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments. There are multiple ways to calculate the restricted net position related to each individual pension plan's net pension asset. The city chooses to use the method preferred by the Governmental Accounting Standard Board where

the restricted net position is equal to the net pension asset; both the deferred inflows and deferred outflows are excluded from the calculation. The balance of the net position is reported as unrestricted.

The following shows the composition of the restricted net position balances reported in the government-wide and proprietary fund statements for the year ended December 31, 2024:

Restricted Net Position
December 31, 2024

	Governmental Activities	Business-Type Activities
Restricted Net Position		
Pensions	$ 32,013,392	$ 2,186,214
Police Seizure Funds	794,518	-
Police CSAM Funds	133,346	-
Shop with a Cop	6,764	-
Affordable Housing	278,852	-
Judicial Capital Improvements	95,562	-
Housing and Supportive Services	16,260,890	-
Opioid Settlement - Cash	1,094,734	-
WSCJTC One Time Legislative Funding	41,666	-
Summer Lunch Program	3,439	-
Affordable Housing Development	294,429	-
Sunset Lane Latecomer Assessment	410,165	-
Sr Center Advisory Committee	9,174	-
CDBG Loans Outstanding	656,510	-
Tourism Promotion	1,208,534	-
Renton Community Marketing Campaign	36,219	-
Cable Communications	384,705	-
Park Capital Improvements	2,475,286	-
Parks Memorial	1,034	-
Facilities Capital Improvements	730	-
Fire Capital Improvements	2,489	-
Transportation Capital Improvements	20,597,747	-
REET 1 Capital Projects	8,336,731	-
REET 2 Captial Projects	4,008,399	-
Renton School District Impact Mitigation	19,386	-
Issaquah School District Impact Mitigation	420	-
Kent School District Impact Mitigation	4,845	-
Community Garden Improvements	2,483	-
Urban Forestry Program	178,286	-
Opioid Settlement - Receivable	2,822,651	-
Debt Service	252,900	2,810,145
Total Restricted Net Position	**$ 92,426,285**	**$ 4,996,359**

Net position flow assumptions are made to calculate the amounts to be reported as restricted net position and unrestricted net position on the government-wide and proprietary fund statements. It is the city's policy to consider restricted net position to have been depleted before unrestricted net position.

Minimum fund balance policy is adopted by city council to maintain a minimum level of unrestricted fund balance in the general fund. The target level is set at 12 percent, with a

minimum of 8 percent, of general fund operating expenditures. This amount is intended to provide fiscal stability when economic downturns and other unexpected events occur.

Stabilization fund policy was adopted by the city to help provide stability through uncertain times. This allows for temporary cushion and flexibility when needed. The city council, through ordinance, has established the following stabilization reserves:

1. *Economic development revolving fund reserve*: the city has accumulated reserves of $2.5 million for economic development. Expenditure utilizing this reserve will require a two-thirds majority vote of the city council.
2. *Catastrophic reserve*: the city will maintain a targeted amount of 8 percent for risk management reserves, for catastrophic emergencies. Expenditure utilizing this reserve will require a two-thirds majority vote of the city council.
3. *Anti-recessionary reserve*: the city will maintain a targeted reserve equal to 4 percent of the general fund operating expense. Expenditures utilizing this reserve will require a two-thirds majority vote of the city council and must be replenished within three years.
4. *Annexation sales tax credit expiration/transition reserve*: the city set aside an inflationary reserve to lessen the impact of the loss of sales tax annexation credit in mid-2018; the reserve will continue to be used by $0.9 million each year until depleted.
5. *General obligation bond payment reserve: for all councilmanic, general obligation bonds issued after 2013, a one-year payment reserve shall be established.*

E. REVENUES, EXPENDITURES, AND EXPENSES

1. Operating Revenues and Expenses

Proprietary funds distinguish operating revenues and expenses from non-operating revenues and expenses. Operating revenue and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenue of the waterworks utility, solid waste, airport, golf course, and internal service funds are charges to customers for sales and services. The waterworks utility also recognizes water meter installation fees, and wastewater and surface water construction permit fees as operating revenue because these charges are intended to offset the cost of connecting new customers to the system. Operating expense for proprietary funds and internal service funds include the cost of sales and services, administrative expenses, and depreciation of capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenue and expense.

2. Program Revenue

Amounts reported as program revenue, on the government-wide statement of activities, include: 1) charges for customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants and contributions that are restricted to meeting the operation or capital requirements of a given function. All taxes, included those dedicated to specific purposes, are reported as general revenue rather than program revenue.

3. *Capital Contributions*
   Capital contributions reported in the proprietary fund statements and the government-wide statements reflect the value of outside contributions of capital assets (i.e., developers, land donations), capital grants, special assessments, and system development charges.

4. *Interfund Activity*
   Exchange transactions between funds are reported as revenue in the selling fund and as an expenditure/expense in the purchasing funds. On the government-wide statement of activities, the exchange transactions between the internal service funds and the user funds are eliminated. Flows of cash or goods from one fund to another without a requirement of repayment are reported as interfund transfers in/out. Interfund transfers in/out are reported as other financing sources/uses in the governmental funds and following non-operating revenues and expenses in the proprietary funds. In the government-wide statement of activities, transfers between governmental and business-type activities are reported as general revenue. Transfers between funds in governmental activities are eliminated and transfers between funds in business-type activities are eliminated.

5. *Expenditures/Expenses*
   Expenses in the Government-wide Statement of Activities are reported by function as a governmental activity (general government, judicial, public safety, utilities, transportation, economic environment, health and human services, culture and recreation), interest on long-term debt, or business-type activity (waterworks utility, airport, solid waste utility, or golf course). In the fund financial statements, expenditures of governmental funds are classified by: function, debt service principal and interest payments, or purchases of capital items. Proprietary expenditures are classified as operating or non-operating.

The city recovers certain administrative costs through indirect cost allocations to departments city-wide. These allocated costs are consolidated and reported by function in the government-wide statement of activities.

NOTE 2. DEPOSITS AND INVESTMENTS

Deposits

Custodial Credit Risk Custodial Credit Risk is the risk that in the event of a failure of the counterparty to an investment transaction the city would not be able to recover the value of the investment or collateral securities. The city does not currently have a policy regarding deposits concerning custodial credit risk or foreign currency risk.

On December 31, 2024, the city had the following balances on deposit with financial institutions:

Deposits		Deposits at 12/31/2024
Bank Deposits	$	46,487,128
Non-negotiable Certificates of Deposit (CD's)		26,473,418
Cash with Fiscal Agents		777,526
TOTAL DEPOSITS	**$**	**73,738,073**

The city's deposits and certificates of deposit are entirely covered by the Federal Depository Insurance Corporation (FDIC) or held in a multiple financial institution collateral pool administrated by the State of Washington Public Deposit Protection Commission (PDPC). The city's deposits comply with the guidelines within Chapter 35A.40.030 of the Revised Code of Washington (RCW).

Investments

Investments that are not Measured at Fair Value

On December 31, 2024, the city had the following investments at amortized cost:

Security Type		Amortized Cost
Local Government Investment Pool (LGIP)	$	210,139,670
TOTAL INVESTMENTS	**$**	**210,139,670**

The city is a participant in the Local Government Investment Pool authorized by Chapter 294, Laws of 1986, and is managed and operated by the Washington State Treasurer. The State Treasurer is responsible for establishing the investment policy for the pool and reviews the policy annually and proposed changes are reviewed by the LGIP advisory Committee.

Investments in the LGIP, a qualified external investment pool, are reported at amortized cost which approximates fair value. The LGIP is an unrated external investment pool. The pool portfolio is invested in a manner that meets the maturity, quality, diversification and liquidity requirements set forth by the GASB Statement No. 79 for external investments pools that elect to measure, for financial reporting purposes, investments at amortized cost. The LGIP does not have any legally binding guarantees of share values. The LGIP does not impose liquidity fees or redemption gates on participant withdrawals. The Office of the State Treasurer prepares a stand-alone LGIP financial report. A copy of the report is available from the Office of the State Treasurer, PO Box 40200, Olympia, Washington 98504-0200, online at http://www.tre.wa.gov.

Investments Measured at Fair Value

The city measures and records its investments within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. The guidelines recognize a three-tiered fair value hierarchy, as follows:

Level 1: Quoted prices in active markets for identical assets or liabilities.
Level 2: These are quoted market prices for similar assets or liabilities, quoted prices for identical or similar assets or liabilities in markets that are not active, or other than quoted prices that are not observable.
Level 3: Unobservable inputs for an asset or liability.

On December 31, 2024, the city had the following recurring fair value measurements:

		Fair Value Measurements Using		
Security Type	**Total**	**Quoted Prices in Active Markets for Identical Assets (Level 1)**	**Significant Other Observable Inputs (Level 2)**	**Significant Unobservable Inputs (Level 3)**
U.S. Agency Securities	$ 89,959,523		$ 89,959,523	
Treasury	$ 71,463,809		$ 71,463,809	
TOTAL INVESTMENTS	**$ 161,423,333**		**$ 161,423,333**	

Valuation techniques to determine fair value should be consistent with one or more of three approaches: the market approach, cost approach, and income approach. The city uses the market approach for the valuation of significant other observable inputs investments (Level 2). The market approach to measuring fair value uses prices and other relevant information generated by market transactions involving identical or similar assets, liabilities, or groups of assets and liabilities. Using quoted market prices is a technique that is consistent with the market approach.

The city invests excess and inactive funds in accordance with the city's Investment Policy (last updated and approved on February 23, 2009), which complies with the guidelines within Chapter 35A.40.050 of the Revised Code of Washington (RCW). This allows for investment of excess cash and inactive cash, directs that the responsibility for determining available cash for investment is placed upon the department administering the funds, and allows for pooling of the cash provided that the allocation of income is proportionate to the investment of each fund. Currently, the city invests in obligations of the U.S. Government, U.S. agency issues, and Certificates of Deposit with Washington State banks and savings and loan institutions as allowed by RCW.

Credit risk Credit Risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. The city invests in US Treasury securities which are considered free of credit risk, and in securities backed by the full faith and credit of the U.S. Government as well as U.S. government sponsored enterprises including Federal Home Loan Mortgage Corporation.

Investment Type	**Cost**	**Fair Value**	**Moody's**	**S&P**
Local Government Investment Pool (LGIP)	$ 210,139,670	$ 210,139,670	unrated	unrated
Federal Farm Credit Bank	19,622,631	19,971,539	Aaa	AA+
Federal Home Loan Bank	36,372,260	35,869,571	Aaa	AA+
Federal National Mortgage Association	22,883,261	24,190,427	Aaa	AA+
Federal Home Loan Mortgage Corporation	9,490,666	9,927,985	Aaa	AA+
Treasury	70,785,395	71,463,809	Aaa	AA+
TOTAL INVESTMENTS	**$ 369,293,884**	**$ 371,563,003**		

Interest Rate Risk Interest rate risk is the risk that changes in interest rates over time, adversely affecting the fair value of an investment. The city's portfolio is managed within the parameters established by the Investment Policy, which limits the weighted average maturity of the portfolio to five years.

Investment Type	Cost	Fair Value	Average Interest Rate
Local Government Investment Pool (LGIP)	$ 210,139,670	$ 210,139,670	3.677%
Federal Farm Credit Bank	19,622,631	19,971,539	4.069%
Federal Home Loan Bank	36,372,260	35,869,571	3.557%
Federal National Mortgage Association	22,883,261	24,190,427	4.099%
Federal Home Loan Mortgage Corporation	9,490,666	9,927,985	2.093%
Treasury	70,785,395	71,463,809	3.486%
TOTAL INVESTMENTS	**$ 369,293,884**	**$ 371,563,003**	

The city's Investment Policy directs that the standard of prudence for investment activities shall be the *Prudent Investor Standard* that states: "Investments shall be made with judgment and care, under circumstances then prevailing, which person of prudence, discretion, and intelligence would use in the management of their own affairs, not for speculation, but for investment purposes, considering the probable safety of their capital as well as the probable income to be derived."

Investment Type	0-6 months	6 months - 1 year	1-3 years	3+ years	Totals
Local Government Investment Pool (LGIP)	$ 210,139,670	$ -	$ -	$ -	$ 210,139,670
Federal Farm Credit Bank	-	-	15,200,209	4,771,331	19,971,539
Federal National Mortgage Association	-	-	18,977,417	5,213,011	24,190,427
Federal Home Loan Mortgage Corporation	5,122,977	4,805,009	-	-	9,927,985
Federal Home Loan Bank	-	9,550,422	9,749,693	16,569,456	35,869,571
Treasury	-	19,492,893	23,917,997	28,052,919	71,463,809
TOTAL INVESTMENTS	**$ 215,262,647**	**$ 33,848,324**	**$ 67,845,316**	**$ 54,606,717**	**$ 371,563,003**

Concentration of Credit Risk Concentration of credit risk is the risk of loss attributed to the magnitude of a government's investment in a single issuer. The city diversifies its investment instruments to avoid incurring unreasonable risk inherent with the over-investment of instruments and issuers using the following target distribution as a guide during normal economic times while allowing flexibility when appropriate. The city has agency bonds with Federal Home Loan Bank equal to 10%, Federal Farm Credit Bank equal to 5%, Federal National Mortgage Association equal to 7%, and Treasury equal to 19%. The city's remaining individual issuers are less than 5% of total investments or are otherwise excluded from this disclosure due to the low risk nature of the investment.

Target Maximum per Policy	Instrument Maximum	Issuer Maximum
U.S. Treasuries	100%	100%
U.S. Agencies	75%	50%
Certificates of Deposit (within WPDPC)	75%	20%
Local Governmental Investment Pool (LGIP)	75%	75%
Commercial Paper	25%	5%

Custodial Credit Risk – Investments Custodial credit risk for investments is the risk that, in the event of the failure of the counter party to a transaction, a government will not be able to recover the value of investment or collateral securities that are in the possession of an outside party. All security transactions, including collateral for repurchase agreements, entered into by the city are

conducted on a delivery-versus-payment (DVP) basis and are held in our safekeeping trust account with Principal Bank under terms negotiated by the State of Washington.

NOTE 3. PROPERTY TAXES

The county treasurer acts as an agent to collect property taxes levied in the county for all taxing authorities. Taxes are levied annually, January 1, on property value listed as of the prior May 31. Assessed values are established by the King County Assessor at 100 percent of fair market value. A revaluation of all property is required every two years; however, King County has the ability to revalue annually.

Property taxes levied by the King County Assessor and collected by the county treasurer become a lien on the first day of the levy year and may be paid in two equal installments if the total amount exceeds $30. The first half of real property taxes is due on April 30 and the balance is due October 31. Delinquent taxes bear interest at the rate of 1 percent per month and are subject to additional penalties if not paid as scheduled. No allowance for uncollectible taxes is established because delinquent taxes are considered fully collectible.

At year-end, property taxes are recorded as a receivable with the portion not expected to be collected within 60 days offset by unavailable revenue. During the year, property tax revenues are recognized when cash is received.

The tax rate for general city operations is limited to $3.825 per $1,000 of assessed value (RCW 84.52.043), less the actual amount levied by the King County Library System (maximum $0.50/$1,000) and the actual amount levied by the Renton Regional Fire Authority (maximum $1.00/$1,000). Included in this amount, up to $0.225 (22.5 cents) per $1,000 may be designated for contribution to the Firemen's Pension Fund. If a report by a qualified actuary on the condition of the Firemen's Pension Fund establishes that this amount (or portion of) is not necessary to maintain the actuarial soundness of the fund, the amount can be used for any other municipal purpose (RCW 41.16.060). The maximum statutory rate for 2024, after reductions noted above, was $2.56690.

The tax rate limit may be reduced for any of the following reasons:

1. The Levy Limit: the levy limit calculation applies to a taxing district's budget, and not to increases in the assessed value or tax bill of individual properties. Initiative 747 which restricted individual taxing districts from collecting, in any year, more than a one percent increase in their regular, non-voted, levy over the highest levy amount since 1985 was overturned by the courts. However, during 2007, the state legislature reinstated this limit with the passage of HB2416. New construction, annexations, and excess levies approved by the voters are not included in the levy limit calculation. If the assessed valuation increases by more than one percent due to revaluation, the levy rate will be decreased.

2. The One Percent Constitution Limit: The Washington State Constitution limits the regular (non-voted) combined property tax rate applied to an individual's property to one percent ($10 per $1,000) on the market valuation. Voters may approve special levies that are added to this figure.

If the taxes of all districts exceed this amount, each is proportionately reduced until the total is at or below the one percent limit.

3. The city may voluntarily levy taxes below the legal limit.

Special levies approved by the voters are not subject to the above limitations. There is currently no excess levy for General Obligation Bond debt. The city's regular levy per the King County Assessor's 2024 Annual Report is $0.94839.

NOTE 4. CAPITAL ASSETS AND DEPRECIATION

Governmental activities capital asset activity for the year ended December 31, 2024, was as follows:

	Beginning Balance	Prior Period Adjustment	Restated Beginning Balance	Increases	Decreases	Reclassification	Ending Balance
Governmental activities:							
Capital assets, not being depreciated:							
Land and land improvements	$ 219,624,628	$ -	$ 219,624,628	$ 1,458,957	$ (6,589)	$ 301,500	$ 221,378,496
Construction in progress	38,426,673	-	38,426,673	19,152,510	(97,266)	(15,556,152)	41,925,765
Total capital assets, not being depreciated	258,051,301	-	258,051,301	20,611,467	(103,855)	(15,254,652)	263,304,261
Capital assets, being depreciated:							
Buildings and structures	105,874,250	-	105,874,250	-	-	-	105,874,250
Other improvements	382,189,301	-	382,189,301	4,085,551	(122,200)	15,254,652	401,407,304
Machinery and equipment	47,512,586	-	47,512,586	4,441,224	(3,987,214)	-	47,966,596
Total capital assets being depreciated	535,576,137	-	535,576,137	8,526,775	(4,109,414)	15,254,652	555,248,150
Less accumulated depreciation for:							
Buildings and structures	(50,614,931)	-	(50,614,931)	(2,505,379)	-	-	(53,120,310)
Other improvements	(148,216,945)	-	(148,216,945)	(9,237,655)	57,366	-	(157,397,234)
Machinery and equipment	(31,961,537)	1,994,842	(29,966,695)	(3,037,449)	3,879,889	-	(29,124,255)
Total accumulated depreciation	(230,793,413)	1,994,842	(228,798,571)	(14,780,483)	3,937,255	-	(239,641,799)
Total capital assets, being depreciated, net	304,782,724	1,994,842	306,777,566	(6,253,708)	(172,159)	15,254,652	315,606,351
Intangible assets:							
Intangible assets, not being amortized	691,352	-	691,352	-	-	-	691,352
Intangible assets, being amortized	5,819,906	-	5,819,906	146,357	(377,619)	-	5,588,644
Less accumulated amortization	(4,172,088)	378,919	(3,793,169)	(787,483)	377,619	-	(4,203,033)
Total intangible asset, being amortized, net	1,647,818	378,919	2,026,737	(641,126)	-	-	1,385,611
Total Intangible assets	2,339,170	378,919	2,718,089	(641,126)	-	-	2,076,963
Governmental activities capital assets, net	$ 565,173,195	$ 2,373,761	$ 567,546,956	$ 13,716,633	$ (276,014)	$ -	$ 580,987,575

Depreciation and amortization were charged to the functions as follows:

Governmental Activities	Depreciation	Amortization	Total
General Government	1,218,474	8,820	1,227,294
Judicial	-	-	-
Public Safety	513,796	6,824	520,620
Physical Environment	58,148	-	58,148
Transportation	7,617,533	-	7,617,533
Economic Development	510,683	-	510,683
Culture and Recreation	2,346,556	-	2,346,556
Health and Human Services	12,328	-	12,328
Internal Service Funds (General Governmental)	2,502,965	771,839	3,274,804
Total-Governmental Activities	**$ 14,780,483**	**$ 787,483**	**$ 15,567,966**

Business-type capital asset activity for the year ended December 31, 2024, was as follows:

	Beginning Balance	Prior Period Adjustment	Restated Beginning Balance	Increases	Decreases	Reclassification	Ending Balance
Business-type activities:							
Capital assets, not being depreciated:							
Land and land improvements	$ 6,143,690	$ -	$ 6,143,690	$ -	$ -	$ -	$ 6,143,690
Construction in progress	21,737,670	-	21,737,670	10,553,069	-	(11,687,760)	20,602,979
Total capital assets, not being depreciated	27,881,360	-	27,881,360	10,553,069	-	(11,687,760)	26,746,669
Capital assets, being depreciated:							
Buildings and structures	17,576,346	-	17,576,346	485,436	-	586,662	18,648,444
Other improvements	492,712,509	-	492,712,509	20,177,455	(121,578)	11,101,098	523,869,484
Machinery and equipment	3,566,666	-	3,566,666	199,275	(40,345)	-	3,725,596
Total capital assets being depreciated	513,855,521	-	513,855,521	20,862,166	(161,923)	11,687,760	546,243,524
Less accumulated depreciation for:							
Buildings and structures	(10,879,090)	-	(10,879,090)	(416,175)	-	-	(11,295,265)
Other improvements	(204,140,572)	-	(204,140,572)	(10,559,095)	66,904	-	(214,632,763)
Machinery and equipment	(2,501,108)	-	(2,501,108)	(234,460)	40,345	-	(2,695,223)
Total accumulated depreciation	(217,520,770)	-	(217,520,770)	(11,209,730)	107,249	-	(228,623,251)
Total capital assets, being depreciated, net	296,334,751	-	296,334,751	9,652,436	(54,674)	11,687,760	317,620,273
Intangible assets:							
Intangible assets, not being amortized	811,000	-	811,000	-	-	-	811,000
Intangible assets, being amortized	556,855	-	556,855	-	-	-	556,855
Less accumulated amortization	(531,455)	-	(531,455)	(2,117)	-	-	(533,572)
Total intangible asset, being amortized, net	25,400	-	25,400	(2,117)	-	-	23,283
Total Intangible assets	836,400	-	836,400	(2,117)	-	-	834,283
Business-type activities capital assets, net	$ 325,052,511	$ -	$ 325,052,511	$ 20,203,388	$ (54,674)	$ -	$ 345,201,225

Depreciation and amortization were charged to the functions as follows:

Business-Type Activities	Depreciation	Amortization	Total
Waterworks	9,830,407	-	9,830,407
Airport	1,033,356	2,117	1,035,473
Golf Course	345,967	-	345,967
Total-Business-Type Activities	**$ 11,209,730**	**$ 2,117**	**$ 11,211,847**

At the end of 2024, Construction in Progress is comprised of a total of 56 projects. Upon completion, the projects will be reallocated to their appropriate categories.

Construction commitments as of December 31, 2024, are as follows:

Governmental Activities Projects:	Construction in Progress	Remaining Commitment
116th Street Sidewalk	$ 191,183	$ 1,116,340
Cedar Ave S Sidewalk	64,632	968,311
Cedar River Bank Stabilization	33,332	192,913
City Website Design	87,573	24,803
Cleveland Richardson Park	44,696	155,304
Community Center Wi-fi	264,968	750,032
Downtown Wayfinding Signage	124,651	-
Full Swing Golf Simulator	11,500	-
Henry Moses Aquatic Center	150,999	1,875,861
Houser Way N. Bridge	130,197	1,078,803
I-405/NE 44th St Roundabout Greenscape	35,644	33,550
Liberty Park Improvement	18,631	2,335,634
May Creek Park	149,575	50,425
May Creek Trail South	543,205	3,322,440
Pavilion Remodel	838,883	7,026,068
Piazza Park Improvements	284,321	1,509,920
Police Brazos Parking Citation System	8,586	-
Rainier Ave S/N Phase 4	34,163,234	9,211,506
Regis Park Athletic Field Expansion	124,044	-
Renton Connector	533,476	1,226,487
RTC Burnett Ave S Sidewalk Rehabilitation	623,054	81,946
Safe Routes to Transit	1,923,998	2,701
Sound Transit NE 44th St	14,874	70,267
South 7th St	884,093	2,677,186
Springbrook Trail Boardwalk Replacement	113,207	-
Sunset Blvd Corridor	341,671	-
Talbot Hill Reservoir Improvements	102,527	895,043
Williams Bridge	119,011	1,203,289
Total governmental activities	**$ 41,925,765**	**$ 35,808,829**

Business-Type Activities Projects:	Construction in Progress	Remaining Commitment
Airport Security & Fence Upgrade	$ 118,045	$ 131,955
Airport Tower Replacement	441,995	-
Burnett Ave S & Williams Ave S (Sewer)	45,909	453,901
Burnett Ave S & Williams Ave S (Stormwater)	1,734,060	2,689,687
Burnett Ave S Water Main Improvement	411,711	34,936
East Valley Road Storm System Improvement	176,360	313,461
Golf Driving Range Renovation	11,030	462,332
Hardie Ave S Underpass Storm System Improvement	95,844	2,129,221
Highlands 435 - Resevoirs Replacement	2,958,817	20,299,076
Kennydale Lakeline Sewer Upgrade	809,019	5,608,574
Lift Station & Force Main Rehabilitation	136,976	2,471,749
NE 12th St Storm System	44,059	400,000
NE 12th St Water Main Replacement	274,934	2,257,757
Panther Creek Culvert Replacement	338,355	359,181
Pressure-Reducing Valve Stations	77,094	848,490
Rainier Ave Ph 4 Sewer Facilities	493,264	1,228,854
Rainier Ave S Water Utility Improvements	2,580,216	319,783
Rainier Ave/Oakesdale Ave Pump Station Generator	82,431	473,675
Renton Highlands Sewer Replacement	1,444,290	4,634,105
SE 172nd St/125th Ave SE Storm Sys	894,717	4,741,139
Springbrook Terrace Water Quality Retrofit	160,299	203,180
SW 43rd St/Lind Ave SW Storm System Improvements	367,219	936,463
Taxiway Alpha Rehabilitation	1,767,175	3,145,756
Water Pump Stations Emergency Generator	610,499	570,988
Water Pump Stations Rehabilitation	2,516,848	43,697
Windsor Hills Storm System Utility Improvement	403,015	3,298,778
Windsor Hills Water Utility Improvement	1,271,450	7,351,358
WSDOT I-405 Water Relocations	337,348	294,382
Total business-type activities	**$ 20,602,979**	**$ 65,702,478**

Springbrook Creek Wetland and Habitat Mitigation Bank

The city entered into an agreement with Washington State Department of Transportation to jointly share in the development, construction, maintenance and operation of the Springbrook Creek Wetland and Habitat Mitigation Bank. Each agency has contributed toward the establishment of the Bank and mitigation credits earned were split evenly between the two agencies. Credits were earned over a 10-year period as certain performance measures were met and are available for use by the city in lieu of performing mitigation measures otherwise required for certain capital projects or the city may choose to sell the credits to external developers. The city assumed site management and monitoring costs at the end of the 10-year performance period (2021) and is obligated to maintain and monitor the wetland in perpetuity. This includes ensuring that functional benefits of the mitigation activities are not degraded, ensuring long-term protection of wetland and buffer areas, and maintaining native plant communities and wildlife habitat diversity.

Asset Retirement Obligation

The city completed a thorough review of all tangible capital assets to determine if there are any legally enforceable liabilities associated with the retirement of the assets, as required by GASB Statement 83, Asset Retirement Obligation. The Waterworks Utility has ten water wells that have regulatory requirements associated with decommissioning. The assets have no foreseeable disposition, the city has no intent of decommissioning the wells, and there is no incurrence of external or internal obligating events that would require the city to record an Asset Retirement Obligation at this time. For this reason, an asset retirement obligation has not been recognized in the Proprietary Funds Statement of Net Position. If it is determined that the wells need to be retired in the future, the current estimated cost of doing so is approximately $1.15M.

The city also has two underground fuel storage tanks included in general governmental assets. The tanks are expected to be replaced with new tanks when they exhaust their useful lives. Based on the regulations and statutes required by Department of Ecology, WAC-173-360A-0810, the estimated lesser cost to decommission the tanks is $150,000. There is no incurrence of external or internal obligating events that would require the city to record an Asset Retirement Obligation at this time. For this reason, an asset retirement obligation has not been recognized in the Government-wide Statement of Net Position. When the tanks are replaced in the future, an asset retirement obligation will be recorded at that time.

NOTE 5. PENSION PLANS

A. State Sponsored Pension Plans

For purposes of measuring the net pension liability/asset, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Plans and additions to/deductions from the Plan's fiduciary net position have been determined on the same basis as they are reported by the State of Washington Department of Retirement Systems (DRS). For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

General Information about the Pension Plans

The city's full-time and qualifying part-time employees are eligible to participate in one of the following statewide retirement systems administered by the Washington State Department of Retirement Systems:

- Public Employees' Retirement System (PERS) Plans 1, 2, and 3
- Law Enforcement Officers' and Firefighters' Retirement System (LEOFF) Plans 1 and 2
- Public Safety Employees' Retirement System (PSERS) Plan 2

The Department of Retirement Systems (DRS), a department within the primary government of the State of Washington, issues a publicly available annual comprehensive financial report (AFCR) that includes financial statements and required supplementary information for each plan. The DRS ACFR may be obtained by contacting the Washington State Department of Retirement Systems, P.O. Box 48380, Olympia, WA 98504-8380; or online from the DRS website at www.drs.wa.gov.

Actuarial assumptions The total pension liability was determined using the following actuarial assumptions.

- **Inflation:** 2.75% total economic inflation; 3.25% salary inflation
- **Salary increases**: In addition to the base 3.25% salary inflation assumption, salaries are also expected to grow by promotions and longevity.
- **Investment rate of return:** 7.00%

Total pension liability for each of the plans was determined using the most recent actuarial valuation completed in 2024 with a valuation date of June 30, 2023. The actuarial assumptions used were based on the results of the 2013-2018 Demographic Experience Study report and the 2023 Economic Experience Study.

Assumptions did not change from the prior contribution rate setting June 30, 2022 Actuarial Valuation Report (AVR). There were also the following method changes:

- The Office of the State Actuary (OSA) made adjustments to their methods for calculating Unfunded Actuarial Accrued Liability (UAAL) contribution rates in PERS 1 and TRS 1 to reflect the delay between the measurement date of calculated Plan 1 rates and when the rates are collected.
- OSA made an adjustment to their model to reflect past inflation experience when modeling future cost of living adjustments for current annuitants in all plans except PERS 1 and TRS 1.

Mortality rates were developed using the Society of Actuaries PUB. H-2010 mortality rates as the base table. OSA applied age offsets to the base table to better tailor the mortality rates to the demographics of each plan. The long-term MP-2017 generational improvement scale was applied to project mortality rates for every year after the 2010 base table. Mortality rates are applied on a generational basis meaning each member is assumed to receive additional mortality improvements in each future year, throughout his or her lifetime.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which the Washington State Investment Board (WSIB) used a best estimate of expected future rates of return (expected returns net of pension plan investment expense but including inflation) to develop each major asset class. Those expected returns make up one component of WSIB's Capital Market Assumptions (CMAs). The CMAs contain the following three pieces of information for each class of assets the WSIB currently invest in:

- Expected annual return
- Standard deviation of the annual return
- Correlations between the annual returns of each asset class with every other asset class

The WSIB uses the CMAs and their target asset allocation to stimulate future investment returns over various time horizons.

The long-term expected rate of return of 7.0% approximately equals the median of the simulated investment returns over a fifty-year time horizon, adjusted to remove or dampen any short-term changes to WSIB's CMAs that aren't expected over the entire fifty-year measurement period.

Best estimates of arithmetic real rates of return for each major asset class included in the pension plan's target asset allocation as of June 30, 2024, are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
Fixed Income	19.00%	2.10%
Tangible Assets	8.00%	4.50%
Real Estate	18.00%	4.80%
Global Equity	30.00%	5.60%
Private Equity	25.00%	8.60%

The inflation component used to create the table above is 2.50% and represents WSIB's most recent long-term estimate of broad economic inflation.

Discount rate The discount rate used to measure the total pension liability was 7.00% for all plans. To determine the discount rate, an asset sufficiency test was completed to test whether each pension plan's fiduciary net position was sufficient to make all projected future payments for current plan members.

Based on the assumptions described in OSA's certification letter within the DRS annual report, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return of 7.00% on pension plan investments was applied to determine the total pension liability.

Sensitivity of the Net Pension Liability/(Asset) to Changes in the Discount Rate The following presents the city's proportionate share of the net pension liability/(asset), calculated using the discount rate of 7.00%, as well as what the net pension liability/(asset) would be if it were calculated using a discount rate that is one percentage point lower (6.00%) or one percentage point higher (8.00%) than the current rate.

	1% Decrease 6.00%	Current Discount Rate 7.00%	1% Increase 8.00%
PERS Plan 1	$ 6,647,095	$ 4,518,837	$ 2,652,303
PERS Plan 2/3	$ 19,395,018	$ (10,758,926)	$ (35,523,733)
PSERS Plan 2	$ 137,768	$ (21,272)	$ (147,106)
LEOFF Plan 1	$ (6,286,228)	$ (7,142,825)	$ (7,889,822)
LEOFF Plan 2	$ 5,183,327	$ (7,823,729)	$ (18,463,111)

Collective Net Pension Liability/(Asset)

The collective net pension liability was measured as of June 30, 2024, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2023, with the results rolled forward to June 30, 2024, using standard update procedures. Employer contribution transmittals received and processed by the DRS for the fiscal year ended June 30, 2024

are used as the basis for determining each employer's proportionate share of the collective pension amounts reported by the DRS in the Schedules of Employer and Non-employer Allocations for all plans except LEOFF Plan 1. LEOFF Plan 1 allocation percentages are based on the total historical employer contributions to LEOFF Plan 1 from 1971 through 2000 and the retirement benefit payments in fiscal year 2024. Historical data was obtained from a 2011 study by the office of the State Actuary (OSA). In the fiscal year 2024, the State of Washington contributed 87.12% of LEOFF Plan 1 employer contributions and all other employers contributed the remaining 12.88% of employer contributions. LEOFF Plan 1 is fully funded and no further employer contributions have been required since June 2000. If the plan becomes underfunded, funding of the remaining liability will require new legislation. The allocation method the plan chose reflects the projected long-term contribution effort based on historical data.

At June 30, 2024, the city's proportionate share of the collective net pension assets/liabilities was as follows:

	Proportionate Share 6/30/2023	Proportionate Share 6/30/2024	Change in Proportion
PERS Plan 1	0.264064%	0.254319%	-0.009745%
PERS Plan 2/3	0.337498%	0.326367%	-0.011131%
PSERS Plan 2	0.055615%	0.049883%	-0.005732%
LEOFF Plan 1	0.249031%	0.251164%	0.002133%
LEOFF Plan 2	0.446469%	0.417768%	-0.028701%

The following table represents the aggregate pension amounts for all plans for the year 2024:

Aggregate Pension Amounts - All Plans	
Pension liabilities	4,518,837
Pension assets	(34,199,606)
Deferred outflows of resources	26,405,138
Deferred inflows of resources	8,253,112
Pension expense (income)	(42,177)

Public Employees' Retirement System (PERS)

Plan description PERS was established by the state legislature in 1947 under the Revised Code of Washington (RCW) chapter 41.40. PERS is a multiple-employer cost-sharing retirement system. Membership in the system includes elected officials, state employees, employees of the Supreme, Appeals, and Superior Courts (other than judges currently in a judicial retirement system); employees of legislative committees; community and technical colleges, college and university employees not in national higher education retirement programs; judges of district and municipal courts; and employees of local governments.

PERS consists of three plans. PERS participants, who joined the PERS system by September 30, 1977, are Plan 1 members. Plan 1 is closed to new members. Those who joined on or after October 1, 1977; and by either, February 28, 2002, for state and higher education employees, or August 31, 2002 for local government employees, are Plan 2 members unless they exercise an option to transfer their membership to Plan 3. PERS participants joining the system on or after March 1, 2002,

for state and higher education employees, or September 1, 2002 for local government employees, have the irrevocable option of choosing membership in either PERS Plan 2 or PERS Plan 3. The option must be exercised within 90 days of employment. An employee is reported in Plan 2 until a choice is made. Employees who fail to choose within 90 days default to PERS Plan 3.

Benefits provided

PERS Plan 1 provides retirement, disability, and death benefits. Retirement benefits are determined as two percent of the member's average final compensation (AFC) times the member's years of service. The AFC is the average of the member's 24 highest consecutive service months. Members are eligible for retirement from active status at any age with at least 30 years of service, at age 55 with at least 25 years of service, or at age 60 with at least five years of service. Members retiring from active status prior to the age of 65 may receive actuarially reduced benefits. Retirement benefits are actuarially reduced to reflect the choice of a survivor benefit. Other benefits include duty and non-duty disability payments, an optional cost-of-living adjustment (COLA), and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. PERS 1 members were vested after the completion of five years of eligible service. The plan was closed to new entrants on September 30, 1977.

PERS Plan 2/3 provides retirement, disability, and death benefits. Retirement benefits are determined as two percent of the member's average final compensation (AFC) times the member's years of service for Plan 2 and 1 percent of AFC for Plan 3. The AFC is the average of the member's 60 highest-paid consecutive service months. There is no cap on years of service credit. Members are eligible for retirement with a full benefit at 65 with at least five years of service credit. Retirement before age 65 is considered an early retirement. PERS Plan 2/3 members who have at least 20 years of service credit and are 55 years of age or older, are eligible for early retirement with a benefit that is reduced by a factor that varies according to age for each year before age 65. PERS Plan 2/3 members who have 30 or more years of service credit and are at least 55 years old can retire under one of two provisions:

- With a benefit that is reduced by three percent for each year before age 65; or
- With a benefit that has a smaller (or no) reduction (depending on age) that imposes stricter return-to-work rules.

PERS Plan 2/3 members hired on or after May 1, 2013, have the option to retire early by accepting a reduction of five percent for each year of retirement before age 65. This option is available only to those who are age 55 or older and have at least 30 years of service credit. PERS Plan 2/3 retirement benefits are also actuarially reduced to reflect the choice of a survivor benefit. Other PERS Plan 2/3 benefits include duty and non-duty disability payments, a cost-of-living allowance (based on the CPI), capped at three percent annually and a one-time duty related death benefit, if found eligible by the Department of Labor and Industries. PERS 2 members are vested after completing five years of eligible service. Plan 3 members are vested in the defined benefit portion of their plan after ten years of service; or after five years of service if 12 months of that service are earned after age 44.

PERS Plan 3 defined contribution benefits are dependent on employee contributions and investment earnings on those contributions. PERS Plan 3 members choose their contribution rate

upon joining membership and have a chance to change rates upon changing employers. As established by statute, Plan 3 required defined contribution rates are set at a minimum of 5 percent and escalate to 15 percent with a choice of six options (A-F). If Plan 3 members do not choose a contribution rate, it will default to option A which is 5%. Employers do not contribute to the defined contribution benefits. PERS Plan 3 members are immediately vested in the defined contribution portion of their plan.

The Judicial Benefit Multiplier (JBM) Program began January 1, 2007. This program gave eligible justices and judges an option to increase the benefit multiplier used in their retirement benefit calculation for their judicial service period of employment. Beginning January 2007, any justice or judge who was in a judicial position at that time could choose to join JBM. Any justice or judge elected or appointed to office on or after January 1, 2007, who elects to join DRS membership will also be mandated into JBM. If they have already established membership in PERS or TRS Plan 1 they will rejoin that plan, but if they have never had membership they will be enrolled as a member of both PERS Plan 2 and JBM.

Contributions PERS defined benefit retirement benefits are financed from a combination of investment earnings and employer and employee contributions. Each biennium, the state Pension Funding Council adopts Plan 1 employer contribution rates, Plan 2 employer and employee contribution rates, and Plan 3 employer contribution rates. The methods used to determine contribution requirements are established under state statute.

The required contribution rates, expressed as a percentage of covered payroll, were as follows:

Required Contribution Rates	Employer			Employee		
	Plan 1	Plan 2	Plan 3	Plan 1	Plan 2	Plan 3
PERS						
Members not participating in JBM						
State agencies, local governmental units	9.33%	9.33%	9.33%	6.00%	6.36%	**
Administrative fee	0.20%	0.20%	0.20%			
Total	9.53%	9.53%	9.53% *			
Members participating in JBM						
Local governmental units	9.33%	9.33%	9.33%	12.26%	15.90%	7.50%***
Administrative fee	0.20%	0.20%	0.20%			
Total	9.53%	9.53%	9.53% *			

* Plan 3 defined benefit portion only.
** Variable from 5% to 15% based on rate selected by the member.
*** Minimum rate.

Employer contributions were $1,448,228, $2,700,293, and $622,629 for Plans 1, 2, and 3, respectively.

Public Safety Employee's Retirement System (PSERS)

Plan description The PSERS system was created by the 2004 Legislature and became effective July 1, 2006 under RCW 41.37. PSERS is a multiple-employer cost-sharing retirement system

comprised of a single defined benefit plan, PSERS Plan2. PSERS membership includes full-time employees meeting specific eligibility criteria that are employed by Department of Corrections, Department of Natural Resources, Gambling Commissions, Liquor Control Board, Parks and Recreation Commission, Washington State Patrol, Washington state counties, corrections departments of Washington state cities except for Seattle, Tacoma, and Spokane, or correctional entities formed by PSERS employers under the Interlocal Cooperation Act.

Benefits provided
PSERS provides retirement, disability, and death benefits to eligible members.

PSERS members are vested after an employee completes five years of eligible service, PSERS members may retire at the age of 65 with five years of service, or at the age of 60 with at least ten years of PSERS service credit, or at age 53 with twenty years of service with a monthly benefit of two percent of the average final compensation (AFC). A cost-of-living allowance (COLA) is granted based on the Consumer Price Index, capped at three percent annually. The AFC is the average of the member's 60 highest paid consecutive months.

PSERS members have the option to retire early with reduced benefits. PSERS members meeting specific eligibility requirements have options available to enhance their retirement benefits. Some of these options are available to their survivors, generally with reduced benefits.

Contributions PSERS defined benefit retirement benefits are financed from a combination of investment earnings and employer and employee contributions. Each biennium, the state Pension Funding Council adopts Plan 2 employer and employee contribution rates. The employer and employee contribution rates for Plan 2 are developed by the Office of the State Actuary to fully fund Plan 2. The methods used to determine the contribution requirements are established under state statute.

The required contribution rates, expressed as a percentage of covered payroll, were as follows:

Required Contribution Rates	Employer Plan 2	Employee Plan 2
PSERS		
State agencies, local governmental units	9.70%	6.73%
Administrative fee	0.20%	
Total	9.90%	

Employer contributions to PSERS Plan 2 were $33,087.

Law Enforcement Officers' and Firefighters' Retirement System (LEOFF)
Plan description LEOFF was established by the state legislature in 1970 under the Revised Code of Washington (RCW) chapter 41.26. LEOFF is a multiple-employer cost-sharing retirement system. Membership in the system includes all full-time, fully compensated, local law enforcement commissioned officers, firefighters, and as of July 24, 2005, emergency medical technicians. LEOFF membership is comprised primarily of non-state employees, with Department of Fish and Wildlife enforcement officers who were first included effective July 27, 2003, being an exception.

LEOFF consists of two separate defined benefit plans. LEOFF participants who joined the system by September 30, 1977, are Plan 1 members. Plan 1 is closed to new members. Those who joined on or after October 1, 1977, are Plan 2 members.
Effective July 1, 2003, the LEOFF Plan 2 Retirement Board was established by Initiative 790 to provide governance of LEOFF Plan 2. The Board's duties include adopting contribution rates and recommending policy changes to the Legislature for the LEOFF Plan 2 retirement plan.

Benefits provided
LEOFF plans provide retirement, disability, and death benefits to eligible members. LEOFF Plan 1 members are vested after the completion of five years of eligible service. Plan 1 members are eligible for retirement with five years of service at the age of 50. The benefit per year of service calculated as a percent of final average salary (FAS) is as follows:

- 20+ years of service – 2.0% of FAS
- 10-19 years of service – 1.5% of FAS
- 5-9 years of service – 1% of FAS

A cost-of-living allowance (COLA) is granted based on the Consumer Price Index.

LEOFF Plan 2 members are vested after the completion of five years of eligible service. Plan 2 members are eligible for retirement at the age of 53 with five years of service, or at age 50 with twenty years of service. Plan 2 members receive a benefit of two percent of the FAS per year of service. FAS is based on the highest consecutive 60 months. A COLA is granted based on the Consumer Price Index, capped at three percent annually.

LEOFF members have the option to retire early with reduced benefits. LEOFF members meeting specific eligibility requirements have options available to enhance their retirement benefits. Some of these options are available to their survivors, generally with reduced benefits.

Contributions LEOFF defined benefit retirement benefits are financed from a combination of investment earnings, employer and employee contributions, and a special funding situation in which the state pays through state legislative appropriations.

Employer and employee contribution rates are developed by the Office of the State Actuary to fully fund the plans. Starting on July 1, 2000, Plan 1 employers and employees are not required to contribute as long as the plan remains fully funded. Plan 2 employers and employees are required to pay at the level adopted by the LEOFF Plan 2 Retirement Board. The methods used to determine contribution requirements are established under state statute.

The required contribution rates, expressed as a percentage of covered payroll, were as follows:

Required Contribution Rates	Employer		Employee	
	Plan 1	Plan 2	Plan 1	Plan 2
LEOFF				
Local governmental units	N/A	5.12%	N/A	8.53%
Administrative fee	0.20%	0.20%		
Total	0.20%	5.32%		

N/A Indicates data not applicable.

Employer contributions to LEOFF Plan 2 were $1,069,248.

B. Firefighters' Pension

The city is the administrator of the Firefighters' Pension Plan for all firefighters employed prior to March 1, 1970. The Firefighters' Pension Plan is included within the City of Renton's statements as a pension trust fund. There is no separate GAAP-based audited report. A schedule of employer contributions, prepared by Milliman, Inc. is included in the Required Supplemental Information section. Additional information from the actuarial report prepared for the Firefighters' Pension Plan, by Milliman, Inc., may be obtained by contacting the City of Renton, Finance Division, 1055 South Grady Way, Renton, WA 98057.

*Plan D*escription The Firefighters' Plan (Plan) is a closed, single-employer defined benefit pension plan administered by the City of Renton through the firefighters' pension board. The plan provides pensions for firefighters that were employed prior to March 1, 1970, when the LEOFF retirement system was established.

The firefighters' pension board consists of five members: the Mayor who serves as chair of the board, the chairperson of the Council Finance Committee, and three members elected by secret ballot of the retired firefighters for two-year terms.

Plan Membership Membership is limited to active members of the Firefighters' Pension Plan (FPP) as of March 1, 1970. On that date, the Washington Law Enforcement Officers' and Firefighters' System (LEOFF) was established. The plan is closed to new members. At December 31, 2024, FPF membership consisted of the following:

Inactive employees or beneficiaries currently receiving benefits	20
Inactive employees or beneficiaries receiving full retirement through LEOFF	2
Total	22

*Benefits p*rovided

All benefit terms are in statutes RCW 41.16, 41.18, and 41.26. The Firefighters' Pension Plan (FPP) provides retirement, disability, and death benefits. Each firefighter in service on March 1, 1970 receives the greater of the benefit payable under the Washington Law Enforcement Officers' and Firefighters' Retirement (LEOFF) System and the benefits available under the provisions of prior law. Where benefits under the old law exceed those under the new law for any firefighter, the excess benefits are paid from the FPF of the city employing the member on March 1, 1970.

All members are retired and drawing benefits. Benefit terms provide for cost-of-living adjustments to each member's retirement benefit. There are two types of increases: escalation by salary in proportion to current salary of rank from which the firefighter retired or increase proportionate to the increase in the Seattle-area consumer price index, with the change computed annually. Regardless of the change in the consumer price index, benefits are increased at least two percent each year. The former applies to firefighters who retired from service after 1969, their survivors, and to firefighters who retired from duty disability (but not their survivors) after 1961. The latter applies to all other types of monthly benefits. Benefits and refunds of the Plan are recognized when due and payable in accordance with the terms of the Plan. For 2024, $261,512 was paid for pension benefit payments.

Contributions As long as the FPP provides for benefits to covered members, the city will be eligible to receive a share of the State's distribution of the fire insurance premium taxes. The amount the city receives is 25% of all monies received by the State from taxes on fire insurance premiums. Contributions can also come from taxes paid pursuant to the provisions of RCW 41.16.060. This statute requires that each municipality levy up to $0.45 (only $0.225 of which can be in excess of the property tax limit pursuant to RCW 84.52.043) per $1,000 of assessed valuation, based on reports by a qualified actuary, to maintain the fund. 2024 employer contributions to the Firefighters' Pension Plan were $0. This money was instead used to pay LEOFF 1 retiree medical expenses as actuarial study showed the FPP was fully funded.

Investment Policy The pension plan's policy in regard to the allocation of invested assets is established and may be amended by a majority vote of its members. It is the policy of the FPP board to pursue an investment strategy that emphasizes prudent and professional standards. The primary investment requirements, in order of priority, are safety, compliance, liquidity, and return on investment. The Board has designated daily operations, internal controls, and investment decisions to the city's finance director. No significant investment policy changes were made during the reporting year. Investments are recorded at fair value in accordance with GASB Statement No. 72, *Fair Value Measurement and Application*. Accordingly, the change in fair value of investments is recognized as an increase or decrease to investment assets and investment income.

Rate of Return For the year ended December 31, 2024, the annual money-weighted rate of return on pension plan investments, net of pension plan investment expense, was 4.82%. The money-weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested.

Concentrations For the year ended December 31, 2024, 17.97% of the plan's fiduciary net position was invested in US Federal Agency Securities, 5.29% was invested in certificates of deposit, 14.28% was invested in US Treasury, and 3.53% was invested in US Treasury Strips.

Net Pension Liability/(Asset) The city's net pension liability was measured as of December 31, 2024, and the total pension liability used to calculate the net pension liability/(asset) of $(8,452,851) was determined by an actuarial valuation as of that date.

	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (Asset) (a) - (b)
Balances at December 31,2023	$ 2,197,640	$ 10,267,485	$ (8,069,845)
Changes for the Year			
Interest on total pension liability	82,727	-	82,727
Effect of economic/demographic gains or losses	15,074	-	15,074
Effect of assumptions chages or inputs	-	-	-
Benefit payments	(261,512)	(261,512)	-
Contributions from state fire insurance premium tax	-	-	-
Net investment income	-	488,207	(488,207)
Administrative expenses	-	(7,400)	7,400
Net Changes	(163,711)	219,295	(383,006)
Balances at December 31,2024	$ 2,033,929	$ 10,486,780	$ (8,452,851)

The plan's fiduciary net position of $10,486,781 is 516% of the plan's total pension liability at December 31, 2024.

Actuarial assumptions The total pension liability was determined by an actuarial valuation as of December 31, 2024, using the following actuarial assumptions.

- Inflation 2.50%
- Salary increases 3.50%
- Investment rate of return 4.00%
- Actuarial cost method Entry age normal

Mortality rates were based on the Pub-2010 Mortality Table (headcount-weighted) with ages set back one year for males is used for healthy annuitants. Pub-2010 Safety Disabled Mortality Table is used for disabled annuitants. A blend of rates from Pub-2010 Mortality Tables for contingent annuitants and retirees is used for surviving spouses. Mortality rates are projected forward generationally suing the ultimate rates in Projection Scale MP-2017.

The long-term expected rate of return on pension plan investments was determined by combining expected inflation to expected long term real return and reflecting expected volatility and correction.

The weighted expected returns of the city's portfolio of cash, US Treasuries (to be held to maturity), and receivables was used to develop the long-term expected rate of return.

The best-estimate range for the long-term expected rate of return for each major asset class included in the pension plan's target asset allocation as of December 31, 2024, are summarized in the following table:

Asset Class	Index	Long-Term Expected Real Rate of Return
Cash	BAML 90-Day T-Bills	0.92%
Core Fixed Income	Bloomberg Barclays Aggregate	2.24%
US Treasury Bonds	Bloomberg US Treasury TR USD	1.71%
US Long STRIPS	Bloomberg US Strips 20+ Yr TR USD	2.52%
Mortgages	Bloomberg US MBS TR USD	2.71%
Assumed Inflation - Mean		2.50%
Long-Term Expected Rate of Return		4.00%

Discount rate The discount rate used to measure the total pension liability was 4%. The projection of cash flows used to determine the discount rate assumed city contributions were equal to revenue received from Fire Insurance premiums and the amount received would increase at the inflation rate of 2.50%. Based on this assumption, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payment of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the net pension liability to changes in the discount rate The following presents the net pension liability of the city, calculated using the discount rate of 4.0%, as well as what the city's net pension liability would be if it were calculated using a discount rate that is one percentage point lower (3.0%), or one percentage point higher (5.0%), that the current rate.

	1% Decrease 3.00%	Current Discount Rate 4.00%	1% Increase 5.00%
Total Pension Liability	$ 2,158,749	$ 2,033,930	$ 1,921,727
Fiduciary Net Position	10,486,781	10,486,781	10,486,781
Net Pension Liability	(8,328,032)	(8,452,851)	(8,565,054)

C. Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2024, the city reported its proportionate share of net pension liability/(asset) as follows:

Plan	Liability	Asset
PERS Plan 1	$ 4,518,837	$ -
PERS Plan 2/3		(10,758,929)
PSERS Plan 2	-	(21,272)
LEOFF Plan 1	-	(7,142,825)
LEOFF Plan 2	-	(7,823,729)
Firefighters' Pension		(8,452,851)
Total	$ 4,518,837	$ (34,199,606)

The amount of the liability/(asset) reported for LEOFF Plan 1 and LEOFF Plan 2 reflects a reduction for the city's collective liability to be paid by the State. The city recognized $664,230 as contribution revenue for the State's on behalf payment for 2024. The amount recognized by the city as its proportionate share of the net pension liability/(asset), the portion of the city's net pension liability/(asset) to be paid by the State, and the total portion of the net pension liability/(asset) that was associated with the city were as follows:

	Liability/(Asset)
LEOFF Plan 1 - employer's proportionate share	$ (7,142,825)
LEOFF Plan 1 - State's proportionate share of the net pension liability/(asset) associated with the employer	(48,313,893)
TOTAL	$ (55,456,718)

	Liability/(Asset)
LEOFF Plan 2 - employer's proportionate share	$ (7,823,729)
LEOFF Plan 2 - State's proportionate share of the net pension liability/(asset) associated with the employer	(5,077,185)
TOTAL	$ (12,900,914)

For the year ended December 31, 2024, the city recognized pension expense as follows:

	Pension Expense (Income)
PERS Plan 1	(312,395)
PERS Plan 2/3	(564,714)
PSERS Plan 2	26,219
LEOFF Plan 1	28,342
LEOFF Plan 2	563,377
Firefighters' Pension	216,994
Total	$ (42,177)

At December 31, 2024, the city reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

Deferred Outflows of Resources	PERS Plan 1	PERS Plan 2/3	PSERS Plan 2	LEOFF Plan 1	LEOFF Plan 2	Firefighters' Pension	Total
Differences between expected and actual experience	$ -	$ 6,113,452	$ 55,144	$ -	$ 5,758,117	$ -	$ 11,926,713
Net difference between projected and actual earnings on pension plan investments	-		-	-	-	72,269	72,269
Changes of assumptions	-	5,941,101	21,233	-	3,220,729		9,183,063
Changes in proportion and differences between City contributions and proportionate	-	806,849	-	-	1,499,220		2,306,069
City contributions subsequent to the measurement date	679,409	1,671,971	17,174	-	548,470		2,917,024
Total	$ 679,409	$ 14,533,373	$ 93,551	$ -	$ 11,026,536	$ 72,269	$ 26,405,138

Deferred Inflows of Resources	PERS Plan 1	PERS Plan 2/3	PSERS Plan 2	LEOFF Plan 1	LEOFF Plan 2	Firefighters' Pension	Total
Differences between expected and actual experience	$ -	$ 24,910	$ 12,167	$ -	$ 59,541	$ -	$ 96,618
Net difference between projected and actual earnings on pension plan investments	361,585	3,083,202	10,299	269,979	1,287,207	-	5,012,272
Changes of assumptions	-	681,682	7,948	-	657,628	-	1,347,258
Changes in proportion and differences between City contributions and proportionate	-	567,513	-	-	1,229,451	-	1,796,964
Total	$ 361,585	$ 4,357,307	$ 30,414	$ 269,979	$ 3,233,827	$ -	$ 8,253,112

For PERS Plan 1, $679,409, for PERS Plan 2/3, $1,671,971, for PSERS Plan 2, $17,174, and for LEOFF Plan 2 $548,470, reported as deferred outflows of resources related to contributions resulting from city contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year.

Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized as pension expense as follows:

Differences Between Projected and Actual Earnings on Plan Investments

Year	PERS Plan 1	PERS Plan 2/3	PSERS Plan 2	LEOFF Plan 1	LEOFF Plan 2	Firefighters' Pension	Total
2025	$ (598,397)	$ (4,698,359)	$ (14,128)	$ (453,941)	$ (1,992,402)	$ 81,980	$ (7,675,247)
2026	307,428	2,386,314	7,191	235,179	1,024,805	34,407	3,995,324
2027	(32,551)	(383,111)	(1,747)	(22,571)	(156,236)	(27,553)	(623,769)
2028	(38,065)	(388,046)	(1,615)	(28,646)	(163,374)	(16,565)	(636,311)
Total	$ (361,585)	$ (3,083,202)	$ (10,299)	$ (269,979)	$ (1,287,207)	$ 72,269	$ (4,940,003)

Differences Between Expected and Actual Experience

Recognition Period (Years)[1]	6.9	10.3	10	
Year	**PERS Plan 2/3**	**PSERS Plan 2**	**LEOFF Plan 2**	**Total**
2025	$ 1,293,986	$ 4,895	$ 747,257	$ 2,046,138
2026	1,249,196	4,895	747,257	2,001,348
2027	1,129,425	4,895	756,416	1,890,736
2028	1,051,383	4,895	755,541	1,811,819
2029	746,562	4,926	718,617	1,470,105
Thereafter	617,990	18,471	1,973,488	2,609,949
Total	$ 6,088,542	$ 42,977	$ 5,698,576	$ 11,830,095

The recognition period for each plan is equal to the average of the expected remaining service lives of all employees provided with pensions through the pension plan, which was determined at the beginning of the measurement period.

Changes of Assumptions

Recognition Period (Years)[1]	6.9	10.3	10	
Year	**PERS Plan 2/3**	**PSERS Plan 2**	**LEOFF Plan 2**	**Total**
2025	$ 1,038,454	$ 1,270	$ 259,615	$ 1,299,339
2026	1,079,588	1,270	259,615	1,340,473
2027	1,307,757	1,270	259,615	1,568,642
2028	1,365,078	1,270	323,681	1,690,029
2029	246,599	1,270	386,897	634,766
Thereafter	221,943	6,935	1,073,678	1,302,556
Total	$ 5,259,419	$ 13,285	$ 2,563,101	$ 7,835,805

The recognition period for each plan is equal to the average of the expected remaining service lives of all employees provided with pensions through the pension plan, which was determined at the beginning of the measurement period.

Changes in Proportion and Differences Between City Contributions and Proportionate Share of Contributions

Recognition Period (Years)[1]	6.9	10.3	10	
Year	**PERS Plan 2/3**	**PSERS Plan 2**	**LEOFF Plan 2**	**Total**
2025	$ (38,699)	$ -	$ 19,786	$ (18,913)
2026	(16,514)	-	19,786	3,272
2027	11,136	-	35,690	46,826
2028	73,470	-	51,008	124,478
2029	141,868	-	37,306	179,174
Thereafter	68,076	-	106,193	174,269
Total	$ 239,336	$ -	$ 269,769	$ 509,105

The recognition period for each plan is equal to the average of the expected remaining service lives of all employees provided with pensions through the pension plan, which was determined at the beginning of the measurement period.

NOTE 6. OTHER POST EMPLOYMENT BENEFITS

General Information

The city implemented Governmental Accounting Standards Board (GASB) Statement 75, Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions for calendar year 2018 financial reporting. Previously, the city accounted for its other postemployment benefit (OPEB) expenses related to the Health Plan based on a computed annual required contribution (ARC) and an amount to amortize unfunded actuarial accrued liabilities.

Plan Description

In accordance with the Revised Code of Washington (RCW) 41.26, the city administers a single-employer defined benefit healthcare plan (the Health Plan) for law enforcement officers and firefighters employed prior to October 1, 1977. The city maintains a standalone internal service fund, LEOFF 1 Retirees Healthcare Fund. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement 75.

The Health Plan's actuary is Milliman, Inc. The report may be obtained by contacting the City of Renton, Finance Division, 1055 South Grady Way, Renton, WA 98057. The Health Plan does not issue a separate standalone financial report.

Benefits Provided

The Health Plan provides medical, prescription drug, dental, Medicare Part B premiums, long-term care, and vision expenses for LEOFF Plan 1 retirees. Dependent spouses and children are not covered. There are currently 70 retirees covered under the plan and the plan is closed to new entrants.

Funding Policy

Funding for LEOFF 1 retiree healthcare costs is provided entirely by the city as required by the Revised Code of Washington (RCW) 41.26. The city does not require retiree contributions.

OPEB Liability

The OPEB liability was determined by an actuarial valuation as of the valuation date, calculated based on the discount rate below, and was then projected forward to the measurement date. There have been no significant changes between the valuation date and the fiscal year ends. The city's total OPEB liability of $28,066,704 was measured as of December 31, 2024.

Total OPEB Liability

	12/31/2023	12/31/2024
Total OPEB Liabilty	$ 30,842,514	$ 28,066,704
Covered employee payroll	$ -	$ -
Total OPEB liability as of a % of covered employee payroll	N/A	N/A

Actuarial Methods and Assumptions

An actuarial valuation was completed as of January 1, 2023. Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and plan members) and include the types of benefits provided at the time of each valuation. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

Valuation Date	January 1, 2023
Measurement Date	December 31, 2024
Actuarial Cost Method	Entry Age Normal
Amortization Method	Economic/demographic gains or losses and assumption changes are recognized over the average remaining service life for all active members; immediate recognition is used when the average remaining service life is less than one.

Actuarial Assumptions

Discount Rate	4.00%
Long Term Care Trend Rate	4.75%
Projected Salary Changes	3.50%
Inflation Rate	2.50%

Medical and Dental Trend

Year	Medical Trend
2024-2025	7.00%
2025-2026	6.40%
2026-2027	5.80%
2027-2028	5.20%
2028-2029	5.00%
Grading down to an ultimate of 3.9%	

The Bond Buyer General Obligation 20-bond municipal bond index for bonds that mature in 20 years is 4.08% as of December 26, 2024. Rounding this to the nearest quarter percent results in a discount rate of 4.00% as of the December 31, 2024 measurement date.

Mortality rates were based on the following assumptions:

- Service-retired members were based on the Pub-2010 Safety Mortality Table (headcount-weighted) with generational projection using the ultimate rates in Projection Scale MP-2017, with ages set back one year for males.
- Disabled members were based on the PUB-2010 Safety Disability Mortality Table with generational projection using the ultimate rates in Projection Scale MP-2017.

Changes in the Total OPEB Liability

The following table presents the change in the total OPEB liability as of December 31, 2024.

Changes in Total OPEB Liabilty	
Balance as of 12/31/2023	$ 30,842,514
Changes for the Year:	
Service Cost	-
Interest on total OPEB Liability	978,239
Effect of plan changes	-
Effect of Economic/demographic gains or loss	-
Effect of assumptions changes or inputs	(2,256,350)
Expected benefit payment	(1,497,699)
Balance as of 12/31/2024	$ 28,066,704

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the city as well as what the total OPEB liability would be if it were calculated using trend rates that are 1% point lower or 1% point higher than the current rate.

	1% Decrease 3.00%	Current Discount Rate 4.00%	1% Increase 5.00%
Total December 31, 2024 OPEB Liability	$ 31,139,970	$ 28,066,704	$ 25,453,976

The following presents the total OPEB liability of the city, calculated using the current healthcare cost trend rates as well as what the city's total OPEB liability would be if it were calculated using trend rates that are 1% point lower or 1% higher than the current trend rates.

	1% Decrease	Current Trend Rate	1% Increase
Total December 31, 2024 OPEB Liability	$ 25,443,212	$ 28,066,704	$ 31,071,732

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended December 31, 2024, the city recognized OPEB Expense of ($1,278,111). As of December 31, 2024, the city reported no deferred outflows or inflows of resources related to OPEB.

NOTE 7. CONTINGENCIES

As of December 31, 2024, there were various claims for damages and lawsuits pending against the city. Although the outcome of these claims and lawsuits is not determinable at this time, it is the opinion of management, that the resolution of these matters will not have a material adverse effect on the financial condition of the city and that the city's insurance policies and/or self-insurance reserves are adequate to pay all known or pending claims.

The city participates in a number of federal and state assisted programs. These grants are subject to program compliance audits by the Single Audit Act. Such audits could result in requests for reimbursement to grantor agencies for expenditures disallowed under the terms of the grants. The amount of expenditure that may be disallowed, if any, cannot be determined at this time and the city's management believes that such disallowances, if any, will be immaterial.

As a result of a recent tax audit, the city issued a tax determination and subsequent tax assessment to a taxpayer for unpaid Business and Occupation tax. The significant audit assessment was appealed and therefore the revenue was not recognized in this fiscal year. Any gains resulting from the audit assessment will be recognized when realization is probable.

In 2021, the Washington State Supreme Court held in State v. Blake that the statute criminalizing drug possession was unconstitutional, and the reasoning has since been applied to several similar offenses. As a result of this decision, any Blake-related convictions qualify to be vacated from a person's criminal record and any legal financial obligations (LFOs) tied to the conviction that were paid by the defendant qualify for financial reimbursement.

The state legislature has provided funding for the city to process vacations and refund LFOs on behalf of the state, including funding in 2023 and proviso language that suggests an ongoing state responsibility. LFO reimbursements are expected to be processed through the Washington State Administrative Office of the Court's Blake Refund Bureau. At this time, the city does not have sufficient information necessary to estimate any additional remaining potential liability. However, management believes that the aggregate potential liability resulting from any remaining LFOs would not materially affect the financial condition of the city.

NOTE 8. RISK MANAGEMENT

The City of Renton is exposed to various risks of loss related to tort; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City of Renton protects itself against unforeseen losses by utilizing a three-pronged risk management approach. First, the city self-funds first level losses through its Insurance Fund. Second, insurance and excess insurance is purchased to cover medium and large losses. Third, the city reserves the right to utilize the provisions of Chapter 35A.31.070 RCW to fund catastrophic or uninsured losses. This State statute allows cities to levy a non-voted property tax increase to pay for uninsured claims. There were no settlements in excess of the insurance coverage in any of the three prior fiscal years.

The risk management internal service fund is funded by charges to the City of Renton's other funds and is based primarily upon the contributing funds' claims experience. Actuarial studies were performed for liability, worker's compensation, and health benefits to determine claims liabilities and recommended funding levels for the risk areas. The claims liability reported in the fund is based on the requirements of the GASB Statement No. 10. Liabilities of the fund are reported when it is probable that a loss has occurred, and the amount of the loss can be reasonably estimated. Liabilities include an amount for claims that have been incurred but not reported (IBNRs). The estimate of the claims liability also includes amounts for incremental claim adjustment expenses related to specific claims and other allocated and unallocated claim adjustment expenses. The estimated liability for worker's compensation and general liability is discounted to present value using a discount rate of 1.0%.

The city's Risk Management Program is administered under the authority of the Human Resources and Risk Management Administrator, with claims being processed by the carriers shown below.

As of December 31, 2024, the city had accrued the following amounts for outstanding claims:

Coverage	Total Claims Payable 12/31/2024
Liability	$ 933,418
Workers' compensation	685,215
Health Benefits	1,444,000
TOTAL	**$ 3,062,633**

Coverage	Total Claims Payable 12/31/2023
Liability	$ 578,742
Workers' compensation	892,087
Health Benefits	1,506,000
TOTAL	**$ 2,976,829**

2024	Liability	Workers' Compensation	Health Benefits	Totals
Claims liabilities at beginning of the year	$ 578,742	$ 892,087	$ 1,506,000	$ 2,976,829
Current year and changes in estimates	251,173	(1,011,361)	(12,461,264)	(13,221,452)
Claims payments	103,503	804,489	12,399,264	13,307,256
Claims liabilities at end of the year	**$ 933,418**	**$ 685,215**	**$ 1,444,000**	**$ 3,062,633**

2023	Liability	Workers' Compensation	Health Benefits	Totals
Claims liabilities at beginning of the year	$ 419,803	$ 840,783	$ 1,592,000	$ 2,852,586
Current year and changes in estimates	(275,302)	(823,534)	(11,307,830)	(12,406,666)
Claims payments	434,241	874,838	11,221,830	12,530,909
Claims liabilities at end of the year	**$ 578,742**	**$ 892,087**	**$ 1,506,000**	**$ 2,976,829**

An analysis of the insurance deductibles and self-insured retention levels, limits of insurance, and carriers for the major types of coverage are as follows:

Type of Coverage	Risk Retention Occurrence	Aggregate Amount	Carrier
Property Expires 07/01/2025	$50,000	$200,000,000 (per occurrence subject to annual aggregate & sub-limits)	Alliant Property Insurance Program (APIP)
Cyber Liability Expires 07/01/2025	$50,000	$2,000,000 (subject to sub-limits)	APIP
Pollution Liability Expires 07/01/2025	$250,000	$2,000,000 (per incident, per insured)	APIP
Comm Gen Liability Expires 01/01/2025	$300,000	$5,000,000 (per occurrence, $5M aggregate)	Safety National
Comm Gen Liability - POL/EPL, Law Enf Expires 01/01/2025	$300,000	$5,000,000 (per occurrence, $5M aggregate)	Safety National
Liability $5M XS $5M Expires 01/01/2025	$0	$5,000,000 (per occurrence + $5M aggregate)	AWAC
Liability $2.5M XS $10M Expires 01/01/2025	$0	$2,500,000 (per occurrence + $2.5M aggregate)	Homesite Insurance Co.
Liability $2M XS $12.5M Expires 01/01/2025	$0	$2,000,000 (per occurrence + $2M aggregate)	Upland Speciality Insurance
Liability $5M XS $14.5M Expires 01/01/2025	$0	$5,000,000 (per occurrence + $5M aggregate)	StarStone Speciality Insurance
Liability $5.5M XS $19.5M Expires 01/01/2025	$0	$5,500,000 (per occurrence + $5.5M aggregate)	AWAC
Unmanned Aircraft Liability Expires 01/01/2025	$0	$1,000,000 (per occurrence)	National Union Fire
Auto Liability Expires 01/01/2025	$300,000	$5,000,000 (per occurrence + $5M aggregate)	Safety National
Equipment Breakdown Expires 07/01/2025	$25,000	$100,000,000	APIP
Employee Fidelity/Crime (ACIP) Expires 07/01/2025	$10,000	$2,500,000	National Union Fire
Airport Liability Expires 01/01/2025	$0	$100,000,000	National Union Fire
Storage Tank Pollution Liab Expires 01/01/2025	$2,500	$1,000,000	Mid-Continent Casualty
Excess Workers' Comp Expires 01/01/2025	$750,000 Others, $1,000,000 Police	Statutory	Safety National
Deadly Weapons Response Expires 07/01/2025	$10,000	$500,000	APIP

NOTE 9. INTERFUND TRANSACTIONS

A. INTERFUND TRANSFERS

The following is the composition of interfund transfers for the year ended December 31, 2024:

	Transfer In:							
	Governmental Funds				Enterprise Funds	Internal Service Funds		
Transfer Out:	General	Municipal Facilities CIP	Capital Improvement	General Debt	Airport	Insurance	Equipment Rental	Total
Governmental Funds:								
General	-	8,962,858	362,000	1,879,350	-	1,578,243	2,247,348	**15,029,799**
Hotel/Motel Tax	10,000	-	-	-	-	-	-	**10,000**
Parks Impact Mitigation	-	525,000	-	-	-	-	-	**525,000**
Fire Impact Mitigation	-	-	-	-	-	-	-	**-**
Transportation Impact Mitigation	-	-	-	-	-	-	-	**-**
REET 1	-	-	-	-	-	-	-	**-**
REET 2	-	350,000	2,592,000	1,241,425	-	-	-	**4,183,425**
Municipal Facilities CIP	55,468	-	-	-	164,955	-	-	**220,423**
Capital Improvement	18,000	-	-	-	-	-	-	**18,000**
Enterprise Funds:								
Waterworks Utility	-	-	-	-	-	-	204,469	**204,469**
Solid Waste	-	-	-	-	-	-	9,185	**9,185**
Airport	-	-	-	-	-	-	61,900	**61,900**
Internal Service Funds:								
Insurance	900,000	-	-	-	-	-	50,000	**950,000**
Total	**983,468**	**9,837,858**	**2,954,000**	**3,120,775**	**164,955**	**1,578,243**	**2,572,902**	**21,212,200**

During the year transfers were used to fund anticipated capital projects and equipment purchases.

All transfers either occur on a regular basis or are consistent with the purpose of the fund making the transfer. Transfers that occur within the governmental funds are eliminated on the Government-wide Statement of Activities.

The city made the following one-time transfers during the year ending December 31, 2024:

1. $10 thousand transfer from the Hotel/Motel Tax Fund to the General Fund for matching a Port of Seattle grant for economic development activities.
2. $55 thousand transfer from the Municipal Facilities CIP Fund to the General Fund to support the Urban Forestry Program for non-capital related expenses.
3. $18 thousand transfer from Capital Improvement Fund to General Fund for non-capital related expenses.
4. $9 million transfer from General Fund, $525 thousand transfer from Parks Impact Mitigation Fund, $350 thousand from the REET 2 Fund to the Municipal Facilities CIP Fund to various Facilities and Parks Planning & Natural Resources capital projects.
5. $362 thousand transfer from the General Fund and $2.6 million transfer from the REET 2 Fund to the Capital Improvement Fund to various transportation capital projects.
6. $1.9 million transfer from General Fund and $1.2 million from the REET 2 Fund to the General Debt Fund to fund annual debt payments.
7. $165 thousand from the Municipal Facilities CIP Fund to the Airport Fund to return unspent Airport Funds for 300 Rainier demolition.

8. $1.6 million transfer from the General Fund to the Insurance Fund for risk management reserves, and $78 thousand transfer from the General Fund to the Insurance Fund for non-capital related expenses.
9. $2.2 million transfer from the General Fund to the Equipment Rental Fund for capital related expenses.
10. Various transfers from Waterworks Utility Fund to the Equipment Rental Fund to fund previously unbudgeted equipment/furniture purchases.
11. $9 thousand from the Solid Waste Fund to the Equipment Rental Fund to fund vehicle replacement.
12. $62 thousand from the Airport Fund to the Equipment Rental Fund to fund fleet equipment purchase.
13. $900 thousand from the Insurance Fund to the General Fund for transfer of Annexation Sales Tax Credit Reserve and $50 thousand from Insurance Fund to the Equipment Rental Fund for budget transfers

B. INTERFUND RECEIVABLES AND PAYABLES

The composition of interfund receivables/ payables as of December 31, 2024, is as follows:

Due To/From:

Receivable Fund	Payable Fund	Amount
General Fund	Municipal Facilities CIP	49
Airport	General Fund	266,565
Surface Water Utility	Wastewater Utility	12,964
Equipment Rental	Waterworks Utility	9,287
Total		**$ 288,864**

These are the outstanding balances between funds during the year ending December 31, 2024:

1. $49 from the Municipal Facilities Fund to General Fund to refund amounts charged for capital related expense.
2. $266,565 from the General Fund to the Airport Fund for prepaid airport leases.
3. $13 thousand from Wastewater Utility to Surface Water Utility to refund amounts charged for capital related expense.
4. $9 thousand from Waterworks Utility to Equipment Rental Fund to refund amounts charged for repair and maintenance expenses.

Advances To/From:

Receivable Fund	Payable Fund	Amount	Due Within One Year
General Fund	Golf Course Fund	$ 99,018	$ 45,434
Total		**$ 99,018**	**$ 45,434**

The amount payable from the Golf Course Fund was an interfund loan for the purchase of new golf carts. The term of the loan is five years and expected to expire February 2027.

NOTE 10. LONG TERM LIABILITIES

General Obligation Bonds

General obligation bonds are direct obligations of the city for which its full faith and credit are pledged. Debt service for voter-approved bonds, which the city has none, would be funded by special property tax levies. Debt service for city council authorized bonds (councilmatic bonds) is funded from regular property taxes or general revenues and is generally paid from debt service funds.

General Obligation Bonds outstanding at year-end are as follows:

- 2013 Limited Tax General Obligation qualified energy conservation bonds (QECB) which provided funding for streetlight improvements.
- 2015 (A) Limited Tax General Obligation refunding bond which refunded a portion of the 2006 limited tax general obligation bonds for the construction of South Lake Washington infrastructure improvements.
- 2019 Limited Tax General Obligation bonds which funded improvements to parks, trails and recreational facilities in the city.
- 2019 Limited Tax General Obligation local revitalization financing bonds (LRF) which provided funding for public infrastructure improvements in the South Lake Washington Revitalization Area.

Other intergovernmental debt, backed by the full faith and credit of the city:

- 2019 intergovernmental debt which refunded the outstanding balance of the 2009 (A & B) intergovernmental debt for the acquisition, construction and equipping of the SCORE facility. Pursuant to a restated and amended interlocal agreement, the city is obligated to pay 40.96 percent of the debt service on the SCORE bonds.

Revenue Bonds

Revenue bonds are pledged from water, sewer, and storm revenues generated from the charges for service revenues in those funds. The city is required by bond covenants to secure parity reserves for these revenue bonds. The current parity reserves are $2,810,145.

Revenue Bonds outstanding at year-end are as follows:

- 2012 Water/Sewer Revenue Refunding Bonds (Ordinance #5672) were issued in the amount of $9,190,000 and dated December 7, 2012. The average interest rate is 2.5%. These bonds were issued for the purpose of refunding a portion of the 2004 Water/Sewer Revenue Bonds.
- 2016 Water/Sewer Revenue Refunding Bonds (2008A) (Ordinance #5812) were issued in the amount of $9,385,000 and dated October 20, 2016. The average interest rate is 1.73%. These bonds were issued for the purpose of refunding a portion of the 2008 (A) Water/Sewer Revenue Bonds (Exempt).

State of Washington Public Works Trust Fund Loans (PWTFL)
PWTFL are the direct responsibility of the city. At year-end the city has no remaining amount on the outstanding loan. The loan is for water capital improvements and pledged from water system revenues.

PWTFL with no remaining amount at year-end is as follows:

- Maplewood Drinking Water Treatment Improvement loan was to construct the drinking water treatment improvements at Maplewood.

Compensated Absences
Compensated absences are paid by those funds that have employees. These are mostly payable from the General Fund and Waterworks Utility Fund.

Leases
The city leases certain machinery, equipment and land. In addition, the city has entered into subscription-based agreements for information technology (SBITA) services. These lease payments are payable from the General Fund, Equipment Rental Fund and Airport Fund. Refer to Note 12 and Note 13 for a detailed summary of leases.

Long-Term Debt Schedules
The following schedules summarize the long-term debt transactions of the city for the year ended December 31, 2024. The first two tables reflect total annual debt service requirements to maturity, while the third table provides detailed information on all long-term debt.

	Governmental Activities			
	Bonds		Bonds - Direct Placements	
Year	Principal	Interest	Principal	Interest
2025	2,742,688	1,566,033	215,000	27,692
2026	2,860,696	1,445,249	215,000	20,769
2027	2,997,800	1,319,089	215,000	13,846
2028	3,119,904	1,186,749	215,000	6,923
2029	2,011,104	1,054,854	-	-
2030-2034	11,550,864	3,766,662	-	-
2035-2039	11,415,528	1,337,476	-	-
2040-2044	1,805,001	184,200	-	-
Totals	**38,503,585**	**11,860,311**	**860,000**	**69,230**

	Business-Type Activities			
	Revenue Bonds		Revenue Bonds- Direct Placements	
Year	Principal	Interest	Principal	Interest
2025	1,560,000	144,750	1,045,000	55,274
2026	1,610,000	97,950	1,065,000	37,195
2027	1,655,000	49,650	1,085,000	18,771
Totals	**4,825,000**	**292,350**	**3,195,000**	**111,239**

Schedule of Changes of Long-Term Liabilities

Issue Name	Interest Rates	Maturity Date	Original Issue Amount	Beginning Balance, restated* 01/01/2024	Additions	Deductions	Ending Balance 12/31/2024	Due Within One Year
GOVERNMENTAL-TYPE DEBT:								
Limited General Obligation Bonds:								
2015 (A) GO S LK WA Infr Refunding (BQ)	3.00%-4.00%	12/1/2028	8,825,000	5,635,000	-	1,045,000	4,590,000	1,090,000
2019 GO Parks Bonds	3.00%-5.00%	12/1/2038	12,960,000	10,865,000	-	515,000	10,350,000	540,000
2019 GO LRF Bonds (Transportation)	3.00%-5.00%	12/1/2043	7,885,000	6,820,000	-	220,000	6,600,000	230,000
Unamortized (discount)/premium				2,452,965	-	208,888	2,244,073	-
Total General Obligation Bonds			**29,670,000**	**25,772,965**	**-**	**1,988,888**	**23,784,073**	**1,860,000**
General Obligation Bonds from Direct								
2013 GO QECB	3.22%	7/1/2028	3,200,000	1,075,000	-	215,000	860,000	215,000
Total General Obligation Bonds from Direct Placements			**3,200,000**	**1,075,000**	**-**	**215,000**	**860,000**	**215,000**
Other Intergovernmental - Backed by full faith and credit of the City:								
2019 SCORE Refunding Bonds	3.00%-5.00%	12/1/2038	20,912,128	17,811,457	-	847,872	16,963,585	882,688
Total Intergovernmental Debt			**20,912,128**	**17,811,457**	**-**	**847,872**	**16,963,585**	**882,688**
Other Long-Term Liabilities:								
Employee Leave Benefits - Compensated Absences				9,837,779	4,068,606	3,441,906	10,464,479	4,978,258
Total Other Post Employment Benefits (OPEB)				30,842,514	(2,775,810)	-	28,066,704	1,276,510
Net Pension Liability				4,797,584	-	1,196,975	3,600,609	-
Leases	Various	Various	1,684,709	963,737	360,942	658,796	665,883	531,495
Total Other Long-Term Liabilities			**1,684,709**	**46,441,614**	**1,653,738**	**5,297,677**	**42,797,675**	**6,786,263**
TOTAL GOVERNMENTAL-TYPE DEBT			**55,466,837**	**91,101,036**	**1,653,738**	**8,349,437**	**84,405,333**	**9,743,951**
BUSINESS-TYPE DEBT:								
Revenue Bonds:								
2012 Water/Sewer Refunding	2.00%-3.00%	12/1/2027	9,190,000	6,340,000	-	1,515,000	4,825,000	1,560,000
Unamortized (discount)/premium				202,477	-	50,619	151,858	-
Total Revenue Bonds			**9,190,000**	**6,542,477**	**-**	**1,565,619**	**4,976,858**	**1,560,000**
Revenue Bonds from Direct Placements:								
2016 Water/Sewer Refunding (2008A)	1.73%	12/1/2027	9,385,000	4,225,000	-	1,030,000	3,195,000	1,045,000
Total Revenue Bonds from Direct Placements			**9,385,000**	**4,225,000**	**-**	**1,030,000**	**3,195,000**	**1,045,000**
Loans from Direct Borrowings:								
Public Works Trust Fund Loans:								
Maplewood Water Treatment Improvement	0.50%	7/1/2024	5,150,000	272,648	-	272,648	-	-
Total Loans from Direct Borrowingss			**5,150,000**	**272,648**	**-**	**272,648**	**-**	**-**
Other Long-Term Liabilities:								
Employee Leave Benefits - Compensated Absences				1,684,536	777,204	544,616	1,917,124	875,448
Net Pension Liability				1,230,288	-	312,060	918,228	-
Leases	2.21%	4/1/2035	29,633	25,373	-	1,870	23,503	1,911
Total Other Long-Term Liabilities				**2,940,197**	**777,204**	**858,546**	**2,858,855**	**877,359**
TOTAL BUSINESS-TYPE DEBT			**23,754,633**	**13,980,322**	**777,204**	**3,726,813**	**11,030,713**	**3,482,359**
TOTAL ALL FUNDS			**79,221,470**	**105,081,358**	**2,430,942**	**12,076,250**	**95,436,046**	**13,226,310**

* Employee Leave Benefits - Compensated Absences beginning balances for Governmental-type and Business-type as of January 1, 2024 are restated due to implementation of GASB 101, *Compensated Absences* . Refer to Note 15 Accounting Changes and Error Corrections for additional detail.

Debt Limit Capacity

State law provides that debt cannot be incurred in excess of the following percentages of the value of the taxable property of the city: 1.5 percent without a vote of the people provided the indebtedness with a vote is 1 percent or less; 2.5 percent with a vote of the people; 5.0 percent with a vote of the people, provided the indebtedness in excess of 2.5 percent is for utilities; and 7.5 percent with a vote of the people provided the indebtedness in excess of 5.0 percent is for open space development and parks facilities. Table 15 in the Statistical Section shows the computation of legal debt margin for general and special purpose capacities for the City of Renton.

Estimated Arbitrage Rebate

The city engages an outside agency to calculate its arbitrage rebate liability on outstanding tax-exempt bonds and certificates of participation under Section 148(f) of the Internal Revenue Code. No additional rebate was found due for any revenue or general obligation bonds for 2024.

NOTE 11. JOINT VENTURES

A joint venture is a legal entity or other organization that results from a contractual agreement and that is owned, operated, or governed by two or more participants as a separate and specific activity subject to joint control in which the participants retain (a) an on-going financial interest or (b) an on-going financial responsibility. The city participates in three joint ventures that are sanctioned by the provisions and terms of the Interlocal Cooperation Act pursuant to Chapter 39.34 RCW.

VALLEY COMMUNICATIONS CENTER

The Valley Communications Center (Valley Com) was established August 20, 1976, when an Interlocal Agreement was entered into by four original participating municipal corporations, including the cities of Renton, Kent, Auburn, and Tukwila. Federal Way was formally admitted in 2000. The initial duration of the agreement was five years, and thereafter is automatically extended for consecutive five-year periods.

The purpose of the joint operation, hereafter referred to as Valley Com, is to provide improved consolidated emergency communications (dispatch) services for police, fire, and medical aid to the five participating cities and to several subscribing agencies that include: King County Fire Districts 2, 20, 44, 47; City of Pacific Police Department; City of Black Diamond Police Department; City of Des Moines Police Department; City of Algona Police Department; Enumclaw Fire; Valley Regional Fire Authority; North Highline Fire Department; South King Fire & Rescue; Vashon Island Fire & Rescue; King County Airport; Puget Sound Regional Fire Authority; Renton Regional Fire Authority, KC Sheriff's Office; and KC Medic One. Separate agreements between Valley Com and the subscribing agencies have been executed, which set forth conditions of services and rates charged.

The city made payments totaling $3,147,059 to support Valley Com's operating costs during the year ended December 31, 2024.

The city reports its share of equity interest in the Governmental Activities column within the Government-wide financial statements under non-current assets – investments in joint ventures. The following is condensed financial information as of December 31, 2024 related to Valley Communications Center:

Valley Communications Center

2024 Owner Cities Equity Allocation

Member City	Percent of Equity	2023 Equity Balance	2024 Distribution	2024 Equity Balance
Auburn	21.40%	$ 9,706,974	$ 1,021,978	10,728,952
Federal Way	19.16%	8,498,305	1,109,598	9,607,903
Kent	28.17%	12,693,899	1,428,863	14,122,762
Renton	21.17%	9,518,721	1,095,758	10,614,479
Tukwila	10.11%	4,547,773	519,382	5,067,155
Grand Totals	**100.00%**	**$ 44,965,672**	**$ 5,175,579**	**$ 50,141,251**

Complete Financial Statements for Valley Com can be obtained from the Valley Communications Center, 23807 – 98th Avenue South, Kent, WA 98031.

SOUTH CORRECTIONAL ENTITY (SCORE)

The South Correctional Entity (SCORE), a consolidated correctional facility, was established February 25, 2009, when an interlocal agreement was entered into by seven participating municipal governments ("owner cities") of Auburn, Burien, Des Moines, Federal Way, Renton, SeaTac and Tukwila. This agreement was amended and restated October 1, 2009 and named the City of Des Moines as the "host city". Pursuant to a separate "Host City Agreement" dated October 1, 2009, the host city will not enjoy the same equity position as the original owner cities until all debts issued are paid and the host city fulfills all of its obligations as outlined in the Agreement. On December 11, 2019, the internal local agreement was again amended to reflect the withdrawal of Federal Way as an owner city and added the City of Des Moines as an owner city, terminating the host city agreement. The internal local agreement also included other revisions to provide the issuance of bonds to refund the 2009 bonds.

The purpose of the interlocal operation, SCORE, is to serve the Member Cities and Subscribing Agencies which are in need of correctional facilities. SCORE provides correctional services and functions incidental thereto, for the purpose of detaining arrestees and sentenced offenders in the furtherance of public safety and emergencies within the jurisdiction of the Member Cities. Separate agreements between SCORE and subscribing agencies have been executed, which set forth conditions of services and rates charged.

Financing for the acquisition, construction, equipping, and improvement of the SCORE Facility was provided by bonds issued by the South Correctional Entity Facility Public Development Authority (the "SCORE PDA"), a public development authority chartered by the City of Renton pursuant to RCW 35.21.730 through 35.21.755 and secured by the full faith and credit of the Cities of Auburn, Burien, Federal Way, Renton, SeaTac, and Tukwila (the owner cities). The SCORE PDA issued $86 million in special obligation bonds in 2009 to carry out the facility development project. As previously mentioned SCORE issued refunding bonds on December 11, 2019 in the amount of $51,055,000 (2019 Bonds). The proceeds of the 2019 bonds were used together with a contribution from Federal Way to fully pay its 2009 Capital Contribution, to defease and refund all of the outstanding 2009 bonds. Federal Way has also reduced their owner equity balance to zero in 2019 and no longer holds responsibility for any long-term debt.

The following is a summary of the debt service requirements, for each owner city:

Debt Service Allocation to Owner Cities

Year	Auburn 34.94%	Burien 4.82%	Des Moines 6.02%	Renton 40.96%	SeaTac 3.62%	Tukwila 9.64%
2025	1,366,888	188,563	235,508	1,602,397	141,618	377,126
2026	1,365,927	188,431	235,343	1,601,270	141,518	376,861
2027	1,366,626	188,527	235,463	1,602,089	141,591	377,054
2028	1,365,315	188,346	235,238	1,600,553	141,455	376,693
2029-2033	6,830,875	942,324	1,176,928	8,007,803	707,721	1,884,649
2034-2038	6,829,110	942,081	1,176,624	8,005,734	707,538	1,884,162
Totals	$ 19,124,741	$ 2,638,272	$ 3,295,104	$ 22,419,846	$ 1,981,441	$ 5,276,545

The City of Renton made payments totaling $5,017,445 to support SCORE's operating costs during the year ended December 31, 2024.

The city reports its share of equity interest in the Governmental Activities column within the Government-wide financial statements under non-current assets – investments in joint ventures. The following is condensed financial information as of December 31, 2024, related to SCORE:

South Correctional Entity (SCORE)

2024 Owner Cities Equity Allocation

Member City	Percent of Equity	2023 Equity Balance	2024 Distribution	2024 Equity Balance
Auburn	41.38%	$ 15,314,840	$ 1,218,459	$ 16,533,299
Burien	5.68%	2,100,163	181,287	2,281,450
Des Moines	5.11%	1,889,243	115,427	2,004,670
Renton	32.11%	11,884,222	705,931	12,590,153
SeaTac	8.18%	3,027,042	114,579	3,141,621
Tukwila	7.54%	2,790,883	116,942	2,907,825
Grand Totals	**100.00%**	**$ 37,006,393**	**$ 2,452,625**	**$ 39,459,018**

Complete financial statements for SCORE and SCORE PDA can be obtained at SCORE, 20817 17th Avenue South, Des Moines, WA 98198.

WASHINGTON MULTI-CITY BUSINESS LICENSE AND TAX PORTAL AGENCY (FILELOCAL)

Washington Multi-City Business Licenses and Tax Portal Agency (d.b.a. FileLocal) was established on March 1, 2014, under the state lnterlocal Cooperation Act (Ch.39.34.RCW) and Chapter 24.06 RCW. FileLocal is an instrumentality of its member cities, formed to carry out exclusively governmental activities to offer a web-based service that makes it easier for businesses to obtain business licenses and pay local Business & Occupation (B&O) taxes to its member cities. FileLocal began providing services in July 2015.

There are currently eight participating member cities: Bellevue, Everett, Seattle, Tacoma, Lake Forest Park, Des Moines, Kent, and Renton. There are also two subscriber cities: Snoqualmie and Shoreline. An Executive Board serves as the primary governing body of File Local. The board is comprised of members from all eight member cities. The Executive Board has final decision-making authority upon all policy issues, approval or amendment of Bylaws or Articles of Incorporation, acquisition of assets, admission of new Principal(s) or Subscriber(s), appointing or removing a manager, merger, consolidation, sale, termination, or dissolution of the agency by supermajority vote.

Principals pay a prorate share of budgeted expenditures each year based on the number of transactions processed in the most recent full year of data. The City of Renton paid $25,640 in 2024, which represents the city's equity share of 3.15% or $48,154.

Financial reports for FileLocal can be obtained from the contracted CPA, Horace Francis at FileLocal, 700 Fifth Avenue, Suite 4350, Seattle, WA 98104.

NOTE 12. SUBSCRIPTION-BASED INFORMATION TECHNOLOGY ARRANGEMENTS (SBITA)

GASB Statement No. 96, Subscription-Based Information Technology Arrangements, defines a SBITA as a contract that conveys control of the right to use another party's IT software for a period of time in an exchange or exchange-like transaction.

As of December 31, 2024, the city has entered SBITA contracts involving:

- Desktop platform software and services
- Video storage and management software
- Cloud service connection
- Media management software
- Network security software
- Risk management software
- Cloud-based irrigation control software
- Payment processing software

As of December 31, 2024, the principal and interest requirements to maturity are as follows:

	Governmental Activities		
Year ended December 31	Principal	Interest	Total
2025	$ 507,811	$ 23,123	$ 530,934
2026	57,470	2,135	59,605
2027	3,578	391	3,969
2028	3,704	265	3,969
2029	3,836	133	3,969
2030 and after	-	-	-
Total	$ 576,399	$ 26,047	$ 602,446

The intangible asset SBITA activity in governmental activities and related accumulated amortization for year ended December 31, 2024, are as follows:

	12/31/2024 Beginning Balance	Increases	Decreases	12/31/2024 Ending Balance
Intangible Assets	$ 1,669,639	$ 146,357	$ -	$ 1,815,996
Total	$ 1,669,639	$ 146,357	$ -	$ 1,815,996
Accumulated Amortization	262,090	628,633	-	890,723
Governmental activities, net	$ 1,407,549	$ (482,276)	$ -	$ 925,273

NOTE 13. LEASES

GASB Statement No. 87, Leases, a lease is defined as a contract that conveys control of the right to use another entity's nonfinancial asset specified in the contract for a period of time in an exchange or exchange-like transaction.

As of December 31, 2024, the city has lease agreements where the city is the lessee and the lessor. The city also has regulated leases subject to external laws, regulations, or legal ruling.

City as Lessee

Governmental Activity Leases

The city has entered into lease agreements for aquatic land use and mailroom equipment. The terms of these agreements range from five years to thirty years.

As of December 31, 2024, the principal and interest requirements to maturity are as follows:

Year ended December 31	Principal	Interest	Total
2025	$ 23,684	$ 2,039	$ 25,724
2026	7,282	1,690	8,972
2027	2,973	1,579	4,552
2028	3,053	1,499	4,552
2029	3,135	1,417	4,552
2023 and after	49,357	9,819	59,176
Total	$ 89,484	$ 18,043	$ 107,528

The intangible asset lease activity in governmental activities and related accumulated amortization for year ended December 31, 2024, are as follows:

	12/31/2023 Beginning Balance	Increases	Decreases	12/31/2024 Ending Balance
Lease - Land	$ 74,198	$ -	$ -	$ 74,198
Lease - Building	-	-	-	-
Lease - Equipment	155,457	-	-	155,457
Total	$ 229,655	$ -	$ -	$ 229,655
Accumulated Amortization, Lease asset	111,703	34,625	-	146,328
Governmental activities, net	$ 117,952	$ (34,625)	$ -	$ 83,327

Business-type Activity Leases

The city has entered into lease agreement for aquatic land use. The term of the agreement is thirty years.

As of December 31, 2024, the principal and interest requirements to maturity are as follows:

Year ended December 31	Principal	Interest	Total
2025	$ 1,911	$ 520	$ 2,431
2026	1,953	478	2,431
2027	1,997	434	2,431
2028	2,041	390	2,431
2029	2,086	345	2,431
2030 and after	13,515	1,071	14,586
Total	$ 23,503	$ 3,238	$ 26,741

The intangible asset lease activity in business activities and related accumulated amortization for year ended December 31, 2024, are as follows:

	12/31/2023 Beginning Balance	Increases	Decreases	12/31/2024 Ending Balance
Lease - Land	$ -	$ -	$ -	$ -
Lease - Building	-	-	-	-
Lease - Equipment	29,633	-	-	29,633
Total	$ 29,633	$ -	$ -	$ 29,633
Accumulated Amortization, Lease asset	4,233	2,117	-	6,350
Business-type activities, net	$ 25,400	$ (2,117)	$ -	$ 23,283

City as Lessor

Governmental Activity Leases

The city has entered into lease agreements for use of city owned buildings and land.

As of December 31, 2024, future lease receivable principal and interest payments for governmental activities are as follows:

Year ended December 31	Principal	Interest	Total
2025	359,540	6,803	366,343
2026	158,079	5,073	163,152
2027	141,471	3,537	145,008
2028	142,810	2,198	145,008
2029	70,643	1,021	71,664
2030 and after	34,714	278	34,992
Total	$ 907,257	$ 18,910	$ 926,167

Business-type Activity Leases

The city has entered into lease agreements for use of city owned building.

As of December 31, 2024, future lease receivable principal and interest payments for governmental activities are as follows:

Year ended December 31	Principal	Interest	Total
2025	10,222	1,778	12,000
2026	10,398	1,602	12,000
2027	10,575	1,425	12,000
2028	10,756	1,244	12,000
2029	10,942	1,058	12,000
2030 and after	45,671	2,329	48,000
Total	$ 98,564	$ 9,436	$ 108,000

Regulated Leases

The city has leases regulated by the Federal Aviation Administration (FAA). The FAA regulates aviation leases between airports and air carriers and other aeronautical users. Renton Municipal Airport enters into lease agreements that convey the right to use land and various airport facilities. In 2024, the airport recognized lease revenue of $4,451,616.

Minimum future lease revenue on non-cancellable leases is as follow:

Year Ended December 31	
2025	2,949,451
2026	3,907,858
2027	3,850,340
2028	4,335,587
2029	4,604,636
Thereafter	8,822,468
	$ 28,470,340

Of the amounts shown above, one tenant comprises 61% of all future minimum lease revenues. The tenant's multiple leases expire in 2030.

A summary of assets leased or available for tenant use is as follows:

	Cost	Accumulated Deprciation	Carrying Value
Land	784,080	-	784,080
Buildings	742,098	584,145	157,953
Other Improvements	27,170,299	14,553,816	12,616,483
Total	$ 28,696,477	$ 15,137,961	$ 13,558,516

NOTE 14. TAX ABATEMENT

As of December 31, 2024, the city provides tax abatements through two programs: the Affordable Multi-Family Housing Property Tax Exemption and the New Job Business & Occupation Tax Credit.

Multifamily Housing Property Tax Exemption

Under the provisions of the Preservation Tax Exemption program (RCW 84.14), the city has taken advantage of the option to provide targeted property tax exemption to existing property owners who agree to restrict rents and provide income-eligibility for a portion of the units within their properties. The purpose of this program incentivizes the creation of affordable and improved housing quality and prevent displacement for citizens that are in the most need. The city has a comprehensive program that has specific parameters for project eligibility and duration of exemption.

Provided a property meets the eligibility criteria and the property owner continues to fulfill the requirements of affordable housing, the property will receive a property tax exemption on the appraised value of improvements, regardless of assessed valuation. This exemption is not extended to the appraised value of land or non-eligible improvements on the same parcel. Eligibility criteria includes, at a minimum: the property owner must provide affordable housing to low-income households for 20% of the multi-units available for rent and the property must be located in one of the designated "residential target areas". All exemptions granted after July 2007 range from 8-12 years depending on the exemption option selected. There are no provisions to recapture abated

taxes. As of December 31, 2024, the city has four projects that are subject to property tax abatement.

The State of Washington employs the multi-unit urban housing exemption (RCW 84.14.020) that impact tax revenues of the city. This program provides for an ad valorem property tax emption for qualifying new housing construction, conversion, and rehabilitation improvements. The impact to the city for taxes abated by the State of Washington is shown in the table below.

New Jobs Business & Occupation Tax Credit

The purpose of the New Jobs Business & Occupation Tax Credit is to provide a temporary tax credit relating to new businesses to encourage business growth or relocation into the city. In order to qualify for the tax credit, businesses must create fifty or more new full time employment positions in the first year of business in the city. The credit is equal to one thousand dollars for each new full-time employment position created and is used to reduce the amount of Business & Occupation tax owed by the business. The tax credit cannot exceed the total tax due. A business may claim the credit under this program for the first twelve consecution reporting quarters or three reporting years.

Tax abated in the fiscal year ending 12/31/2024

Tax Abatement Program	City of Renton	Other Governments
Property Tax Exemption for Affordable Multi-Family Housing	$156,329	$94,772
New Jobs Business & Occupation Tax Credit	$20,033	

State of Washington Sales Tax Exemptions

The State of Washington has tax abatements that allow for sales/use tax exemptions and deferrals.

Purchases for computer hardware, computer peripherals, or software used primarily in the development, design and engineering of aerospace products or providing aerospace services or sales are exempt from sales and use tax per RCW 82.08.975 and 82.12.975. The exemption also applies to sales of labor and services rendered in respect to installing the computer hardware, peripherals or software used to develop or design aerospace products. The eligible purchaser must present a Buyers' Retail Sales Tax Exemption Certificate to the seller at the time of purchase.

The State of Washington is prohibited by the law to disclose detail on the amount of abatements provided under these exemption and deferrals.

NOTE 15. ACCOUNTING CHANGES AND ERROR CORRECTIONS

During fiscal year 2024, changes to accounting principle and an error correction resulted in adjustments to and restatements of beginning net position, as follows:

	12/31/2023 Fund Balance/Net Position As previously presented	Change in acounting principle	Error correction	12/31/2023 Fund Balance/Net Position As restarted
Government-wide				
Governmental activities	$ 843,857,031	$ (4,644,324)	$ 2,373,761	$ 841,586,468
Business-type activities	456,329,281	(854,978)		455,474,303
Total primary government	$ 1,300,186,312	$ (5,499,302)	$ 2,373,761	$ 1,297,060,771
Proprietary funds				
Major funds:				
Solid Waste	5,714,063	(7,059)	-	5,707,004
Waterworks Utility	413,690,897	(697,799)	-	412,993,098
Nonmajor funds	36,924,321	(150,120)	-	36,774,201
Total business-type activities	$ 456,329,281	$ (854,978)	$ -	$ 455,474,303
Internal Service Funds	62,197,243	(492,415)	2,373,761	64,078,589
Total proprietary	$ 518,526,524	$ (1,347,393)	$ 2,373,761	$ 519,552,892

Change in Accounting Principle

Implementation of GASB Statement No. 101, Compensated Absences, requires that liabilities for compensated absences be recognized for leave that has not been used and leave that has been used but not yet paid in cash or settled through noncash means. The city recognized additional leave types that qualified under the new pronouncement resulting in an increase in compensated absences liability reported by the primary government of $5,499,302 as of December 31, 2023.

The effect of the change is reported as a decrease of beginning net position of $5,499,302 for the primary government. The restatement of beginning net position impacts the Statement of Activities and Statement of Revenues, Expenses, and Changes in Net Position – Proprietary Funds.

Error Correction

During fiscal year 2024, the city identified several capital assets with useful lives beyond the original estimates resulting in capital assets not properly reflecting accurate accumulated depreciation. The city evaluated capital assets, net of depreciation, and determined they were understated by $2,373,761 for the fiscal year ended December 31, 2023. The effect of the change impacts the Statement of Activities, Governmental Activities column and the Statement of Revenues, Expenses, and Changes in Net Position – Proprietary Funds, Internal Service Funds column.

City of Renton
Schedule of Revenues, Expenditures and Changes in Fund Balances - Budget and Actual
General
For the Year Ended December 31, 2024

	Budgeted Amounts			
	Original	Final	Actual	Variance with Final Budget
REVENUES				
Taxes	$ 103,760,621	$ 108,207,534	$ 117,005,949	$ 8,798,415
Licenses and permits	4,141,515	5,625,602	6,565,580	939,978
Intergovernmental revenues	4,353,509	8,322,272	8,933,631	611,359
Charges for services	11,727,704	11,184,340	11,220,978	36,637
Fines and forfeits	3,816,442	3,841,442	3,899,080	57,638
Contributions	37,000	731,500	233,686	(497,814)
Investment earnings	350,000	3,350,000	5,890,911	2,540,911
Miscellaneous revenue	172,822	2,253,144	3,096,178	843,034
Total revenues	128,359,613	143,515,834	156,845,993	13,330,158
EXPENDITURES				
Current:				
Culture and recreation	16,289,148	17,829,560	16,334,563	1,494,997
Economic environment	16,259,017	16,527,758	12,461,905	4,065,853
General government	20,604,290	22,084,082	18,996,298	3,087,784
Health and human services	2,971,488	4,633,415	3,952,799	680,616
Judicial	4,526,092	6,084,689	4,493,094	1,591,595
Public safety	52,370,562	54,349,922	53,773,660	576,262
Transportation	15,143,059	16,179,158	14,779,174	1,399,984
Total current	128,163,656	137,688,584	124,791,493	12,897,091
Capital outlay:				
Culture and recreation	15,000	62,146	142,846	(80,700)
Economic environment	-	-	11,149	(11,149)
Public safety	-	13,654	57,349	(43,695)
Transportation	5,200	5,200	106,254	(101,054)
Total capital outlay	20,200	81,000	317,598	(236,598)
Total expenditures	128,183,856	137,769,584	125,109,091	12,660,493
Excess (deficiency) of revenues over expenditures	175,757	5,746,251	31,736,902	25,990,651
OTHER FINANCING SOURCES (USES)				
Transfer in	900,000	983,468	983,468	-
Transfers out	(3,708,779)	(15,029,799)	(15,029,799)	-
Proceeds from sale of capital assets	-	-	22,602	22,602
Insurance Recoveries	-	-	141,234	141,234
Total other financing sources (uses)	(2,808,779)	(14,046,331)	(13,882,495)	-
Net change in fund balances	(2,633,022)	(8,300,080)	17,854,407	26,154,487
Fund balances - January 1	60,139,686	99,226,476	110,083,128	10,856,652
Fund balances - December 31	$ 57,506,664	$ 90,926,396	$ 127,937,535	$ 37,011,139

NOTE 1. BUDGETARY BASIS OF ACCOUNTING

The City of Renton's biennial budget procedures are mandated by the Chapter 35A.33 of the Revised Code of Washington (RCW). The budget, as adopted, constitutes the legal authority for expenditures. The biennial budget is adopted with budgetary control at the fund level, so expenditures may not legally exceed appropriations at that level of detail. Transfers or revisions within funds are allowed, but only the City Council has the legal authority to increase or decrease a given fund's annual budget. This is accomplished by City ordinance. Adopted budgets lapse at year-end and must be re-appropriated (carried forward) the next fiscal year.

The Schedule of Revenues, Expenditures, and Changes in Fund Balance – Budget and Actual is presented on a budgetary basis (non-GAAP). The budgetary basis of accounting is substantially the same as the modified accrual basis of accounting in all governmental funds except for the following differences:

Basis differences – certain payments and receipts are budgeted for in a manner that is inconsistent with GAAP:

- Interfund reimbursements for indirect cost allocations and payroll costs associated with capital projects are budgeted as charge for service revenues, however, these payments are reclassified as a reduction of the expenditure for GAAP reporting.
- Interfund loans are budgeted as other financing sources (uses), however, these payments and receipts are reclassified as changes in an interfund loan receivable/payable for GAAP reporting.

NOTES TO SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCE – BUDGET AND ACTUAL – GENERAL FUND

A reconciliation of Revenues, Expenditures, and Changes in Fund Balance budgetary basis to GAAP basis is as follows:

	General Fund Budgetary Basis	Interfund Reimbursements	General Fund GAAP Basis
REVENUES			
Taxes	117,005,949	$ -	$ 117,005,949
Licenses and permits	6,565,580	-	6,565,580
Intergovernmental revenues	8,933,631	-	8,933,631
Charges for services	11,220,978	(5,233,915)	5,987,063
Fines and forfeits	3,899,080	-	3,899,080
Contributions	233,686	-	233,686
Investment earnings	5,890,911	-	5,890,911
Miscellaneous Revenue	3,096,178	-	3,096,178
Total revenues	156,845,993	(5,233,915)	151,612,078
EXPENDITURES			
Current:			
Culture and recreation	16,334,563	-	16,334,563
Economic environment	12,461,905	-	12,461,905
General government	18,996,298	(3,497,003)	15,499,295
Health and human services	3,952,799		3,952,799
Judicial	4,493,094	-	4,493,094
Public safety	53,773,660	-	53,773,660
Transportation	14,779,174	(1,736,912)	13,042,262
Total current	124,791,493	(5,233,915)	119,557,578
Capital outlay:			
Culture and recreation	142,846	-	142,846
Economic environment	11,149	-	11,149
Public safety	57,349	-	57,349
Transportation	106,254	-	106,254
Total capital outlay	317,598	-	317,598
Total expenditures	125,109,091	(5,233,915)	119,875,176
Excess (deficiency) of revenues over expenditures	31,736,902	-	31,736,902
OTHER FINANCING SOURCES (USES)			
Transfers in	983,468	-	983,468
Transfers out	(15,029,799)	-	(15,029,799)
Interfund loans	-	-	-
Proceeds from sale of capital assets	22,602	-	22,602
Insurance Recoveries	141,234	-	141,234
Lease Financing	-		-
Total other financing sources (uses)	(13,882,495)	-	(13,882,495)
Net change in fund balances	$ 17,854,407	$ -	$ 17,854,407

City of Renton
Schedule of the City's Proportionate Share of the Net Pension Liability/(Asset)
Measurement Date of June 30
Last 10 Fiscal Years

PERS Plan 1	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
City's proportion of the net pension liability/(asset)	0.254319%	0.264064%	0.273106%	0.244828%	0.262379%	0.268500%	0.271486%	0.282530%	0.276331%	0.275830%
City's proportionate share of the net pension liability/(asset)*	$ 4,518,837	$ 6,027,873	$ 7,604,273	$ 2,989,923	$ 9,263,396	$ 10,324,778	$ 12,124,657	$ 13,406,269	$ 14,840,276	$ 14,428,474
City's covered payroll	$ 50,968,196	$ 49,375,627	$ 44,060,001	$ 37,629,142	$ 39,795,650	$ 37,595,653	$ 36,344,451	$ 35,481,222	$ 32,889,898	$ 31,005,185
City's proportionate share of the net pension liability/(asset) as a percentage of its covered payroll	8.87%	12.21%	17.26%	7.95%	23.28%	27.46%	33.36%	37.78%	45.12%	46.54%
Plan fiduciary net position as a percentage of the total pension liability	84.05%	80.16%	76.56%	88.74%	68.64%	67.12%	63.22%	61.24%	57.03%	59.10%

* 2016 amount includes $280,481 in net pension liability transferred to the RFA on 6/30/16 to avoid skewing percentage of covered payroll ratio.

City of Renton
Schedule of the City's Proportionate Share of the Net Pension Liability/(Asset)
Measurement Date of June 30
Last 10 Fiscal Years

PERS Plan 2/3	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
City's proportion of the net pension liability/(asset)	0.326367%	0.337498%	0.352756%	0.312116%	0.338648%	0.342614%	0.344584%	0.356727%	0.343835%	0.345072%
City's proportionate share of the net pension liability/(asset)*	$ (10,758,926)	$ (13,832,973)	$ (13,082,948)	$ (31,091,776)	$ 4,331,115	$ 3,327,947	$ 5,883,465	$ 12,394,558	$ 17,311,821	$ 12,329,619
City's covered payroll	$ 50,508,163	$ 48,944,034	$ 43,737,495	$ 37,331,068	$ 39,490,308	$ 37,260,677	$ 36,036,413	$ 35,045,479	$ 32,370,185	$ 30,618,109
City's proportionate share of the net pension liability/(asset) as a percentage of its covered payroll	-21.30%	-28.26%	-29.91%	-83.29%	10.97%	8.93%	16.33%	35.37%	53.48%	40.27%
Plan fiduciary net position as a percentage of the total pension liability	105.17%	107.02%	106.73%	120.29%	97.22%	97.77%	95.77%	90.97%	85.82%	89.20%

* 2016 amount includes $327,194 in net pension liability transferred to the RFA on 6/30/16 to avoid skewing percentage of covered payroll ratio.

City of Renton
Schedule of the City's Proportionate Share of the Net Pension Liability/(Asset)
Measurement Date of June 30
Last 10 Fiscal Years

PSERS Plan 2	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
City's proportion of the net pension liability/(asset)	0.049883%	0.055615%	0.047808%	0.043972%	0.049734%	0.055527%	0.057762%	0.065808%	0.065158%	0.042991%
City's proportionate share of the net pension liability/(asset)	$ (21,272)	$ (58,974)	$ (34,183)	$ (101,021)	$ (6,843)	$ (7,221)	$ 716	$ 27,967	$ 11,892	$ 7,846
City's covered payroll	$ 460,033	$ 431,593	$ 322,506	$ 298,074	$ 305,343	$ 255,388	$ 226,589	$ 233,001	$ 211,427	$ 124,200
City's proportionate share of the net pension liability/(asset) as a percentage of its covered payroll	-4.62%	-13.66%	-10.60%	-33.89%	-2.24%	-2.83%	0.32%	12.00%	5.62%	6.32%
Plan fiduciary net position as a percentage of the total pension liability	102.61%	107.90%	105.96%	123.67%	101.68%	101.85%	99.79%	90.41%	95.08%	95.08%

City of Renton
Schedule of the City's Proportionate Share of the Net Pension Liability/(Asset)
Measurement Date of June 30
Last 10 Fiscal Years

LEOFF Plan 1	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
City's proportion of the net pension liability/(asset)	0.251164%	0.249031%	0.249474%	0.244279%	0.239644%	0.235664%	0.233551%	0.235931%	0.231059%	0.229885%
City's proportionate share of the net pension liability/(asset)*	$ (7,142,825)	$ (7,391,300)	$ (7,156,444)	$ (8,367,929)	$ (4,525,699)	$ (4,658,161)	$ (4,240,123)	$ (2,430,764)	$ (2,784,772)	$ (2,770,622)
State's proportionate share of the net pension liability/(asset) associated with the City	(48,313,891)	(49,994,570)	(48,406,009)	(56,600,464)	(30,611,716)	(31,507,679)	(28,680,087)	(24,212,271)	(16,524,364)	(18,740,418)
Total	$ (55,456,716)	$ (57,385,870)	$ (55,562,453)	$ (64,968,393)	$ (35,137,415)	$ (36,165,840)	$ (32,920,210)	$ (26,643,035)	$ (19,309,136)	$ (21,511,040)
City's covered payroll	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
City's proportionate share of the net pension liability/(asset) as a percentage of its covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Plan fiduciary net position as a percentage of the total pension liability	168.48%	175.99%	169.62%	187.45%	146.88%	148.78%	144.42%	123.74%	127.36%	127.36%

* 2016 amount includes $1,325,025 in net pension asset transferred to the RFA on 6/30/16 to avoid skewing percentage of covered payroll ratio.

City of Renton
Schedule of the City's Proportionate Share of the Net Pension Liability/(Asset)
Measurement Date of June 30
Last 10 Fiscal Years

LEOFF Plan 2	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
City's proportion of the net pension liability/(asset)	0.417768%	0.446469%	0.420420%	0.395321%	0.430979%	0.445635%	0.451824%	0.468330%	0.947284%	0.954715%
City's proportionate share of the net pension liability/(asset)*	$ (7,823,729)	$ (10,708,997)	$ (11,425,746)	$ (22,961,880)	$ (8,791,342)	$ (10,323,995)	$ (9,173,012)	$ (2,723,948)	$ (9,736,185)	$ (9,812,561)
State's proportionate share of the net pension liability/(asset) associated with the City	(5,077,185)	(6,838,655)	(7,370,853)	(14,812,919)	(5,621,397)	(6,760,833)	(5,939,352)	(4,215,723)	(1,592,656)	(925,241)
Total	$ (12,900,914)	$ (17,547,652)	$ (18,796,599)	$ (37,774,799)	$ (14,412,739)	$ (17,084,828)	$ (15,112,364)	$ (6,939,671)	$ (11,328,841)	$ (10,737,802)
City's covered payroll	$ 19,848,448	$ 19,362,734	$ 16,702,560	$ 14,998,612	$ 16,022,905	$ 15,336,814	$ 14,669,121	$ 14,650,540	$ 28,694,750	$ 27,709,532
City's proportionate share of the net pension liability/(asset) as a percentage of its covered payroll	-39.42%	-55.31%	-68.41%	-153.09%	-54.87%	-67.32%	-62.53%	-18.59%	-33.93%	-35.41%
Plan fiduciary net position as a percentage of the total pension liability	109.27%	113.17%	116.09%	142.00%	115.83%	119.43%	118.50%	106.04%	111.67%	111.67%

* 2016 amount includes $3,066,692 in net pension asset transferred to the RFA on 6/30/16 to avoid skewing percentage of covered payroll ratio.

City of Renton
Schedule of Employer Contributions
WA Department of Retirement Systems
As of December 31
Last 10 Fiscal Years

PERS Plan 1	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	$ 1,448,228	$ 1,672,293	$ 1,688,345	$ 1,742,267	$ 1,887,308	$ 1,926,964	$ 1,879,300	$ 1,717,805	$ 1,619,494	$ 2,190,238
Contributions in relation to the contractually required contribution	1,448,228	1,672,293	1,688,345	1,742,267	1,887,308	1,926,964	1,879,300	1,717,805	1,619,494	2,190,238
Contribution deficiency (excess)	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Covered payroll	$ 52,741,677	$ 49,375,627	$ 44,932,224	$ 40,226,475	$ 39,386,689	$ 38,826,806	$ 37,103,778	$ 35,120,529	$ 33,737,587	$ 48,318,549
Contributions as a percentage of covered payroll	2.75%	3.39%	3.76%	4.33%	4.79%	4.96%	5.06%	4.89%	4.80%	4.53%

PERS Plan 2/3	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	$ 3,322,921	$ 3,112,888	$ 2,833,167	$ 2,872,166	$ 3,095,333	$ 2,964,353	$ 2,752,176	$ 2,375,793	$ 2,067,865	$ 2,743,908
Contributions in relation to the contractually required contribution	3,322,921	3,112,888	2,833,167	2,872,166	3,095,333	2,964,353	2,752,176	2,375,793	2,067,865	2,743,908
Contribution deficiency (excess)	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Covered payroll	$ 52,250,777	$ 48,944,034	$ 44,544,778	$ 39,919,026	$ 39,082,343	$ 38,495,775	$ 36,791,404	$ 34,783,770	$ 33,263,999	$ 47,552,982
Contributions as a percentage of covered payroll	6.36%	6.36%	6.36%	7.19%	7.92%	7.70%	7.48%	6.83%	6.22%	5.77%

PSERS Plan 2	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	$ 33,087	$ 28,681	$ 25,319	$ 21,192	$ 21,913	$ 20,872	$ 15,723	$ 14,929	$ 14,489	$ 18,418
Contributions in relation to the contractually required contribution	33,087	28,681	25,319	21,192	21,913	20,872	15,723	14,929	14,489	18,418
Contribution deficiency (excess)	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Covered payroll	$ 490,900	$ 431,593	$ 387,446	$ 307,449	$ 304,345	$ 292,650	$ 229,922	$ 224,038	$ 219,869	$ 282,407
Contributions as a percentage of covered payroll	6.74%	6.65%	6.53%	6.89%	7.20%	7.13%	6.84%	6.66%	6.59%	6.52%

LEOFF Plan 2	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	$ 1,069,248	$ 998,109	$ 947,993	$ 820,173	$ 836,869	$ 840,501	$ 801,240	$ 715,573	$ 1,049,917	$ 2,160,553
Contributions in relation to the contractually required contribution	1,069,248	998,109	947,993	820,173	836,869	840,501	801,240	715,573	1,049,917	2,160,553
Contribution deficiency (excess)	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Covered payroll	$ 20,731,365	$ 19,362,734	$ 18,322,206	$ 15,649,942	$ 15,936,186	$ 15,818,413	$ 14,805,412	$ 13,896,060	$ 20,790,373	$ 42,778,479
Contributions as a percentage of covered payroll	5.16%	5.15%	5.17%	5.24%	5.25%	5.31%	5.41%	5.15%	5.05%	5.05%

City of Renton
Schedule of Changes in Net Pension Liability and Related Ratios
Firefighters' Pension Fund
Last 10 Fiscal Years

$ Thousands

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Total Pension Liability										
Service Cost	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Interest on Total Pension Liability	83	84	54	45	62	100	94	103	106	109
Effect of Plan Changes	-	-	-	-	-	-	-	-	-	-
Effect of Economic/Demographic Gains or (Losses)	15	(3)	-	533	-	(331)	-	-	(29)	-
Effect of Assumption Changes or Inputs	-	3	(292)	123	127	207	(94)	52	(125)	-
Benefit payments	(262)	(253)	(223)	(227)	(210)	(194)	(193)	(240)	(208)	(205)
Net Change in Total Pension Liability	(164)	(169)	(461)	474	(20)	(219)	(192)	(84)	(256)	(96)
Total Pension Liability - Beginning	2,197	2,366	2,827	2,353	2,373	2,592	2,784	2,868	3,125	3,221
Total Pension Liability - Ending (a)	$ 2,033	$ 2,197	$ 2,366	$ 2,827	$ 2,353	$ 2,373	$ 2,592	$ 2,784	$ 2,868	$ 3,125
Plan Fiduciary Net Position										
Employer Contributions	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Contributions from State Fire Insurance Premium Tax	-	200	183	172	166	155	154	151	148	146
Investment Income Net of Investment Expenses	488	425	(109)	(35)	267	294	121	114	136	134
Benefit payments	(262)	(253)	(223)	(227)	(210)	(194)	(193)	(240)	(208)	(205)
Medical Payments from Fund	-	-	-	-	-	-	-	-	-	-
Administrative Expense	(7)	(14)	(3)	(12)	(3)	(12)	-	(12)	-	(12)
Net Change in plan fiduciary net position	219	358	(153)	(103)	220	242	83	13	76	63
Plan fiduciary net position - beginning	10,267	9,909	10,062	10,165	9,945	9,703	9,619	9,607	9,531	9,468
Plan fiduciary net position - ending (b)	10,486	10,267	9,909	10,062	10,165	9,945	9,703	9,619	9,607	9,531
Net pension liability - ending =(a)-(b)	$ (8,453)	$ (8,070)	$ (7,543)	$ (7,235)	$ (7,811)	$ (7,572)	$ (7,111)	$ (6,835)	$ (6,739)	$ (6,406)
Fiduciary net position as a percentage of the total pension liability	515.79%	467.32%	418.81%	355.93%	431.95%	419.09%	374.34%	345.51%	334.97%	304.99%
Covered Payroll	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Net pension liability as a percentage of covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

City of Renton
Schedule of Employer Contributions
Firefighters' Pension Fund
Last 10 Fiscal Years

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Actuarially determined contribution	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Contributions in relation to the actuarially determined contribution	-	199,566	182,841	171,853	165,917	155,413	154,275	150,951	148,034	146,358
Contribution deficiency (excess)	$ -	$ (199,566)	$ (182,841)	$ (171,853)	$ (165,917)	$ (155,413)	$ (154,275)	$ (150,951)	$ (148,034)	$ (146,358)
Covered payroll	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Contribution as a percentage of covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Note:
Contributions are a portion of State Fire Insurance Premium Taxes.
In 2024 contributions were used to fund healthcare for retiree medical costs as the fire pension is fully funded and actuarially sound.

City of Renton
Schedule of Investment Returns
Firefighters' Pension Fund
December 31, 2024
Last 10 Fiscal Years

Fiscal Year Ending December 31	Net Money-Weighted Rate of Return
2015	1.42%
2016	1.43%
2017	1.19%
2018	1.26%
2019	3.03%
2020	2.68%
2021	-0.35%
2022	-1.08%
2023	4.30%
2024	4.82%

City of Renton
Schedule of Changes in Total OPEB Liability and Related Ratios
LEOFF 1 Retiree Medical Benefits
Last 10 Fiscal Years

$ Thousands

	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015
Total OPEB Liability										
Service Cost	$ -	$ -	$ -	$ -	$ -	$ -	$ -	N/A	N/A	N/A
Interest on Total OPEB Liability	978	1,059	695	839	1,062	1,692	1,576	N/A	N/A	N/A
Changes of benefit terms	-	-	-	-	-	-	-	N/A	N/A	N/A
Effect of Economic/Demographic Gains or (Losses)	-	(1,471)	-	(5,516)	-	(2,946)	-	N/A	N/A	N/A
Effect of Assumption Changes or Inputs	(2,256)	3,680	(5,736)	(1,089)	3,806	(859)	(2,764)	N/A	N/A	N/A
Expected benefit payments	(1,497)	(1,358)	(1,511)	(1,424)	(1,618)	(1,491)	(1,586)	N/A	N/A	N/A
Net Change in Total OPEB Liability	(2,775)	1,910	(6,552)	(7,190)	3,250	(3,605)	(2,774)	N/A	N/A	N/A
Total OPEB Liability - Beginning	30,842	28,932	35,484	42,674	39,424	43,029	45,803	N/A	N/A	N/A
Total OPEB Liability - Ending	$ 28,067	$ 30,842	$ 28,932	$ 35,484	$ 42,674	$ 39,424	$ 43,029	N/A	N/A	N/A
Covered-employee Payroll	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Total OPEB liability as a percentage of covered-employee payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Notes to schedule:

There are no assets accumulated in a trust compliant with GASB codification P22.101 or P52.101 to pay OPEB benefits

This schedule is presented to illustrate the requirement to show information for 10 years. However, recalculations of prior years are not required, and if prior years are not reported in accordance with the current GASB standards, they should not be reported.

City of Renton
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2024

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures: From Pass-Through Awards	Expenditures: From Direct Awards	Expenditures: Total	Passed through to Subrecipients	Note
FOREST SERVICE, AGRICULTURE, DEPARTMENT OF (via Washington State Department of Natural Resources)	Inflation Reduction Act Urban & Community Forestry Program	10.727	97-107904	13,302	-	13,302	-	1,2,4
CDBG - Entitlement/Special Purpose Grants Cluster								
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County)	Community Development Block Grants/Entitlement Grants	14.218	B-21-UC-53-0001	477,907	-	477,907	-	1,2,4
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County)	Community Development Block Grants/Entitlement Grants	14.218	B-21-UC-53-0001	38,980	-	38,980	-	1,2,4
	Total CDBG - Entitlement/Special Purpose Grants Cluster:			**516,887**	**-**	**516,887**	-	
OFFICE OF JUSTICE PROGRAMS, JUSTICE, DEPARTMENT OF (via City of Seattle)	Missing Children's Assistance	16.543	15PJDP-21-GK-03807-MECP	10,000	-	10,000	-	1,2,4
OFFICE OF JUSTICE PROGRAMS, JUSTICE, DEPARTMENT OF (via City of Seattle)	Edward Byrne Memorial Justice Assistance Grant Program	16.738	2019-DJ-BX-0906	4,140	-	4,140	-	1,2,4

The accompanying notes are an integral part of this schedule.

City of Renton
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2024

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures: From Pass-Through Awards	Expenditures: From Direct Awards	Expenditures: Total	Passed through to Subrecipients	Note
OFFICE OF JUSTICE PROGRAMS, JUSTICE, DEPARTMENT OF (via City of Seattle)	Edward Byrne Memorial Justice Assistance Grant Program	16.738	2020-DJ-BX-0324	10,776	-	10,776	-	1,2,4
OFFICE OF JUSTICE PROGRAMS, JUSTICE, DEPARTMENT OF (via City of Seattle)	Edward Byrne Memorial Justice Assistance Grant Program	16.738	15PBJA-22-GG-02095-JAGX	15,334	-	15,334	-	1,2,4
OFFICE OF JUSTICE PROGRAMS, JUSTICE, DEPARTMENT OF (via City of Seattle)	Edward Byrne Memorial Justice Assistance Grant Program	16.738	15PBJA-23-GG-03918-JAGX	27,872	-	27,872	-	1,2,4
			Total ALN 16.738:	**58,122**	**-**	**58,122**	-	
FEDERAL AVIATION ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF	COVID 19 - Airport Improvement Program, Infrastructure Investment and Jobs Act Programs, and COVID-19 Airports Programs	20.106	3-53-0055-029-2021	-	13,855	13,855	-	1,2,4
FEDERAL AVIATION ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF	COVID 19 - Airport Improvement Program, Infrastructure Investment and Jobs Act Programs, and COVID-19 Airports Programs	20.106	3-53-0055-031-2022	-	59,000	59,000	-	1,2,4

The accompanying notes are an integral part of this schedule.

City of Renton
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2024

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures: From Pass-Through Awards	Expenditures: From Direct Awards	Expenditures: Total	Passed through to Subrecipients	Note
FEDERAL AVIATION ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF	Airport Improvement Program, Infrastructure Investment and Jobs Act Programs, and COVID-19 Airports Programs	20.106	3-53-0055-032-2023	-	757,831	757,831	-	1,2,4
			Total ALN 20.106:	**-**	**830,686**	**830,686**	-	
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	LA 9642; STPUL-1142 (002)	54,041	-	54,041	-	1,2,4
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	LA 10652; CM-1183 (003)	14,095	-	14,095	-	1,2,4
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	LA10960; CM-CRPUL-1292 (003)	15,736	-	15,736	-	1,2,4
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	LA 8536; STPUL-1615 (005)	6,573,282	-	6,573,282	-	1,2,4

The accompanying notes are an integral part of this schedule.

City of Renton
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2024

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures: From Pass-Through Awards	Expenditures: From Direct Awards	Expenditures: Total	Passed through to Subrecipients	Note
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	LA 9499; BHM-1169 (021)	12,129	-	12,129	-	1,2,4
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	LA 9498; BHM-1155 (008)	12,129	-	12,129	-	1,2,4
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	LA 9644; STPUL-1183 (002)	1,472	-	1,472	-	1,2,4
			Total ALN 20.205:	**6,682,884**	**-**	**6,682,884**	**-**	
Highway Safety Cluster								
NATIONAL HIGHWAY TRAFFIC SAFETY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington Traffic Safety Commission)	State and Community Highway Safety	20.600	2023-HVE-5118 -Region 7&8	6,568	-	6,568	-	1,2,4
NATIONAL HIGHWAY TRAFFIC SAFETY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington Traffic Safety Commission)	State and Community Highway Safety	20.600	2024-Sub-grants-5189-Region 7/8 Law Enforcement Liaison	4,500	-	4,500	-	1,2,4

The accompanying notes are an integral part of this schedule.

City of Renton
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2024

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures: From Pass-Through Awards	Expenditures: From Direct Awards	Expenditures: Total	Passed through to Subrecipients	Note
NATIONAL HIGHWAY TRAFFIC SAFETY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington Traffic Safety Commission)	State and Community Highway Safety	20.600	2023-HVE-5118 -Region 7&8	5,050	-	5,050	-	1,2,4
		Total Highway Safety Cluster:		**16,118**	**-**	**16,118**	-	
NATIONAL HIGHWAY TRAFFIC SAFETY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington Traffic Safety Commission)	National Highway Traffic Safety Administration (NHTSA) Discretionary Safety Grants and Cooperative Agreements	20.614	69A375243000 04020WA0	5,021	-	5,021	-	1,2,4
DEPARTMENTAL OFFICES, TREASURY, DEPARTMENT OF THE	COVID 19 - CORONAVIRUS STATE AND LOCAL FISCAL RECOVERY FUNDS	21.027	1505-0271	-	2,676,355	2,676,355	-	1,2,4
DEPARTMENTAL OFFICES, TREASURY, DEPARTMENT OF THE (via Washington State Dept of Commerce)	COVID 19 - CORONAVIRUS STATE AND LOCAL FISCAL RECOVERY FUNDS	21.027	22-96720-204	1,674	-	1,674	-	1,2,4
			Total ALN 21.027:	**1,674**	**2,676,355**	**2,678,029**	-	
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington State Military Department)	Disaster Grants - Public Assistance (Presidentially Declared Disasters)	97.036	FEMA-4539-D-WA	425,405	-	425,405	-	1,2,4, 5

The accompanying notes are an integral part of this schedule.

City of Renton
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2024

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures: From Pass-Through Awards	Expenditures: From Direct Awards	Expenditures: Total	Passed through to Subrecipients	Note
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washing State Military Department)	Emergency Management Performance Grants	97.042	EMS-2023-EP-00002	58,285	-	58,285	-	1,2,4
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington State Military Department)	State and Local Cybersecurity Grant Program Tribal Cybersecurity Grant Program	97.137	E24-204	86,116	-	86,116	-	1,2,4
			Total Federal Awards Expended:	**7,873,814**	**3,507,041**	**11,380,855**	**-**	

The accompanying notes are an integral part of this schedule.

CITY OF RENTON
NOTES TO THE SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE YEAR ENDED DECEMBER 31, 2024

Note 1 – BASIS OF ACCOUNTING
This Schedule is prepared on the same basis of accounting as the City's financial statements. The City uses the modified accrual basis of accounting for governmental funds and the accrual basis of accounting for proprietary funds.

Note 2 – FEDERAL DE MINIMIS INDIRECT COST RATE
The city has not elected to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

Note 3 – CONDITIONAL LOAN – PROGRAM INCOME
The City of Renton had a Façade Improvement Loan Program. Conditional loans in the amount of $481,022 have been provided to Developers that will be forgiven following a five (5)-year period, beginning with the recordation of a deed of trust but subject to certain provisions. The source of loan funds is the City of Renton Community Development Block Grant. The city has forgiven all the conditional loans totaling $481,022. There are no remaining loan funds pending forgiveness.

Note 4 – PROGRAM COSTS
The amounts shown as current year expenditures represent only the federal grant portion of the program costs. Entire program costs, including the City's portion, are more than shown. Such expenditures are recognized following, as applicable, either the cost principles in the OMB Circular A-87, Cost Principles for State, Local, and Indian Tribal Governments, or the cost principles contained in Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 5 – PROGRAM COSTS (FEMA SMALL PROJECT AWARDS)
The amounts shown as current year represent only the federal award portion of the program. Amounts previously reported for prior year are $462,769 for the federal share, and $25,709 for the state share. Such expenditures are recognized following the cost principles contained in Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

ABOUT THE STATE AUDITOR'S OFFICE

The State Auditor's Office is established in the Washington State Constitution and is part of the executive branch of state government. The State Auditor is elected by the people of Washington and serves four-year terms.

We work with state agencies, local governments and the public to achieve our vision of increasing trust in government by helping governments work better and deliver higher value.

In fulfilling our mission to provide citizens with independent and transparent examinations of how state and local governments use public funds, we hold ourselves to those same standards by continually improving our audit quality and operational efficiency, and by developing highly engaged and committed employees.

As an agency, the State Auditor's Office has the independence necessary to objectively perform audits, attestation engagements and investigations. Our work is designed to comply with professional standards as well as to satisfy the requirements of federal, state and local laws. The Office also has an extensive quality control program and undergoes regular external peer review to ensure our work meets the highest possible standards of accuracy, objectivity and clarity.

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